This Official Statement dated June 1, 2022.

NEW ISSUE
Book Entry Only

RATINGS: S&P Global Ratings "AA"(Insured)
S&P Global Ratings "A" (Underlying)
(see "RATINGS" herein)

In the opinion of Barnes & Thornburg LLP, Indianapolis, Indiana, under existing laws, interest on the Bonds, as defined herein, is excludable from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date of issuance of the Bonds (the "Code"). In the opinion of Barnes & Thornburg LLP, Indianapolis, Indiana, under existing laws, interest on the Bonds is exempt from income taxation in the State of Indiana for all purposes, except the Indiana financial institutions tax. See " TAX MATTERS" and Appendix C herein.

$15,430,000
CITY OF BLOOMINGTON, INDIANA
Waterworks Revenue Bonds of 2022

Dated: Date of Delivery

Due: January 1st and July 1st as shown below

The City of Bloomington, Indiana ("City") is issuing its Waterworks Revenue Bonds of 2022 (the "Bonds") for the purpose of paying the costs of certain additions, extensions and improvements (the "Project") to the City's municipal Waterworks, funding a debt service reserve fund and paying issuance expenses. The Bonds will be dated as of delivery with interest payable semi-annually on January 1 and July 1 of each year, commencing on January 1, 2023 by check mailed one business day prior to the interest payment date to the registered owners or by wire transfer to depositories.

The Bonds will be issued as provided in Ordinance No. 21-10 (the "Bond Ordinance" or "Ordinance"), adopted by the Common Council of the City on March 17, 2021. See Appendix D hereof. The Bonds will be payable from the Net Revenues of the City's Waterworks (the "Waterworks") (See "Security for the Bonds", herein). The Bonds will rank on a parity with the City's (i) Waterworks Revenue Bonds of 2006, Series A amended March 26, 2015 ("2006A Bonds"), now outstanding in the principal amount of $1,658,000 and maturing semi-annually over a period ending January 1, 2027, (ii) Waterworks Revenue Bonds of 2017 dated July 25, 2017 (the "2017 Bonds"), now outstanding in the principal amount of $3,810,000 and maturing semi-annually over the period ending July 1, 2037, (iii) Waterworks Revenue Refunding Bonds of 2020, Series A dated May 28, 2020 (the "2020A Bonds"), now outstanding in the principal amount of $4,025,000 and maturing semi-annually over the period ending January 1, 2025 and (iv) Taxable Waterworks Revenue Refunding Bonds of 2020, Series B dated May 28, 2020 ("2020B Bonds"), now outstanding in the amount of $26,755,000, and maturing semi-annually over a period ending January 1, 2029 (collectively, the "Outstanding Parity Bonds").

The Bonds are subject to optional redemption and mandatory sinking fund redemption as described herein.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by **BUILD AMERICA MUTUAL ASSURANCE COMPANY**. (See "Specimen Municipal Bond Insurance Policy" Appendix F herein.)

The Bonds are issuable only as fully registered bonds and, when issued, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). Purchases of beneficial interests in the Bonds will be made in book-entry-only form, in the denomination of $5,000 or any integral multiple thereof. Purchasers of beneficial interests in the Bonds (the "Beneficial Owners") will not receive physical delivery of certificates representing their interests in the Bonds. Interest, together with principal on the Bonds, will be paid directly to DTC by BOK Financial, N.A., as paying agent, so long as DTC or its nominee is the registered owner of the Bonds. The final disbursements of such payments to the Beneficial Owners of the Bonds will be the responsibility of DTC Participants and the Indirect Participants, all as defined and more fully described herein under the caption "Book-Entry-Only System".

The Bonds are offered when, as and if issued and received by the Underwriter, subject to prior sale, the withdrawal or modification of the offer without notice, and to the unqualified approval as to the legality of the Bonds by Barnes & Thornburg LLP. Certain legal matters will be passed on by Frost Brown Todd LLC, as counsel to the Underwriter. It is expected that the Bonds, in definitive form, will be available for delivery to DTC in New York, New York on or about June 23, 2022.

STIFEL

This cover page contains certain information for guide reference only. It is <u>not</u> a summary of this issue. Investors must read the entire Official Statement to obtain information essential in the making of an informed investment decision.

Maturity Schedule

(BASE CUSIP© 094743)

Maturity	Principal	Interest Rate	Price	CUSIP	Maturity	Principal	Interest Rate	Price	CUSIP
7/1/2024	$270,000	5.000%	105.589	NK3	1/1/2028	$320,000	5.000%	111.780	NS6
1/1/2025	275,000	5.000%	106.629	NL1	7/1/2028	330,000	5.000%	112.644	NT4
7/1/2025	285,000	5.000%	107.717	NM9	1/1/2029	335,000	5.000%	112.650	NU1
1/1/2026	290,000	5.000%	108.730	NN7	7/1/2029	345,000	5.000%	113.390	NV9
7/1/2026	295,000	5.000%	109.831	NP2	1/1/2030	355,000	5.000%	113.955	NW7
1/1/2027	305,000	5.000%	110.491	NQ0	7/1/2030	360,000	5.000%	114.625	NX5
7/1/2027	310,000	5.000%	111.430	NR8					

Term Bonds

$750,000 of Term Bonds @5.000%, due July 1, 2031, Price 114.012, CUSIP NY3
$790,000 of Term Bonds @ 5.000%, due July 1, 2032, Price 113.706, CUSIP NZ0
$830,000 of Term Bonds @ 5.000%, due July 1, 2033, Price 113.402, CUSIP PA3
$2,745,000 of Term Bonds @ 5.000%, due July 1, 2036, Price 112.872, CUSIP PB1
$3,190,000 of Term Bonds @ 5.000%, due July 1, 2039, Price 112.045, CUSIP PC9
$3,050,000 of Term Bonds @ 5.000%, due January 1, 2042, Price 111.522, CUSIP PD7

The above-referenced CUSIP numbers have been assigned by an independent company not affiliated with the City or the Underwriter and are included solely for the convenience of the holders of the Bonds. Neither the City or the Underwriter is responsible for the selection or uses of such CUSIP numbers, and no representation is made as to their correctness on the Bonds or as indicated above. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part of such maturity or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of such maturities. CUSIP Global Services (CGS) is managed on behalf of the American Bankers Association by FactSet Research Systems Inc.

This Official Statement should be considered in its entirety. No one factor should be considered more or less important than any other by reason of its position in this Official Statement. Where statutes, ordinances, reports or other documents are referred to in this Official Statement, reference should be made to those documents for more complete information regarding their subject matter.

This Official Statement may contain statements that are "forward-looking statements" as that term is defined in Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements are subject to risks and uncertainties, some of which are discussed herein, that could cause actual results to differ materially from those contemplated in such forward-looking statements. Investors and prospective investors are cautioned not to place undue reliance on forward-looking statements, which speak only as of the date of this Official Statement.

No dealer, broker, salesperson or other person has been authorized by the City to give any information to or make any representations, other than those contained in this Official Statement, and if given or made, such other information or representations must not be relied upon as having been authorized by the City. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the securities described herein by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale. The information set forth herein has been obtained by the City, and other sources which are believed to be reliable, but it is not guaranteed as to accuracy or completeness. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale of the securities described herein shall, under any circumstances, create any implication that there has been no change in the affairs of the City since the date of delivery of the securities described herein to the initial purchaser thereof. However, upon delivery of the securities, the City will provide a certificate stating that there have been no material changes in the information contained in the Final Official Statement since its delivery.

THE UNDERWRITER HAS PROVIDED THE FOLLOWING SENTENCE FOR INCLUSION IN THIS OFFICIAL STATEMENT. THE UNDERWRITER HAS REVIEWED THE INFORMATION IN THIS OFFICIAL STATEMENT IN ACCORDANCE WITH, AND AS PART OF, ITS RESPONSIBILITIES TO INVESTORS UNDER THE FEDERAL SECURITIES LAWS AS APPLIED TO THE FACTS AND CIRCUMSTANCE OF THIS TRANSACTION, BUT THE UNDERWRITER DOES NOT GUARANTEE THE ACCURACY OR COMPLETENESS OF SUCH INFORMATION.

THE BONDS HAVE NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED. IN MAKING AN INVESTMENT DECISION, INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF THE CITY AND THE TERMS OF THE OFFERING, INCLUDING THE MERIT AND RISK INVOLVED. THE BONDS HAVE NOT BEEN RECOMMENDED BY ANY FEDERAL OR STATE SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT CONFIRMED THE ACCURACY OR DETERMINED THE ADEQUACY OF THIS DOCUMENT. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

Pursuant to continuing disclosure requirements promulgated by the Securities and Exchange Commission in Securities and Exchange Commission Rule 15c2-12, as amended, the City will enter into a Continuing Disclosure Undertaking Agreement. See "CONTINUING DISCLOSURE" herein and Appendix E hereto.

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PROJECT PERSONNEL

Names and positions of the City officials and other professionals who have taken part in the planning of the proposed bond issue are:

Mayor

Honorable John Hamilton

Common Council Members

Susan Sandberg, President
Sue Sgambelluri, Vice President
Dave Rollo
Jim Sims
Matt Flaherty
Isabel Piedmont-Smith
Ron Smith
Kate Rosenbarger
Stephen Volan

City Controller

Jeffrey Underwood

Management

Vic Kelson
Utility Director

Corporate Counsel

Beth Cate
City of Bloomington
Bloomington, Indiana

Bond Counsel

Barnes & Thornburg LLP
Indianapolis, Indiana

Financial Advisor

O.W. Krohn & Associates LLP
Westfield, Indiana

Underwriter

Stifel, Nicolaus & Company, Incorporated
Indianapolis, Indiana

Underwriter's Counsel

Frost Brown Todd LLC
Indianapolis, Indiana

OFFICIAL STATEMENT
$15,430,000
CITY OF BLOOMINGTON, INDIANA
Waterworks Revenue Bonds of 2022

INTRODUCTION

This Official Statement, which includes the cover page and appendices, is intended solely for the purpose of providing certain information concerning the sale and delivery of the $15,430,000 in aggregate principal amount of Waterworks Revenue Bonds of 2022 (the "Bonds") by the City of Bloomington, Indiana (the "City").

The statutory authority for the issuance of the Bonds is provided by Indiana Code 8-1.5, as in effect on the date of delivery of the Bonds. The Bonds were authorized and issued pursuant to Ordinance No. 21-10 (the "Bond Ordinance" or "Ordinance") adopted by the City's Common Council on March 17, 2021. A copy of the Ordinance is included herein as Appendix D. In addition, the City's Utility is subject to the jurisdiction of the Indiana Utility Regulatory Commission (the "IURC"). The IURC has authorized the City to issue the Bonds for the Project (as described herein).

The Bonds, when issued, will be valid and legally binding limited obligations of the City, payable solely out of and constituting a first charge against the Net Revenues (defined as gross revenues after the payment of the reasonable expenses of operation, repair and maintenance) to be derived from the operation of the waterworks owned by the City (the "Waterworks") on a parity with the pledge thereof to the Outstanding Parity Bonds (see "SECURITY FOR THE BONDS"). Such Bonds are not a pecuniary liability of or a charge against the general credit of the City and do not constitute indebtedness thereof within the meaning of any constitutional or statutory limitation or provision. Neither the credit nor the taxing power of the City is, or under any circumstances shall be, pledged as security for the payment of the Bonds.

The definitions of certain words and terms used in this Official Statement, unless the context clearly indicates otherwise, shall have the same meanings as set forth in the Ordinance. This Official Statement contains summaries of selected portions of the Ordinance, and such summaries are qualified in their entirety by the full text of the Ordinance.

Investors must read the entire Official Statement to obtain information essential to the making of an informed investment.

PURPOSE OF THE ISSUE

The proceeds from the sale of the Bonds will be used to make certain improvements to the water treatment and distribution system, to fund a debt service reserve fund and to pay the costs incurred by the City incident to the sale and issuance of the Bonds, including payment of the premium for a municipal bond insurance policy.

DESCRIPTION OF THE PROJECT

Monroe Water Treatment Plant

Dewatering System Improvements
Residual Holding Basin Improvements
Main Building Roof Replacement
Filter Media and Underdrain Replacement
Water Quality Process Improvements- Algaecide and Chemical tank repair
Intake HVAC
Addition of Second Washwater Pump
LS Outdoor Switchgear Enclosure Coating
Substation Transformer Upgrade
Standby Power Improvements
High Service Pump VFD Replacement (Two)
Chemical Feed Line Replacements
Transfer Pump VFD Replacement (Two)
SCADA Filter Terminal and Other Sensors
SCADA System Improvements
Finished Water Reservoir Repairs
Facilities Plan and Demand Study Update

Distribution System

Gentry Booster Improvements
Bulk Water Station #2
West Booster Rehabilitation
South Central Booster Rehabilitation
Dogwood Booster Rehabilitation
Storage Tank Inspections
East Tank Coating Replacement and Improvements
System SCADA updates and WQ monitoring
Auto flushing equipment
Water Main Replacement Program
Fire Hydrant Maint and Capacity testing
Valve Testing (20% System Annually)
Transportation Project Relocations
Lead and Copper rule
Distribution total

ESTIMATED SOURCES AND USES OF FUNDS

Sources of funds include proceeds from the sale of the proposed Bonds. The estimated sources and uses of funds are summarized below:

Sources of Funds:	
Principal Amount of Bonds	$15,430,000.00
Original Issue Premium	1,860,843.85
Total	$17,290,843.85
Uses of Funds:	
Project Fund	$15,687,000.00
Debt Service Reserve Fund	1,313,625.00
Estimated Cost of Issuance	290,218.85
Total	$17,290,843.85

PAYMENT SCHEDULE

PAYMENT DATE	PRINCIPAL BALANCE	INTEREST RATES	DEBT SERVICE PRINCIPAL	DEBT SERVICE INTEREST	DEBT SERVICE TOTAL	BOND YEAR TOTAL
1/1/2023	$ 15,430,000			$ 402,894.44	$ 402,894.44	$ 402,894.44
7/1/2023	15,430,000			385,750.00	385,750.00	
1/1/2024	15,430,000			385,750.00	385,750.00	771,500.00
7/1/2024	15,430,000	5.000%	$ 270,000	385,750.00	655,750.00	
1/1/2025	15,160,000	5.000%	275,000	379,000.00	654,000.00	1,309,750.00
7/1/2025	14,885,000	5.000%	285,000	372,125.00	657,125.00	
1/1/2026	14,600,000	5.000%	290,000	365,000.00	655,000.00	1,312,125.00
7/1/2026	14,310,000	5.000%	295,000	357,750.00	652,750.00	
1/1/2027	14,015,000	5.000%	305,000	350,375.00	655,375.00	1,308,125.00
7/1/2027	13,710,000	5.000%	310,000	342,750.00	652,750.00	
1/1/2028	13,400,000	5.000%	320,000	335,000.00	655,000.00	1,307,750.00
7/1/2028	13,080,000	5.000%	330,000	327,000.00	657,000.00	
1/1/2029	12,750,000	5.000%	335,000	318,750.00	653,750.00	1,310,750.00
7/1/2029	12,415,000	5.000%	345,000	310,375.00	655,375.00	
1/1/2030	12,070,000	5.000%	355,000	301,750.00	656,750.00	1,312,125.00
7/1/2030	11,715,000	5.000%	360,000	292,875.00	652,875.00	
1/1/2031	11,355,000	5.000%	370,000	283,875.00	653,875.00	1,306,750.00
7/1/2031	10,985,000	5.000%	380,000	274,625.00	654,625.00	
1/1/2032	10,605,000	5.000%	390,000	265,125.00	655,125.00	1,309,750.00
7/1/2032	10,215,000	5.000%	400,000	255,375.00	655,375.00	
1/1/2033	9,815,000	5.000%	410,000	245,375.00	655,375.00	1,310,750.00
7/1/2033	9,405,000	5.000%	420,000	235,125.00	655,125.00	
1/1/2034	8,985,000	5.000%	430,000	224,625.00	654,625.00	1,309,750.00
7/1/2034	8,555,000	5.000%	440,000	213,875.00	653,875.00	
1/1/2035	8,115,000	5.000%	450,000	202,875.00	652,875.00	1,306,750.00
7/1/2035	7,665,000	5.000%	465,000	191,625.00	656,625.00	
1/1/2036	7,200,000	5.000%	475,000	180,000.00	655,000.00	1,311,625.00
7/1/2036	6,725,000	5.000%	485,000	168,125.00	653,125.00	
1/1/2037	6,240,000	5.000%	500,000	156,000.00	656,000.00	1,309,125.00
7/1/2037	5,740,000	5.000%	510,000	143,500.00	653,500.00	
1/1/2038	5,230,000	5.000%	525,000	130,750.00	655,750.00	1,309,250.00
7/1/2038	4,705,000	5.000%	540,000	117,625.00	657,625.00	
1/1/2039	4,165,000	5.000%	550,000	104,125.00	654,125.00	1,311,750.00
7/1/2039	3,615,000	5.000%	565,000	90,375.00	655,375.00	
1/1/2040	3,050,000	5.000%	580,000	76,250.00	656,250.00	1,311,625.00
7/1/2040	2,470,000	5.000%	595,000	61,750.00	656,750.00	
1/1/2041	1,875,000	5.000%	610,000	46,875.00	656,875.00	1,313,625.00
7/1/2041	1,265,000	5.000%	625,000	31,625.00	656,625.00	
1/1/2042	640,000	5.000%	640,000	16,000.00	656,000.00	1,312,625.00
TOTALS			$ 15,430,000	$ 9,328,394.44	$ 24,758,394.44	$ 24,758,394.44

THE BONDS

General Description

The Bonds will be issued as fully registered bonds in denominations of $5,000 or any integral multiple thereof. The Bonds will be originally dated as of the date of delivery.

Interest on the Bonds will be payable semi-annually on January 1 and July 1 of each year, commencing January 1, 2023 (each an "Interest Payment Date"). The Bonds will bear interest (calculated on the basis of a 30-day month and a 360-day year) at the rates and will mature on the dates and in the principal amounts set forth on the cover page of this Official Statement.

The Bonds are anticipated to be available for delivery to DTC in New York, New York, on or about June 23, 2022.

Each Bond will be registerable at and shall be transferable or exchangeable only upon the books of the City kept for that purpose at the principal corporate trust office of BOK Financial, N.A., located in Indianapolis, Indiana, the Registrar ("Registrar"), by the registered owner in person, or by its attorney duly authorized in writing, upon surrender

of such Bond together with a written instrument of transfer or exchange satisfactory to the Registrar. A further description of the registration and exchange features of the Bonds can be found in the Ordinance (see Appendix D).

If any Bond is mutilated, lost, stolen, or destroyed, the Registrar shall certify and deliver, subject to the provisions of the Ordinance, a replacement Bond or Bonds of like denomination and tenor. In the case of destruction, theft, or loss, the applicant for a substituted Bond shall furnish to the Registrar evidence of the destruction of such Bond so destroyed, which evidence must be satisfactory to the Registrar, in its discretion, and such applicant shall also furnish indemnity satisfactory to the Registrar. The Registrar shall have the right to require the payment of the expense of issuing such replacement prior to the delivery of a new Bond.

When issued, the Bonds will be registered in the name of and held by Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). Purchases of beneficial interests in the Bonds will be made in book-entry-only form. Purchasers of beneficial interests in the Bonds (the "Beneficial Owners") will not receive physical delivery of certificates representing their interests in the Bonds. For so long as the Bonds are held in book-entry-only form, payments of principal of and interest on the Bonds will be paid by the Paying Agent only to DTC or its nominee. Neither the Issuer nor the Paying Agent will have any responsibility for a Beneficial Owner's receipt from DTC or its nominee, or from any Direct Participant (as hereinafter defined) or Indirect Participant (as hereinafter defined), of any payments of principal of or interest on any Bonds. See "BOOK-ENTRY-ONLY SYSTEM" in this Official Statement.

Provisions for Payment

The principal of the Bonds shall be payable at the principal corporate trust office of BOK Financial, N.A., located in Indianapolis, Indiana, the Paying Agent ("Paying Agent"). All payments of interest on the Bonds shall be paid by check, mailed one business day prior to the interest payment date to the registered owners as the names appear on the 15th day of the month preceding the interest payment date ("Record Date") and at the addresses as they appear on the registration books kept by the Registrar, or at such other address as is provided to the Paying Agent. If payment of principal or interest is made to a depository, payment shall be made by wire transfer on the payment date in same-day funds. If the payment date occurs on a date when financial institutions are not open for business, the wire transfer shall be made on the next succeeding business day. The Paying Agent shall be instructed to wire transfer payments by 1:00 p.m. (New York City time) so such payments are received at the depository (see "Book-Entry-Only System", below) by 2:30 p.m. (New York City time). Payments on the Bonds shall be made in any coin or currency of the United States of America which, on the date of such payment, shall be legal tender.

REDEMPTION

Optional Redemption. The 2022 Bonds maturing on or after January 1, 2031 are redeemable prior to maturity at the option of the City in whole or in part, in any order of maturity, as determined by the City and by lot within maturities, on any date not earlier than July 1, 2030 at face value plus accrued interest to the date fixed for redemption and without any redemption premium.

Mandatory Redemption. The Bonds maturing on July 1, 2031, July 1, 2032, July 1, 2033, July 1, 2036, July 1, 2039, and January 1, 2042 are subject to mandatory sinking fund redemption at a redemption price equal to the principal amount thereof, plus accrued interest, in accordance with the following schedules:

Term Bonds Due July 1, 2031

Date	Amount
1/1/2031	$370,000
7/1/2031*	380,000

* Final Maturity

Term Bonds Due July 1, 2032

Date	Amount
1/1/2032	$390,000
7/1/2032*	400,000

* Final Maturity

Term Bonds Due July 1, 2033

Date	Amount
1/1/2033	$410,000
7/1/2033*	420,000

* Final Maturity

Term Bonds Due July 1, 2036

Date	Amount
1/1/2034	$430,000
7/1/2034	440,000
1/1/2035	450,000
7/1/2035	465,000
1/1/2036	475,000
7/1/2036*	485,000

* Final Maturity

Term Bonds Due July 1, 2039

Date	Amount
1/1/2037	$500,000
7/1/2037	510,000
1/1/2038	525,000
7/1/2038	540,000
1/1/2039	550,000
7/1/2039*	565,000

* Final Maturity

Term Bonds Due January 1, 2042

Date	Amount
1/1/2040	$580,000
7/1/2040	595,000
1/1/2041	610,000
7/1/2041	625,000
1/1/2042*	640,000

* Final Maturity

The Paying Agent shall credit against the mandatory sinking fund requirement for any term bonds and corresponding mandatory redemption obligation, in the order determined by the City, any term bonds maturing on the same date which have previously been redeemed (otherwise than as a result of a previous mandatory redemption requirement) or delivered to the Registrar for cancellation or purchased for cancellation by the Paying Agent and not theretofore applied as a credit against any redemption obligation. Each term bond so delivered or canceled shall be credited by the Paying Agent at 100% of the principal amount thereof against the mandatory sinking fund obligation on such mandatory obligations and the principal amount of that term bond to be redeemed by operation of the mandatory

sinking fund requirement shall be accordingly reduced; provided, however, the Paying Agent shall only credit such term bonds to the extent received on or before forty-five days preceding the applicable mandatory redemption date.

If less than all of the Bonds are called for redemption at one time, the Bonds shall be redeemed in order of maturity as determined by the City and by lot within maturity. Each $5,000 principal amount shall be considered a separate Bond for purposes of optional and mandatory redemption. If some Bonds are to be redeemed by optional redemption and mandatory sinking fund redemption on the same date, the Registrar shall select by lot the Bonds for optional redemption before selecting Bonds by lot for the mandatory sinking fund redemption.

Notice and Effect of Redemption. Notice of redemption shall be given by the Registrar by mailing a copy of the redemption notice, not less than thirty (30) days prior to the redemption date, to the owners of the Bonds to be redeemed as the names appear as of the date which is forty-five (45) days prior to such redemption date. No failure or defect in that notice with respect to any Bonds shall affect the validity of the proceedings for the redemption of any other Bonds for which notice has been properly given.

If notice of redemption has been given and provisions for payment of the redemption price, and accrued interest has been made, the Bonds to be redeemed shall be due and payable on the redemption date at the redemption price, and from and after the redemption date interest on the Bonds will cease to accrue, and the owners of the Bonds shall have no rights in respect thereof, except to receive payment of the redemption price including unpaid interest accrued to the redemption date.

For so long as the Bonds are held in book-entry-only form, the Registrar will send notices of redemption of the Bonds only to DTC or its nominee, as the registered owner of the Bonds, in accordance with the preceding paragraphs. Neither the Issuer nor the Registrar will have any responsibility for any Beneficial Owners' receipt from DTC or its nominee, or from any Direct Participant or Indirect Participant, of any notices of redemption. See "BOOK-ENTRY-ONLY SYSTEM" in this Official Statement.

BOOK-ENTRY-ONLY SYSTEM

The Depository Trust Company ("DTC"), New York, NY, will act as depository for the Bonds. The Bonds will be issued as fully-registered Bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of each series of the Bonds, each in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City, the Registrar or the Paying Agent on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with Bonds held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the City, the Registrar or the Paying Agent, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City, the Registrar or Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the City or the Registrar and Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

REVISION OF BOOK ENTRY ONLY SYSTEM

In the event that either (1) the City receives notice from DTC to the effect that DTC is unable or unwilling to discharge its responsibilities as a clearing agency for the Bonds or (2) the City elects to discontinue its use of DTC as a clearing agency for the Bonds, then the City will do or perform or cause to be done or performed all acts or things, not adverse to the rights of the holders of the Bonds, as are necessary or appropriate to discontinue use of DTC as a clearing agency for the Bonds and to transfer the ownership of each of the Bonds to such person or persons, including any other clearing agency, as the holder of such Bonds may direct. Any expenses of such a discontinuation and transfer, including any expenses of printing new certificates to evidence the Bonds, will be paid by the City.

SECURITY FOR THE BONDS

The Bonds, when issued, will be under the terms of the Ordinance and together with any parity bonds constitute valid and legally binding limited obligations of the City. The Bonds shall be payable from and secured by an irrevocable

pledge of and shall constitute a first charge upon all the "Net Revenues" (defined in the Ordinance as gross revenues after the payment of the reasonable expense of operation, repair and maintenance) derived by the City from the operation of the Waterworks.

The Bonds will rank on a parity with the City's (i) Waterworks Revenue Bonds of 2006, Series A amended March 26, 2015 ("2006A Bonds"), now outstanding in the principal amount of $1,658,000 and maturing semi-annually over a period ending January 1, 2027, (ii) Waterworks Revenue Bonds of 2017 dated July 25, 2017 (the "2017 Bonds"), now outstanding in the principal amount of $3,810,000 and maturing over the period ending July 1, 2037, (iii) Waterworks Revenue Refunding Bonds of 2020, Series A dated May 28, 2020 (the "2020A Bonds"), now outstanding in the principal amount of $4,025,000 and maturing over the period ending January 1, 2025, and (iv) Taxable Waterworks Revenue Refunding Bonds of 2020, Series B dated May 28, 2020 ("2020B Bonds"), now outstanding in the amount of $26,755,000, and maturing annually over a period ending January 1, 2029 (collectively, the "Outstanding Parity Bonds").

The Bonds are further secured by a Debt Service Reserve Account (the "Reserve Account"). The reserve requirement will equal the least of the 3-prong test for the Bonds. It is anticipated that the Reserve Account will be funded at closing with bond proceeds.

Such Bonds are not a pecuniary liability of or a charge against the general credit of the City and do not constitute an indebtedness thereof within the meaning of any constitutional or statutory limitation or provisions. Neither the credit nor the taxing power of the City is, or under any circumstances shall be, pledged as security for the payment of the Bonds.

RATE COVENANT

The City covenants and agrees that it will establish, maintain and collect just and equitable rates or charges for facilities and services afforded and rendered by the Waterworks, which shall to the extent permitted by law produce sufficient revenues at all times to pay all the legal and other necessary expense incident to the operation of the Waterworks, to include maintenance costs, operating charges, upkeep, repairs, interest charges on bonds or other obligations, to provide for the proper operation, repair and maintenance of the Waterworks, to provide the Sinking Fund and debt service reserve for the liquidation of bonds or other evidences of indebtedness, to provide adequate funds to be used as working capital, as well as funds for making extensions, additions and replacements, and also, for the payment of any taxes that may be assessed against the Waterworks, it being the intent and purpose hereof that such charges shall produce an income sufficient to maintain such utility property in a sound physical and financial condition to render adequate and efficient service. The rates and charges shall be established to the extent permitted by law, to produce Net Revenues sufficient to pay 1.20 times the annual debt service on the Outstanding Parity Bonds, the bonds and bonds hereafter issued on a parity with the Bonds. So long as any of the Bonds are outstanding, none of the facilities or services afforded or rendered by the Waterworks shall be furnished without a reasonable and just charge being made therefor. The City shall pay like charges for any and all services rendered by the Waterworks to the City, and all such payments shall be deemed to be revenues of the Waterworks. Such rates and charges shall, if necessary, be changed and adjusted from time to time so that the revenues therefrom shall always be sufficient to meet the expenses of operation and maintenance, and the requirements of the Sinking Fund.

FLOW OF FUNDS

Waterworks revenues will be accounted for separate and apart from all other funds of the City and apportioned among the funds and accounts specified below:

General Account. The City shall segregate, deposit and keep in a special fund, separate and apart from all other funds of the City, all gross revenues received on account of the rates and charges of the Waterworks, which special fund was established and designated as the "City of Bloomington, Waterworks General Account" (the "General Account") and is continued under the Ordinance. Out of said revenues the proper and reasonable expenses of operation, repair and maintenance of the Waterworks shall be paid, the principal and interest of all bonds and fiscal agency charges of bank paying agents shall be paid, reserves shall be funded, and the costs of replacements, extensions, additions and improvements shall be paid as hereinafter provided.

The balance maintained in the General Account shall be sufficient to pay the expenses of operation, repair and maintenance of the Waterworks for the then next succeeding two (2) calendar months. The moneys credited to the General Account shall be used for the payment of the reasonable and proper expenses of operation, repair and maintenance of the Waterworks on a day-to-day basis, including the reasonable legal and professional expenses not taken into account in the definition of Net Revenues, but none of the moneys in the General Account shall be used for depreciation, payments in lieu of taxes, replacements, improvements, extensions or additions. Any moneys in the General Account may be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal

of and interest on the Outstanding Parity Bonds of the Waterworks, or if necessary to eliminate any deficiencies in credits to, or minimum balance in, the Reserve Account, as defined and described below.

Moneys in the General Account shall be transferred from time to time to meet the requirements of the Sinking Fund (as hereinafter defined). Moneys in excess of those transferred to the Sinking Fund may be transferred to the Improvement Fund (as hereinafter defined) or may be retained in the General Account, in the discretion of Utility Services Board of the City (the "Board"), and in a manner consistent with the requirements of the Ordinance. Moneys in excess of those required to be in the General Account and the Sinking Fund may also be used, in the discretion of the Board, for any other lawful purpose related to the Waterworks. Notwithstanding the foregoing, in the event that any amounts are due to any providers (including their successors and assigns) of any municipal bond insurance policies or debt service reserve surety policies acquired by the City in connection with the Bonds or any of the Outstanding Parity Bonds, any excess moneys in the General Account after making all required transfers to the Sinking Fund shall be first used to pay any amounts owed under such policies.

Waterworks Sinking Fund. There is continued under the Ordinance a fund for the payment of the principal of and interest on revenue bonds which by their terms are payable from the Net Revenues of the Waterworks and the payment of any fiscal agency charges in connection with the payment of the bonds and interest, which fund has been previously designated as the Waterworks Sinking Fund ("Sinking Fund"). There shall be set aside, transferred and deposited into the Sinking Fund from the General Account, as available and as hereinafter provided, a sufficient amount of the Net Revenues of the Waterworks to meet the requirements of the Bond and Interest Account (as hereinafter defined) and the Reserve Account (as hereinafter defined) hereby continued in the Sinking Fund. Such payments shall continue until the balances in the Bond and Interest Account and the Reserve Account equal the principal of and interest on all of the then outstanding bonds of the Waterworks to their final maturity and provide for payment of all fiscal agency charges.

a) Bond and Interest Account. The Bond and Interest Account is continued under the Ordinance. There shall be credited, on the last day of each calendar month from the General Account to the Bond and Interest Account an amount of the Net Revenues equal to at least one-sixth (1/6) of the principal of and interest on all then outstanding bonds payable on the then next succeeding Interest Payment Date and at least one-sixth (1/6) of the principal on all then outstanding bonds payable on the then next succeeding principal payment date, until the amount of interest and principal payable on the then next succeeding interest and principal payment dates shall have been so credited; provided, that such fractional amounts shall be appropriately increased, if necessary, to provide for the first interest and principal payments on the Bonds. There shall similarly be credited to the account any amount necessary to pay the bank fiscal agency charges, if any, for paying principal and interest on the bonds as the same become payable. The City shall, from the sums deposited in the Sinking Fund and credited to the Bond and Interest Account, remit promptly to the registered owner or to the bank fiscal agency sufficient moneys to pay the interest and principal on the due dates thereof together with the amount of any bank fiscal agency charges.

b) Reserve Account. The Reserve Account is continued under the Ordinance. On the date of delivery of the Bonds, the City shall cause funds on hand of the Waterworks, proceeds of the Bonds or such other bonds, or a combination thereof to be deposited into the Reserve Account so that the balance therein shall equal the least of (i) the maximum annual debt service on the Bonds, (ii) one hundred twenty-five percent (125%) of the average annual debt service on the Bonds, or (iii) ten percent (10%) of the proceeds of the Bonds (such amount, the "Reserve Requirement").

   If the initial deposit into the Reserve Account does not equal the Reserve Requirement or if no deposit is made, the City shall deposit a sum of Net Revenues into the Reserve Account on the last day of each calendar month, beginning with the first month after the Bonds are delivered, until the balance therein equals the Reserve Requirement. The monthly deposits shall be equal in amount and sufficient to accumulate the Reserve Requirement within five (5) years of the date of delivery of the Bonds.

   The Reserve Account shall constitute the margin for safety and protection against default in the payment of principal of and interest on the Outstanding Parity Bonds, the Bonds and any Additional Parity Bonds (as defined herein), and the moneys in the Reserve Account shall be used to pay current principal and interest on the Outstanding Parity Bonds, the Bonds and any Additional Parity Bonds to the extent that moneys in the Bond and Interest Account are insufficient for that purpose. Any deficiency in the balance maintained in the Reserve Account shall be promptly made up from the next available Net Revenues remaining after credits into the Bond and Interest Account. If moneys in the Reserve Account are transferred to the Bond and Interest Account to pay principal and interest on outstanding bonds, then such depletion of the balance in the Reserve Account shall be made up from the next available Net Revenues after the credits into the Bond and Interest Account. Any moneys in the Reserve Account in excess of the Reserve Requirement shall, at the direction of the Board, either be transferred to the General Account or be used for the purchase of outstanding bonds

or installments of principal of fully registered bonds at a price not exceeding the par plus accrued interest and redemption premium, if any.

Notwithstanding anything in the Ordinance to the contrary, but subject to the terms of the Prior Ordinances, the City reserves the right to satisfy the Reserve Account at any time with funds on hand of the Waterworks, proceeds of the Bonds or other bonds, a debt service reserve surety bond or a combination thereof. Any such surety bond must be issued by an insurance company rated at the time of issuance of such instrument in one of the two highest rating categories by Standard & Poor's Global Ratings Services and Moody's Investors Service.

Waterworks Improvement Fund. After meeting the requirements of the Sinking Fund, any excess Net Revenues may be transferred or credited to the fund previously designated as the "Waterworks Improvement Fund" (the "Improvement Fund"), continued under the Ordinance. The Improvement Fund shall be used for improvements, replacements, additions and extensions of the Waterworks, and payments in lieu of taxes. Moneys in the Improvement Fund shall be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal and interest on the then outstanding bonds or, if necessary, to eliminate any deficiencies in credits to, or minimum balance in, the Reserve Account of the Sinking Fund or may be transferred to the General Account to meet unforeseen contingencies in the operation and maintenance of the Waterworks.

ADDITIONAL PARITY BONDS

The City reserves the right to authorize and issue additional bonds payable out of the Net Revenues of the Waterworks ranking on a parity with the Outstanding Parity Bonds and the Bonds ("Additional Parity Bonds") for the purpose of financing the cost of future additions, extensions, and improvements to the Waterworks, or to refund obligations, subject to the following conditions:

(a) All required payments into the Sinking Fund shall have been made in accordance with the provisions of the Ordinance, and the interest on and principal of all bonds payable from the Net Revenues of the Waterworks shall have been paid to date in accordance with their terms.

(b) The balance in the Reserve Account with respect to all outstanding bonds and the proposed additional bonds shall be equal to the aggregate amount required to be on deposit therein by the Ordinance provided, however, this condition shall be satisfied if any required amount is to be provided from proceeds of such additional bonds or other funds either (i) at the time of their issuance of the proposed additional bonds or (ii) by monthly deposits in an amount sufficient to build the balance in the Reserve Account to an amount equal to the Reserve Requirement with respect to the proposed additional bonds within five (5) years after the additional bonds are issued, on a level monthly basis (after accounting for earning thereon).

(c) The Net Revenues of the Waterworks in the fiscal year immediately preceding the issuance of any such Parity Bonds shall be not less than 125% of the maximum annual interest and principal requirements of the then outstanding bonds and the Additional Parity Bonds then proposed to be issued; or, prior to the issuance of said Parity Bonds, the sewage rates and charges shall be increased sufficiently so that said increased rates and charges applied to the previous year's operations would have produced Net Revenues for said period equal to not less than 125% of the maximum annual interest and principal requirements of the then outstanding bonds and the Additional Parity Bonds then proposed to be issued. For purposes of this computation, the records of the Waterworks shall be analyzed, and all showings prepared by a certified public accountant employed by the City for that purpose.

(d) The principal of Additional Parity Bonds shall be payable semi-annually on January 1 and July 1 and the interest on Additional Parity Bonds shall be payable semi-annually on January 1 and July 1 in the years in which such principal and interest are payable.

(e) To the extent required by law, the issuance of Additional Parity Bonds and any necessary increase in water rates and charges shall be approved by the Indiana Utility Regulatory Commission.

POTENTIAL IMPACTS RESULTING FROM EPIDEMICS OR PANDEMICS, SUCH AS THE NOVEL CORONAVIRUS (COVID-19)

Regional, national or global epidemics or pandemics, such as the outbreak of the novel coronavirus ("COVID-19"), could have materially adverse local, regional, national or global economic and social impacts. The outbreak of COVID-19 adversely impacted local, state, national and global economies, as governments, businesses and citizens reacted to, planned for, and tried to prevent or slow the further transmission of COVID-19. On March 6, 2020, Indiana Governor Eric Holcomb issued Executive Order 20-02 ("EO 20-02"), which declared the COVID-19 outbreak in the

State to be a public health emergency (the "Disaster Declaration of a Public Health Emergency"). On March 11, 2020, the World Health Organization proclaimed the COVID-19 outbreak to be a pandemic, and on March 13, 2020, the President of the United States declared a national emergency in connection with COVID-19.

The declaration of a public health emergency set forth in EO 20-02 had been renewed 23 times by separate Executive Orders, the most recent of which was Executive Order 22-01 ("EO 22-01"), which Governor Holcomb issued on February 1, 2022. On March 3, 2022, as a result, in part, of a rapid decline in confirmed daily cases, hospitalizations and deaths, Governor Holcomb issued Executive Order 22-09 ("EO 22-09"), which rescinded EO 22-01, thereby ending the Disaster Declaration of a Public Health Emergency. During that period, in order to take certain steps to increase containment of COVID-19, the Governor issued numerous Executive Orders, which included stay-at-home orders and face covering requirements, directed the closing of State government buildings and restricted retail establishments and in-person dining at restaurants, among other things.

The City cannot predict the extent to which the demand for the services provided by the City's waterworks utility system may decline nor the amount of increased costs, if any, that may be incurred by the City associated with operating the during any epidemic or pandemic, including, but not limited to, the amount of (1) costs to clean, sanitize and maintain facilities, (2) costs to hire substitute employees, or (3) costs to operate remotely and support the customers and employees of the City's waterworks utility system. Accordingly, the City cannot predict the effect any epidemic or pandemic may have on the finances or operations of the City's waterworks utility system, including, but not limited to, the collection of rates and fees for its services, the Net Revenues derived from which are used to pay the debt service on the Bonds.

TAX MATTERS

In the opinion of Barnes & Thornburg LLP, Indianapolis, Indiana ("Bond Counsel"), under existing laws, interest on the Bonds is excludable from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date of issuance of the Bonds (the "Code"). The opinion of Bond Counsel is based on certain certifications, covenants and representations of the City and is conditioned on continuing compliance therewith. In the opinion of Bond Counsel, under existing laws, interest on the Bonds is exempt from income taxation in the State for all purposes, except the State financial institutions tax. See Appendix C herein for the form of opinion of Bond Counsel.

The Code imposes certain requirements which must be met subsequent to the issuance of the Bonds as a condition to the excludability of the interest on the Bonds from gross income for federal income tax purposes. Noncompliance with such requirements may cause interest on the Bonds to be included in gross income for federal income tax purposes retroactively to the date of issue, regardless of the date on which noncompliance occurs. Should the Bonds bear interest that is not excludable from gross income for federal income tax purposes, the market value of the Bonds would be materially and adversely affected. It is not an event of default if interest on the Bonds is not excludable from gross income from federal income tax purposes pursuant to any provision of the Code which is not in effect on the date of issuance of the Bonds.

The interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax.

The Bonds are NOT "qualified tax-exempt obligations" for purposes of Section 265(b)(3) of the Code.

Indiana Code 6-5.5 imposes a franchise tax on certain taxpayers (as defined in Indiana Code 6-5.5), which, in general, include all corporations which are transacting the business of a financial institution in the State. The franchise tax is measured in part by interest excluded from gross income under Section 103 of the Code minus associated expenses disallowed under Section 265 of the Code.

Although Bond Counsel will render an opinion that interest on the Bonds is excludable from federal gross income for federal income tax purposes and exempt from State income tax, the accrual or receipt of interest on the Bonds may otherwise affect an owner's federal or state tax liability. The nature and extent of these other tax consequences will depend upon the owner's particular tax status and the owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any other such tax consequences.

The foregoing does not purport to be a comprehensive description of all of the tax consequences of owning the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors with respect to the foregoing and other tax consequences of owning the Bonds.

AMORTIZABLE BOND PREMIUM

The initial offering prices of the Bonds maturing on July 1, 2024, through and including January 1, 2042 (collectively, the "Premium Bonds"), are greater than the principal amounts thereof payable at maturity or on an earlier call date. As a result, the Premium Bonds will be considered to be issued with amortizable bond premium (the "Bond Premium"). An owner who acquires a Premium Bond in the initial public offering will be required to adjust the owner's basis in the Premium Bond downward as a result of the amortization of the Bond Premium, pursuant to Section 1016(a)(5) of the Code. Such adjusted tax basis will be used to determine taxable gain or loss upon disposition of the Premium Bonds (including sale, redemption or payment at maturity). The amount of amortizable Bond Premium will be computed on the basis of the taxpayer's yield to maturity, with compounding at the end of each accrual period. Rules for determining (1) the amount of amortizable Bond Premium and (2) the amount amortizable in a particular year are set forth in Section 171(b) of the Code. No income tax deduction for the amount amortizable Bond Premium will be allowed pursuant to Section 171(a)(2) of the Code, but amortization of Bond Premium may be taken into account as a reduction in the amount of tax-exempt income for purposes of determining other tax consequences of owning the Premium Bonds. Owners of the Bonds should consult their tax advisors with respect to the precise determination for federal income tax purposes of the treatment of Bond Premium upon the sale or other disposition of such Premium Bonds and with respect to the state and local tax consequences of owning and disposing of Premium Bonds.

Special rules governing the treatment of Bond Premium, which are applicable to dealers in tax-exempt securities are found at Section 75 of the Code. Dealers in tax-exempt securities are urged to consult their tax advisors concerning treatment of Bond Premium.

CONTINUING DISCLOSURE

General

Pursuant to continuing disclosure requirements promulgated by the United States Securities and Exchange Commission in SEC Rule 15c2-12, as amended (the "Rule"), the City will execute a Continuing Disclosure Undertaking Agreement (the "Disclosure Agreement") for the benefit of beneficial owners of the Bonds. The Disclosure Agreement will contain certain promises of the City including a promise to provide continuing disclosure of certain financial information and operating data and timely notice of the occurrence of certain enumerated events. A copy of the Form of Continuing Disclosure Undertaking Agreement is attached to this Official Statement as Appendix E.

Compliance with Previous Undertakings

In the previous five (5) years, the City has not failed to comply, in all material respects, with any previous undertakings in a written contract or agreement specified in subsection (b)(5)(i) of Rule 15c2-12 (the "SEC Rule") promulgated by the Securities and Exchange Commission pursuant to the Securities Exchange Act of 1934, as amended, except to the extent the following is deemed to be material: (i) the City has had instances of late filing of audited financial statements, operating data, and notices of rating changes, and (ii) instances of failure to file notices of late filings and unaudited financial statements. All information and filings required by the City have since been made and the City is currently in compliance with their previous undertakings. As of the date hereof, the City's 2020 fiscal year audited financial statements are not yet available for filing; however, the City expects the 2020 audited financial statements to be filed within 60 days of receipt from the Indiana State Board of Accounts.

LEGAL MATTERS

Certain legal matters incident to the issuance of the Bonds with regard to the tax status of the interest thereon (see "TAX MATTERS") will be passed upon by Bond Counsel. A signed copy of that opinion, dated and premised on facts and laws existing as of the date of original delivery of the Bonds, will be delivered to the purchaser at the time of the original delivery of the Bonds.

The engagement of Bond Counsel is limited generally to the examination of the documents contained in the transcript of proceedings and the law incident to rendering the approving legal opinion referred to above and the rendering of such approving legal opinion. In its capacity as Bond Counsel, it has reviewed those portions of this Official Statement under the captions "THE BONDS," "SECURITY FOR THE BONDS," "LEGAL MATTERS," "TAX MATTERS," AND "AMORTIZABLE BOND PREMIUM" and Appendix C herein. Bond Counsel has not examined or attempted to examine and verify any of the financial or statistical statements or data contained in this Official Statement. Bond Counsel has not participated in the preparation of this Official Statement and will not pass upon its accuracy, completeness, or sufficiency.

LEGAL OPINIONS AND ENFORCEABILITY OF REMEDIES

The enforceability of the rights and remedies of the registered owners of the Bonds under the Ordinance are in many respects dependent upon judicial actions which are often subject to discretion and delay. Under existing constitutional and statutory law and judicial decisions, including specifically Title 11 of the United States Code (the federal bankruptcy code), the enforceability of the rights and remedies provided in the Ordinance may be limited.

The various legal opinions to be delivered concurrently with the delivery of the Bonds will be qualified as to the enforceability of the carious legal instruments by limitations imposed by the valid exercise of the constitutional powers of the State and the United States of America and bankruptcy, reorganization, insolvency or other similar laws affecting the rights of creditors generally, and by general principles of equity (regardless of whether such enforceability is considered in a proceeding in equity or at law). Those exceptions would encompass any exercise of federal, State or local police powers (including police powers of the City and the State), in a manner consistent with the public health and welfare. The enforceability of the Ordinance, in a situation where such enforcement may adversely affect public health and welfare, may be subject to these police powers.

LEGISLATIVE PROPOSALS

Legislation affecting municipal bonds is considered from time to time by the United States Congress and the Executive Branch, including some proposed changes under consideration at the time of issuance of the Bonds. Bond Counsel's opinion is based upon the law in existence on the date of issuance of the Bonds. It is possible that legislation enacted after the date of issuance of the Bonds or proposed for consideration will have an adverse effect on the excludability of all or a part of the interest on the Bonds from gross income, the manner in which such interest is subject to federal income taxation or the market price of the Bonds.

Legislation affecting municipal bonds is considered from time to time by the Indiana legislature and Executive Branch. It is possible that legislation enacted after the date of issuance of the Bonds or proposed for consideration will have an adverse effect on payment or timing of payment or other matters impacting the Bonds.

The City cannot predict the outcome of any such federal or state proposals as to passage, ultimate content or impact if passed, or timing of consideration or passage. Purchasers of the Bonds should reach their own conclusions regarding the impact of any such federal or state proposals.

LITIGATION

At the time of delivery of the Bonds, the City will certify that there is no litigation or proceeding pending or, to the knowledge of the City, threatened, in any court, agency or other administrative body restraining or contesting the issuance of the Bonds, or the pledging of Net Revenues, or in any way affecting the validity of any provision of the Bonds or the Ordinance.

UNDERWRITING

The Bonds are being purchased by Stifel, Nicolaus & Company, Incorporated (the "Underwriter"), for the amount equal to $17,232,981.35 (which represents principal amount of the Bonds, less Underwriter's discount of $57,862.50, plus an original issue premium of $ 1,860,843.85).

RATINGS

S&P Global Ratings (S&P) has assigned a bond rating of "AA" to the Bonds with the understanding that, upon delivery of the Bonds, a policy insuring the payments when due of the principal of and interest on the Bonds will be issued by Build America Mutual Assurance Company. The City has also obtained an underlying rating on the Bonds from S&P Global Ratings ("S&P") of "A" stable. This rating reflects only the views of S&P and any explanation of the significance of such rating may only be obtained from S&P. There is no assurance that any rating will continue for any given period of time or that any rating will not be revised downward or withdrawn entirely if, in the judgment of S&P, circumstances so warrant. Any such downward revision or withdrawal of any rating may have an adverse effect on the market price or marketability of the Bonds.

The City did not apply to any other rating service for a rating on the Bonds.

BOND INSURANCE

BOND INSURANCE POLICY

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2021 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $504.3 million, $181.5 million and $322.8 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

BAM GreenStar Bonds

The Bonds have been designated *BAM GreenStar Bonds* because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principles ("GBPs") developed by the International Capital Markets Association ("ICMA"). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and as a Climate Bond Initiative approved verifier. The GreenStar Credit Profile prepared by BAM for the Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the GreenStar Credit Profile for the Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

The Issuer makes no representation regarding the applicability of or suitability of the GreenStar designation. The term "GreenStar" is neither defined in, nor related to, the security documents relating to the Bonds. The GreenStar designation is solely for identification purposes and is not intended to provide or imply that the owners of the Bonds are entitled to any security other than that described in this official statement. The Issuer is under no contractual or other legal obligation to ensure compliance with any legal or other principles relating to "GreenStar" designation. The Issuer has made no commitment to provide ongoing reporting or information regarding the designation or compliance with the GBPs.

The BAM GreenStar designation is based upon an assessment by BAM at the time of the issuance of the Bonds and such designation by BAM reflects only the views of BAM. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis and is based on BAM's own investigation, studies, assumptions, and criteria using its reasonable best efforts. In issuing its GreenStar designation, BAM has assumed and relied upon the accuracy and completeness of the information made publicly available by the Issuer or that was otherwise made available to BAM. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

BAM's GreenStar designation does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds and is not a recommendation to any person to purchase, hold, or sell the Bonds. Such labeling does not address the market price, marketability or suitability of these Bonds for a particular investor. There is no assurance that the designation will be retained for any given period of time or that the designation will not be revised, suspended, or withdrawn by BAM if, in its judgment, circumstances so warrant.

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at http://www.buildamerica.com/videos. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at www.buildamerica.com/credit-profiles. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

FINANCIAL ADVISOR

O.W. Krohn & Associates LLP (the "Financial Advisor") has been retained by the City to provide certain financial advisory services including, among other things, preparation of the deemed "nearly final" Preliminary Official Statement and the Final Official Statement (the "Official Statements"). The information contained in the Official Statements has been compiled from records and other materials provided by the City and City officials and other sources deemed to be reliable.

To the best of the Financial Advisor's knowledge, all of the information contained in the Official Statements, while it may be summarized is (i) complete and accurate; (ii) does not contain any untrue statement of a material fact; and (iii) does not omit any material fact, or make any statement which would be misleading in light of the circumstances under which these statements are being made. However, the Financial Advisor has not and will not independently verify the completeness and accuracy of the information contained in the Official Statements.

The Financial Advisor's duties, responsibilities and fees arise solely as financial advisor to the City and it has no secondary obligations or other responsibility. The Financial Advisor's fees are expected to be paid from the proceeds of the Bonds.

O.W. Krohn & Associates LLP is a Municipal Advisor registered with the Securities and Exchange Commission and the Municipal Securities Rulemaking Board. As such, O.W. Krohn is providing certain specific municipal advisory services to the City but is neither a placement agent to the City nor broker/dealer.

STATEMENT OF ISSUER

The information and descriptions of documents included in this Official Statement do not purport to be complete and are expressly made subject to the exact provisions of the complete documents. Prospective purchasers of the Bonds are referred to the documents for details of all terms and conditions thereof relating to the Bonds.

Neither this Official Statement, nor any statement which may have been made orally or in writing is to be constructed as a contract with the owners of any of the Bonds. Any statements in this Official Statement involving matters of opinion whether or not expressly so stated, are intended as such and not as representations of fact.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and are not presented as unqualified statements of fact. The information contained herein has been carefully

compiled from sources deemed reliable, and to the best knowledge and belief of the City there are no untrue statements nor omissions of material facts in the Official Statement which would make the statements and representations therein misleading.

Certain supplemental information concerning the financial condition of the City which is exhibited hereafter is considered part of this Official Statement. The presentation for unaudited historical tax and other financial data exhibited elsewhere herein is intended to show recent trends and conditions. There is no intention to represent by such data that such trends will continue in the future, nor that any pending improvement or diminution of local conditions is indicated thereby.

This Official Statement has been authorized and approved by the City of Bloomington, Indiana.

CITY OF BLOOMINGTON, INDIANA

/s/ *John Hamilton*
John Hamilton, Mayor

APPENDIX A

GENERAL INFORMATION

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THE FOLLOWING SUMMARY INFORMATION REGARDING THE UTILITY IS PRESENTED FOR GENERAL INFORMATION PURPOSES ONLY, AND IT IS NOT THE BASIS ON WHICH THE 2022 BONDS ARE BEING OFFERED TO INVESTORS. THE 2022 BONDS ARE PAYABLE SOLELY FROM NON-PROPERTY TAX REVENUES AND NOT ON THE BASIS OF THE FINANCIAL STRUCTURE OR PROPERTY TAX BASE OF THE CITY OR THE UTILITY.

CITY OF BLOOMINGTON, INDIANA

DESCRIPTION OF THE WATER WORKS

EXISTING FACILITY

The City of Bloomington owns and operates a water utility (the "Water Works" or "Utility") including the Monroe Water Treatment Plant serving residential, commercial and industrial customers in the City and the greater Bloomington area. The utility provides water collection services to approximately 26,000 customers. The system includes seven booster stations and seven storage tanks with a total of 21.6 million gallons and over 420 miles of water lines. The source of water supply is Lake Monroe which has a safe yield of 45 – 90 million gallons per day.

UTILITY MANAGEMENT

Management of the Bloomington Water Utility is under the direction of the nine-member Utilities Service Board, the nine elected members of the City Council, a Controller and the Mayor. Direct management of the Utility is the responsibility of the Utility Director. The Utility currently employs 175 personnel for operation and maintenance, clerical staff and the Director.

RATES AND CHARGES

Rates for services provided by the Utility are established by the City Council of the City of Bloomington. Bills for water service are collected monthly. The City's current water rates were adopted by the City Council on August 4, 2017. See Appendix B for a description of the current rates and charges.

INDIANA UTILITY REGULATORY COMMISSION REGULATION

The Utility is regulated by the Indiana Utility Regulatory Commission (IURC). Under the provisions of Indiana Code 8-1.5, the IURC has jurisdiction over the rates and charges of all municipally owned water, electric and gas utilities, except for utilities owned by a municipality in which the voters or, in certain circumstances, the legislative body has elected to be taken out of the jurisdiction of the IURC. The municipal legislative body determines and enacts rates and charges for such utilities and, except for such utilities which have been removed from the jurisdiction of the IURC, the IURC is required by law to adjudicate reasonable and just rates and charges for services for each such municipally owned utility. Under the provisions of Indiana Code 8-1.5-3-8, the rates and charges made by such a municipally owned utility must be sufficient to provide, among other things, a sinking fund for the liquidation of bonds or other evidences of indebtedness and a debt service reserve in an amount not to exceed the maximum annual debt service on such obligations. Also, under the statute, rates and charges which are too low to meet the cash operating and other statutory revenue requirements of the utility, including the payment of debt service, are unlawful. The statutory revenue requirements are applicable to all municipal utilities described above, whether or not such municipal utility is subject to IURC jurisdiction. On December 22, 2021, the Utility obtained the IURC's approval for an increase of 18.26% in two phases to the Utility's current rates and charges and the approval to issue 2022 Bonds in an amount not to exceed $17.2 million.

USER CONNECTIONS

Based upon information provided by City personnel, a history of the number of Bloomington Water Utility customers follows:

Year	Customers
2017	25,237
2018	25,470
2019	25,590
2020	25,890
2021	25,924

LARGE USERS

The following is a list of the ten largest users of the Utility according to the utility records.

Customers	Type of Business	12 Months Ended 12/31/2021 Billed Gallons	Revenues	% of Total
Indiana University	Higher Education	508,354,000	$ 1,340,715	24.93%
Town of Ellettsville	Wholesale User	332,449,000	794,553	14.77%
Southern Monroe Water Corp	Wholesale User	185,210,000	442,652	8.23%
B and B Water Corp	Wholesale User	138,400,000	330,002	6.14%
Van Buren Water Inc	Wholesale User	134,947,000	322,523	6.00%
East Monroe Water Corp	Wholesale User	91,905,000	219,653	4.08%
Washington Township Water Corp	Wholesale User	80,098,000	191,434	3.56%
Cook Pharmica	Medical Devices	69,879,000	204,074	3.79%
Baxter Pharmaceutical Solutions LLC	Pharmaceuticals	38,191,000	142,029	2.64%
IU Health Bloomington Hospital	Hospital	31,778,000	134,388	2.50%

GENERAL, PHYSICAL AND DEMOGRAPHIC INFORMATION

LOCATION

The City of Bloomington, Indiana (the "City") is the county seat of Monroe County located in the southern region of Indiana 50 miles southwest of Indianapolis, Indiana.

HISTORY AND GENERAL CHARACTERISTICS

The City was established in 1818 by a group of settlers from Kentucky, Tennessee, the Carolinas and Virginia who were so impressed with "a haven of blooms" that they called it Bloomington. In early years, most people made a living by farming, limestone extraction and timbering for the furniture industry. The 1900s brought many changes and growth to the area. Changes included improved roads, Rural Free Mail Delivery service, another railroad, Bloomington Hospital, water and city sewers. After World War II many businesses grew, and national companies began locating plants in Monroe County. Since the 1980s the economy has been moving toward high tech, entrepreneurship, nonprofit, service and governmental employments. Today, Bloomington is known as the "Gateway to Science Southern Indiana". Indiana University was established in 1820 and renamed to the current name in 1839.

POPULATION

Year	City of Bloomington Population	Percentage Change	Monroe County Population	Percentage Change
1970	43,262	-	85,221	-
1980	52,663	21.7%	98,783	15.9%
1990	60,633	15.1%	108,978	10.3%
2000	69,291	14.3%	120,563	10.6%
2010	80,405	16.0%	137,974	14.4%
2020	79,168	-1.5%	139,718	1.3%

Source: U.S. Census Bureau

GOVERNMENT

The City of Bloomington is a second-class city. As such, the City is governed by a nine-member Common Council, a Mayor and a City Clerk. The City's fiscal officer is the Controller. Six of the Council members represent individual districts and three of the members serve the city-at-large. The Common Council is responsible for passing ordinances, resolutions, orders and motions for the governing of the City.

PLANNING AND ZONING

The Bloomington Plan Commission promotes orderly growth throughout the City. The Plan Commission is comprised of 9 voting members. A member of the Common Council serves a rotational term on the Plan Commission. The Traffic and Transportation Engineer is an ex-officio member.

The City also has a five-member Board of Zoning Appeals which is responsible for hearing zoning variances within its jurisdiction. The City has a Director of Planning and Transportation and staff to promote the orderly growth of the City. Building permit data can be found on page A-8.

TRANSPORTATION

Major interstates are easily accessible with Interstate 69 located west of the City. In addition, State roads 37, 45, 46, 48 and 446 traverse the area. All major freight carriers serving the Indianapolis metropolitan area serve the City as well.

The Indianapolis International Airport is located 50 miles north of the City. The Monroe County Airport is located 5 miles southwest of the City.

POLICE AND FIRE PROTECTION

The City of Bloomington operates a full-service police agency providing police protection to approximately 85,000 residents and a land area of approximately 20 square miles. The City's Police Department includes 103 sworn officers and 50 civilian employees providing police protection for the residents of the City. Many patrol officers specialize in other areas such as critical incident response team, central emergency dispatch, detectives, dive team, patrol division, property and evidence division, records division, and K-9. In addition, the Monroe County Sheriff's Department serves the City.

The City's Fire Department consists of 103 full-time firefighters. The department also employs seven full-time staff that includes the Fire Chief, Deputy Fire Chief, Battalion Chief of Training, 2 Fire Prevention Officers, Fire Inspection Officer, Fire Inspector and one administrative assistant. The Operations division serves as a critical element in the provision of resources to the City of Bloomington and surrounding communities. Members assigned to this system tackle all emergencies that deal with immediate medical assistance, hazardous conditions, structure fires and traffic accidents.

EDUCATION

The Monroe County Community School Corporation covers approximately 339 square miles. The school system has four high schools, three middle schools, and fourteen elementary schools. Total enrollment was reported at approximately 11,000 for the 2021/2022 school year. A certified and non-certified staff of approximately 2,100 provide educational opportunities for school-aged children. Additionally, Richland-Bean Blossom School Corporation provides educational opportunities for a small portion of Bloomington residents located in Richland Township. The school system has one primary school (grades K-2), one intermediate school (grades 3-5), one middle school and one high school. Total enrollment is reported at 2,749 for the 2021/2022 school year. A staff of 191 certified and 235 non-certified provide educational opportunities for school-aged children.

Indiana University Bloomington, located in the heart of the City, is a public research university. Founded in 1820, Indiana University Bloomington ("IU") is the flagship campus of IU's seven campuses and two regional centers statewide. IU is a member of the Association of American Universities and has numerous schools and programs that comprise part of IU, including the Jacobs School of Music, the School of Informatics and Computing, the Kelley School of Business, the School of Public Health, the School of Nursing, the School of Optometry, the School of Public and Environmental Affairs, the Maurer

School of Law, the School of Education, the Media School and the School of Global and International Studies. IU ranks in the top 100 national universities in the United States and the top 50 public universities in the country.

The IU campus, with an enrollment of almost 50,000, is approximately 1,933 acres and includes abundant green space and historic buildings dating to the university's reconstruction in the late nineteenth century. The campus boasts more than 650 student organizations on campus and more than 5,000 students are involved in the school's large community of fraternities and sororities. Located on the campus, is the Indiana University Bloomington Library System which supports over twenty libraries and provides access to more than 7.8 million books, 800 databases, 60,000 electronic journal titles and 815,000 eBooks. The system is the 14th largest library in North America by volumes held. The campus also contains 3 museums, several athletic facilities and Indiana Memorial Hall, a 500,000-square foot student union.

UTILITIES

Residents of the City receive natural gas service from CenterPoint Energy and telephone service from AT&T and Frontier. Electricity is provided by Duke Energy. The City owns and operates a water and sewer utility.

RECREATION/CULTURE/LIBRARY

The City of Bloomington has a wide abundance of parks, trails and recreation opportunities available to its residents. Along with the opportunities available on the IU campus, the City owns and operates a large parks department. The Bryan Park is a 33-acre park offering open green space, a juvenile playground, basketball courts, a .8-mile fitness loop, a .25-mile trail, rentable shelters and free movies in the park during summer months. The Bryan Park Pool, originally opened in 1959, now has a zero-depth play area for toddlers, a diving board, two water slides and a lane set aside for lap swimming. The Cascades Park (lower) contains the City's largest accessible playground, two softballs fields and two reservable shelters. Upper Cascade Park is an 18-acre park and a 249-acre golf course. The residents of the City also have available the Ferguson Dog Park, a free dog park, for their four-legged companions. The City has many other parks throughout the City with playgrounds, basketball and tennis courts, shelters, an ice arena and open areas for entertainment.

Winslow Sports Complex, located on Highland Avenue, is a summer haven for youth and adult sports programs. Everything from tennis lessons to youth baseball and softball leagues can be enjoyed while taking in the natural surroundings that make the sports park a popular recreation choice. The complex boasts six baseball/softball fields, a playground and a .9-mile natural-surface trail that circles the park.

Scenic woodlands teeming with wild flora and fauna surround the 109-acre Griffy lake at the 1,200-acre nature preserve named Griffy Lake Nature Preserve. The Indiana Department of Natural Resources has stocked the lake with bluegill, redear sunfish, largemouth bass, channel catfish and crappie for the fishermen of the area. While swimming is prohibited, there are available rentals for canoes, kayaks and rowboats.

The City of Bloomington is proud to be recognized as a Gold-level "Bicycle Friendly Community" by the League of American Bicyclists, for "longstanding commitments to providing safe accommodation and facilities for bicyclists, and for their efforts to encourage bicycle travel for transportation and recreation". Bloomington was the first League-designated Bicycle Friendly Community in Indiana and the highest rated community in the eastern United States. The Bloomington Bicycle and Pedestrian Safety Commission actively works towards alternative transportation goals. The City has over 15 miles of trails designated for bicycling. There are also several miles of trails dedicated to fitness and hiking.

The City has implemented the Park Ambassador Program. The Program is an all-volunteer program that gives the public an opportunity to promote community stewardship and bridge the communication between the community and the Parks Department. The Park Ambassador Program sends a message that the community cares about its parks. Through weekly visits to the parks, Ambassadors document maintenance needs, report acts of vandalism, interact with park users, promote park safety and encourage an overall positive use of public space.

Along with the abundant library on the IU campus, the Monroe County Library is conveniently located on Kirkwood Avenue in Bloomington. Residents may get a free library card to check out books, movies and music, to download audiobooks, eBooks, DVDs, and digital music, access the databases and reserve meeting rooms and gallery space.

MEDICAL FACILITIES

The City of Bloomington is served by two hospitals: Indiana University Health Bloomington Hospital and Monroe Hospital.

IU Health Bloomington is a general medical and surgical hospital located in Bloomington. The hospital offers a full range of specialty and primary care services for children and adults, including the following areas of clinical expertise: Cancer, cardiovascular, Neuroscience, Orthopedics, Pediatrics and Transplants. The Bloomington hospital is a 306-bed hospital. They receive over 50,000 emergency department visits annually and nearly 15,000 admissions.

Monroe Hospital, also located in Bloomington, is a state-of-the-art facility featuring 32 private rooms for acute care. The emergency room is staffed 24 hours a day with 10 examination rooms. The surgical service boasts 5 surgical suites, 2 endoscopy suites, a cardiology center, a cardiovascular laboratory and areas for orthopedics and physical therapy.

Additionally, Bloomington residents are provided several med-check and physician offices located throughout the City for quick treatment options.

GENERAL ECONOMIC AND FINANCIAL INFORMATION

FINANCIAL INSTITUTIONS

The following is a list of financial institutions serving in the City of Bloomington:

Institutions	Assets as June 30, 2021
	(In Thousands)
Farmers and Mechanics Federal Savings Bank	$ 20,582
Fifth Third Bank	206,136
First Financial Bank	454,049
German American Bank	370,345
Jackson County Bank	7,026
JPMorgan Chase Bank, National Association	991,825
Northwest Bank	53,102
Old National Bank	917,815
Owen County State Bank	57,149
Regions Bank	132,314
The Peoples State Bank	145,234
Union Savings Bank	54,298
Woodforest National Bank	2,478
Source: Federal Deposit Insurance Corporation	

INDUSTRY AND COMMERCE

Bloomington has one of the largest clusters of medical-device and life-science companies in the nation. Cook Medical Group is the biggest reason, but not the only reason, a booming medical device and pharmaceutical industry has bloomed in the City. Life science jobs are six times more concentrated in Bloomington than the national average, according to a report by IU's Kelley School of Business.

Cook Group, Inc. began its production of medical devices in Bloomington in 1963. The company has expanded its expertise into many other areas of medicine, overseas medial product manufacturing and distribution, real estate, retail management and transportation and travel services. In 2004, Cook Pharmica, a division of Cook Group, was founded. Cook Pharmica is a state-of-the-art 900,000 square-foot pharmaceutical development and contract manufacturing facility. In 2017, Catalent Pharma Solutions purchased Cook Pharmica and announced in late 2018 the addition of a 15,000 square foot facility, an investment of $14 million and the addition of 36 jobs.

Baxter Healthcare Pharmaceuticals, a 600,000 square-foot campus, was established in Bloomington in 2004. Baxter is a full-service contract manufacturer focusing on clinical development through commercial launch, including manufacturing, packaging and quality systems.

LARGE EMPLOYERS

Below is a list of the City of Bloomington largest employers, based upon information provided by the Bloomington Economic Development Corporation (BEDC). Based upon 2020 estimates.

Name	Type of Business	Approximate Number of Employees
Indiana University	Education	10,000
Cook, Inc.	Medical Devices	4,200
Indiana University Health-Bloomington	Medical Services	2,733
Monroe County Community Schools	Education	2,174
Kroger	Supermarket	878
Catlent Biologics	Pharmaceuticals	835
Monroe County	Government	738
City of Bloomington	Government	707
Baxter BioPharma Solutions	Pharmaceuticals	610
Ivy Tech Community College	Education	532

EMPLOYMENT

Unemployment percentages for Bloomington, Monroe County and the State of Indiana are reported as provided by the Indiana Department of Workforce Development.

	Unemployment Rate			Bloomington
Year	Bloomington	Monroe County	Indiana	Labor Force
2012	7.3%	7.2%	8.2%	36,781
2013	6.9%	6.7%	7.5%	36,799
2014	6.0%	5.7%	5.9%	37,203
2015	5.3%	4.9%	4.8%	37,116
2016	4.8%	4.6%	4.4%	37,427
2017	3.9%	3.6%	3.5%	37,496
2018	3.9%	3.5%	3.4%	38,100
2019	3.6%	3.2%	3.3%	38,554
2020	5.9%	5.5%	7.2%	37,349
2021	3.4%	3.2%	3.6%	37,392

Distribution of labor force by major employment divisions for Monroe County are as follows:

	2019		2020	
	Number of Employees	Percentage of Total Employment	Number of Employees	Percentage of Total Employment
Agriculture, Forestry, Fishing & Hunting	90	0.14%	93	0.15%
Mining	270	0.42%	321	0.52%
Construction	2,458	3.82%	2,614	4.21%
Manufacturing	7,268	11.30%	7,271	11.72%
Wholesale Trade	1,478	2.30%	1,546	2.49%
Retail Trade	6,424	9.99%	6,036	9.73%
Transportation & Warehousing	766	1.19%	721	1.16%
Utilities	271	0.42%	272	0.44%
Information	909	1.41%	750	1.21%
Finance, Insurance	1,387	2.16%	1,490	2.40%
Real Estate, Rental, Leasing	1,213	1.89%	1,117	1.80%
Services & Other	24,909	38.74%	23,258	37.47%
Government	16,864	26.22%	16,566	26.70%
	64,307	100.00%	62,055	100.00%

Source: Indiana Department of Workforce Development

MISCELLANEOUS ECONOMIC INFORMATION

	Monroe County	Indiana
Per capita personal income	$29,675	$30,693
Median household income	$52,229	$58,235

Source: 2016-2020 American Community Survey 5-year estimates, U.S. Census Bureau.

BUILDING PERMITS

The following schedule presents the number of building permits within the City of Bloomington corporate limits.

	2016	2017	2018	2019	2020
New Residential	82	95	22	38	63

Source : Census Bureau Permit Survey

SCHEDULE OF BONDED INDEBTEDNESS

The following schedule shows the current outstanding bonded indebtedness of the City of Bloomington and the taxing units within and overlapping its jurisdiction as reported by the respective taxing units as of April 18, 2022.

Issuer	Total Debt		Percent Allocable to City	Amount Allocable to City
Revenue Supported Debt:				
City of Bloomington - Utilities	$ 97,636,200	(1)	100.00%	$ 97,636,200
City of Bloomington	17,830,000	(2)	100.00%	17,830,000
City of Bloomington - Park District	3,075,000	(3)	100.00%	3,075,000
Monroe County	2,321,586	(4)	50.23%	1,166,133
Total Revenue Supported Debt				$ 119,707,333
Property Tax Supported Debt:				
City of Bloomington Park District	$ 19,560,000	(5)	100.00%	$ 19,560,000
City of Bloomington	13,855,000	(6)	100.00%	13,855,000
Monroe County	3,100,000	(7)	50.23%	1,557,130
Monroe County Community School Corporation	115,165,000	(8)	57.10%	65,759,215
Richland-Bean Blossom Community Schools	42,841,554	(9)	3.54%	1,516,591
Monroe County Library	8,000,000	(10)	50.23%	4,018,400
Richland Township	149,000	(11)	4.08%	6,079
Monroe County Solid Waste Management District	1,565,000	(12)	50.23%	786,100
Total Property Tax Supported Debt				$ 107,058,515
Tax Increment Supported Debt:				
City of Bloomington	$ 66,725,000	(13)	100.00%	$ 66,725,000
Monroe County	15,760,000	(14)	50.23%	7,916,248
Total Tax Increment Supported Debt				$ 74,641,248

NOTES TO BONDED INDEBTEDNESS

(1)	Proposed Waterworks Revenue Bonds of 2022	$ 15,430,000
	Waterworks Refunding Revenue Bonds of 2020, Series A	4,025,000
	Taxable Waterworks Refunding Revenue Bonds of 2020, Series B	26,755,000
	Waterworks Revenue Bonds of 2017	3,810,000
	Waterworks Revenue Bonds of 2006, Series A	1,658,800
	Sewage Works Refunding Revenue Bonds, Series 2021	5,705,000
	Sewage Works Revenue Bonds of 2020	24,445,000
	Sewage Works Refunding Revenue Bonds, Series 2019	4,245,000
	Sewage Works Revenue Bonds of 2017	5,660,000
	Amended Sewage Works Revenue Bonds of 2006, Series A-1	2,462,400
	Sewage Works Refunding Revenue Bonds, Series 2013	3,440,000
	Total	$ 97,636,200
(2)	General Revenue Annual Appropriation Refunding Bonds, Series 2021	$ 10,770,000
	Equipment Lease Purchase (2018 Advanced Metering Project)	7,060,000
	Total	$ 17,830,000
(3)	Park District Refunding Revenue Bonds of 2017	$ 3,075,000
(4)	Monroe County Convention Center 2016A	$ 964,240
	Monroe County Convention Center 2016B	1,357,346
	Total	$ 2,321,586
(5)	Park District Bonds, Series 2022	$ 5,105,000
	Park District Bonds of 2018, Series A	2,840,000
	Park District Bonds of 2018, Series B	3,225,000
	Park District Bonds of 2018, Series C	2,625,000
	General Obligation Park Bonds of 2016, Series A-E	5,765,000
	Total	$ 19,560,000
(6)	General Obligation Bonds, Series 2022	$ 5,105,000
	General Obligation Bonds of 2016, Series A-H	8,750,000
		$ 13,855,000
(7)	General Obligation Bonds, Series 2021	$ 3,100,000
(8)	General Obligation Bonds of 2021	$ 5,000,000
	General Obligation Bonds of 2020	12,000,000
	Ad Valorem Property Tax First Mortgage Bonds, Series 2020	54,525,000
	General Obligation Bonds of 2018B	890,000
	General Obligation Bonds of 2018	3,310,000
	Ad Valorem Property Tax First Mortgage Refunding Bonds, Series 2016	35,170,000
	Taxable General Obligation Pension Bonds of 2006	4,270,000
	Total	$ 115,165,000

(9)	Taxable General Obligation Bonds, Series 2021	$ 2,400,000
	First Mortgage Refunding Bonds, Series 2021	7,805,000
	First Mortgage Bonds, Series 2020	6,240,000
	Taxable Negotiable School Improvement Notes, Series 2019	1,980,000
	First Mortgage Refunding & Improvement Bonds, Series 2018	9,780,000
	Taxable Ad Valorem Property Tax First Mortgage Bonds, Series 2010A	1,760,000
	Taxable Ad Valorem Property Tax First Mortgage Bonds, Series 2010B	10,000,000
	Qualified School Construction Bonds of 2009	333,000
	First Mortgage Refunding Bonds, Series 2008A (unrefunded)	1,869,636
	Taxable First Mortgage Refunding Bonds, Series 2008B	673,918
	Total	$ 42,841,554
(10)	General Obligation Bonds, Series 2021A	$ 2,000,000
	General Obligation Bonds, Series 2021B	6,000,000
	Total	$ 8,000,000
(11)	General Obligation Bonds of 2016	$ 149,000
(12)	Solid Waste Management District Refunding Bonds of 2012	$ 1,565,000
(13)	(a) Redevelopment District Tax Increment Revenue Bonds of 2019, Series A-1	$ 12,845,000
	(a) Redevelopment District Taxable Tax Increment Revenue Bonds of 2019, Series A-2	2,780,000
	(a) Redevelopment District Tax Increment Revenue Bonds of 2019, Series B	10,615,000
	(a) Redevelopment District Tax Increment Refunding Revenue Bonds, Series 2017	7,805,000
	(b) Redevelopment District Tax Increment Revenue Bonds of 2015	32,680,000
	Total	$ 66,725,000

Note 13 (a): The debt service is payable from Tax Increment in the Downtown Area.

Note 13 (b): The debt service on the Redevelopment District Bonds of 2015 is payable from Tax Increment in the Consolidated Area.

(14)	(a) Redevelopment District Bonds of 2020	$ 6,120,000
	(b) Economic Development Revenue Bonds, Series 2018	6,175,000
	(a) Redevelopment District Bonds of 2015	3,100,000
	(a) Redevelopment District Bonds of 2013	365,000
	Total	$ 15,760,000

Note 14 (a): The debt service on the Redevelopment District Bonds of 2020, 2015 and 2013 are payable from Tax Increment in the Westside Area, and if not sufficient, from a Special Benefits Tax levied in the Redevelopment Area.

Note 14 (b): The debt service on the Economic Development Revenue Bonds, Series 2018 are payable from Tax Increment in the Cook Allocation Area.

DEBT RATIOS

The following table shows the ratios relative to the current property tax secured indebtedness of the City of Bloomington and the taxing units within its jurisdiction.

	Direct Debt Property Tax Supported	Allocable Potion of Property Tax Supported Debt	Total Direct and Overlapping Tax Supported Debt
Total Amount	$ 33,415,000	$ 73,643,515	$ 107,058,515
Per Capita (1)	$ 422.08	$ 930.22	$ 1,352.30
Percent of True Tax Value (2)	0.80%	1.75%	2.54%

(1) The Census Bureau reported the 2020 population at 79,168.

(2) True Tax Value for pay 2022 for the City of Bloomington provided by the Monroe County Auditor totals $4,199,702,068.

FUTURE BONDED INDEBTEDNESS

The City does not anticipate issuing any additional bonds secured by the net revenues of the water works in the next twelve months. The City does anticipate issuing General Obligation Bonds in 2022 for certain long-term capital projects and Park District Bonds in 2022 for Park improvements as noted above.

HISTORICAL SCHEDULE OF NET ASSESSED VALUATIONS
OF THE CITY OF BLOOMINGTON
(Per Monroe County Auditor's Office)

Year Payable	Real Estate	Utilities	Personal Property	Total
2022	$ 3,964,906,632	$64,672,200	$234,303,120	$4,263,881,952
2021	3,796,350,976	64,805,400	215,277,560	4,076,433,936
2020	3,590,047,252	63,535,280	205,704,090	3,859,286,622
2019	3,446,890,704	57,556,730	195,538,387	3,699,985,821
2018	3,302,841,392	63,662,060	193,931,689	3,560,435,141
2017	3,180,105,468	63,290,260	183,986,409	3,427,382,137
2016	3,142,187,215	58,414,400	179,775,449	3,380,377,064
2015	3,068,080,359	50,116,812	165,662,790	3,283,859,961
2014	3,044,493,352	42,893,530	152,031,592	3,239,418,474
2013	3,040,835,417	42,693,527	155,008,115	3,238,537,059

NOTE: Net assessed valuations represent the assessed value less certain deductions for mortgages, veterans, the aged and the blind, as well as tax exempt property

Real property is valued for assessment purposes as its true tax value as defined in the Real Property Assessment Rule, 50 IAC 2.4, and the 2011 Real Property Assessment Manual ("Manual"), as incorporated into 50 IAC 2.4, and the 2011 Real Property Assessment Guidelines ("Guidelines"), as adopted by the Department of Local Government Finance (DLGF). In the case of agricultural land, true tax value is the value determined in accordance with the Guidelines adopted by the DLGF and IC 6-1.1-4-13. In the case of all other real property, true tax value is defined as "The market value-in-use of a property for its current use, as reflected by the utility received by the owner or by a similar user, from the property."

DETAIL OF NET ASSESSED VALUATION
(Per Monroe County Auditor's Office)
For the tax year 2021 payable 2022

	Bloomington City -				
	Bloomington Twp	Perry Twp	Richland Twp	Van Buren Twp	Total
Value of land and lots	$ 578,779,000	$ 1,159,327,600	$ 25,571,300	$ 37,519,500	$ 1,801,197,400
Value of improvements	1,609,866,700	2,916,556,900	30,775,700	78,003,300	4,635,202,600
Total value of real estate	2,188,645,700	4,075,884,500	56,347,000	115,522,800	6,436,400,000
Less: Mortgage, Veterans', Age 65 and other deductions	449,781,875	1,242,958,506	-	13,868,085	1,706,608,466
TIF	404,672,077	314,894,567	38,778,521	6,539,737	764,884,902
	854,453,952	1,557,853,073	38,778,521	20,407,822	2,471,493,368
Net assessed value of real estate	1,334,191,748	2,518,031,427	17,568,479	95,114,978	3,964,906,632
Business personal property	71,629,530	214,722,060	20,418,180	19,601,080	326,370,850
Less: Deductions	6,953,450	84,829,410	-	284,870	92,067,730
Net assessed value of personal property	64,676,080	129,892,650	20,418,180	19,316,210	234,303,120
Net assessed value of utilities	38,124,920	23,833,330	1,580,530	1,133,420	64,672,200
Net assessed valuation	$ 1,436,992,748	$ 2,671,757,407	$ 39,567,189	$ 115,564,608	$ 4,263,881,952

HISTORICAL SCHEDULE OF TOTAL TAX RATE
AND DETAIL OF CITY TAX RATE

The following table shows the total tax rate of the City of Bloomington for the years payable 2013 to 2022, per $100 of net assessed value as obtained from the Monroe County Auditor's office.

	Year Taxes Payable									
	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Corporate General	$ 0.6067	$ 0.6075	$ 0.6196	$ 0.6291	$ 0.6339	$ 0.6202	$ 0.6063	$ 0.6078	$ 0.6057	$ 0.5849
Park	0.1732	0.1745	0.1789	0.1714	0.1700	0.1664	0.1627	0.1629	0.1620	0.1494
Cumulative Capital Development	0.0477	0.0479	0.0493	0.0500	0.0480	0.0480	0.0482	0.0494	0.0500	0.0500
Park Bond	0.0162	0.0170	0.0184	0.0124	-	0.0056	0.0119	0.0191	0.0133	0.0127
Bond #2	0.0176	0.0183	0.0193	0.0204	0.0205	0.0138	-	-	-	-
Bond #3	0.0112	0.0117	0.0123	0.0129	0.0130	0.0087	-	-	-	-
Transportation Bond	-	-	-	-	-	-	0.0255	0.0246	0.0261	0.0271
Total City Tax Rate	$ 0.8726	$ 0.8769	$ 0.8978	$ 0.8962	$ 0.8854	$ 0.8627	$ 0.8546	$ 0.8638	$ 0.8571	$ 0.8241
Total tax rates**										
City of Bloomington										
-Bloomington Township	$ 2.0774	$ 2.0635	$ 2.1157	$ 2.1267	$ 2.1241	$ 2.0783	$ 2.0677	$ 2.0858	$ 2.0762	$ 2.0194
-Perry Township	$ 2.0728	$ 2.0669	$ 2.1122	$ 2.1237	$ 2.1220	$ 2.0756	$ 2.0639	$ 2.0821	$ 2.0754	$ 2.0196
- Richland Township	$ 2.5250	$ 2.5450	$ 2.5079	$ 2.5031	$ 2.7308	$ 2.5523	$ 2.4287	$ 2.4582	$ 2.4191	$ 2.2895
- Van Buren Township	$ 2.1080	$ 2.1022	$ 2.1487	$ 2.1598	$ 2.1567	$ 2.1099	$ 2.0991	$ 2.1186	$ 2.1105	$ 2.0582

**Includes the tax rates of the overlapping taxing units

PROPERTY TAXES LEVIED AND COLLECTED

City of Bloomington
Property Tax Levied and Collected
Last Five Fiscal Years

Year Collected	Current Taxes Assessed	Total Amount Collected	Percent Collected
2017	$ 29,420,623	$ 29,505,416	100.29%
2018	31,000,947	30,963,985	99.88%
2019	32,512,054	32,423,781	99.73%
2020	34,006,504	34,056,708	100.15%
2021	35,225,652	35,546,621	100.91%

LARGE TAXPAYERS

The following is a list of the ten largest taxpayers located in the City of Bloomington within Monroe County, as provided by the Monroe County Auditor's office.

Name	Type of Business	2020 Net Assessed Valuation	Percent of Total Net Assessed Valuation
Baxter Pharmaceutials	Pharmaceuticals	$ 85,380,690	2.03%
Cook Pharmica LLC	Manufacturing	42,341,430	1.01%
Catalent Indiana LLC	Pharmaceuticals	41,735,970	0.99%
Regency Dunnhill JV LLC	Apartments	39,390,700	0.94%
University Properties LLC	Apartments	34,556,990	0.82%
Smallwood Plaza LLC	Apartments	33,263,800	0.79%
Tailwind Bloomington LLC	Apartments	32,353,940	0.77%
The Fields Sh LLC	Apartments	31,730,080	0.76%
Student Housing SPE - Patterson LLC	Apartments	31,173,750	0.74%
SSC Muller Apartments LLC	Apartments	30,419,880	0.72%
		$ 402,347,230	9.57%

The total certified net assessed valuation of the City of Bloomington is $4,199,702,068 for taxes payable in 2022, according to the Monroe County Auditor's Office.

Source: Monroe County Auditor

PENSION LIABILITIES

City employees have pensions funded under the Public Employees Retirement Fund (PERF) of the State of Indiana. Provided below is a statement of Net Pension Liability, Required Annual Pension Contributions and the covered payroll for the listed pension plans.

	Year Ending	Ending Net Pension Liability (Asset)	Required Annual Contributions	Covered Payroll
PERF (Civil Employees)	6/30/21	$4,293,348	$2,002,448	$17,989,273
PERF - 77 Police	6/30/21	($3,304,898)	$929,081	$5,309,063
PERF - 77 Firefighters	6/30/21	($3,865,476)	$1,086,673	$6,209,580

The City also participates in the 1925 Police Officers' Pension Plan and the 1937 Firefighters' Pension Plan. These plans are single-employer defined benefit pension plans. The plans are administered by the local pension board as authorized by state statute (IC 36-8-6). The City receives semi-annual payments from the State Pension Relief Fund and uses those funds to make its monthly contributions.

OTHER POST EMPLOYMENT BENEFITS (OPEB)

The City provides to eligible retirees and their spouses medical, dental, vision and life insurance benefits. Information regarding the benefits can be obtained by contacting the City.

CITY OF BLOOMINGTON, INDIANA

By: /s/ John Hamilton
John Hamilton, Mayor

ATTEST: /s/ Jeffery H. Underwood
Jeffery H. Underwood, CPA
Controller

APPENDIX B

ACCOUNTING REPORT

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WATER UTILITY

ACCOUNTING REPORT

June 1, 2022

Prepared by:

KROHN & ASSOCIATES
CPAS AND CONSULTANTS

BLOOMINGTON MUNICIPAL WATER UTILITY

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KROHN & ASSOCIATES
CPAS AND CONSULTANTS

ACCOUNTANT'S COMPILATION REPORT

Common Council Members
Bloomington Municipal Water Utility
401 N Morton Street, Suite 110
Bloomington, IN 47404

June 1, 2022

Management is responsible for the accompanying projection of the Bloomington Municipal Water Utility, which comprises the projected revenues, operation and maintenance expenses, debt service, and debt service coverage for the years ending December 31, 2022, 2023 and 2024 the related summaries of significant assumptions and accounting policies in accordance with guidelines for the presentation of a projection established by the American Institute of Certified Public Accountants (AICPA). We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not examine or review the projection nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on this projection.

Even if the Bloomington Municipal Water Utility completes the proposed transaction the projected results may not be achieved, as there will usually be differences between projected and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying projection and this report were prepared for inclusion in the Official Statement prepared for the purpose of conducting the sale of the proposed Waterworks Revenue Bonds of 2022 in the amount of $15,430,000, to fund various projects at the treatment plant and throughout the distribution system and to pay costs of issuance and are not intended to be and should not be used for any other purpose.

Management is responsible for the accompanying financial statements which comprise the Statements of Net Position as of December 31, 2019, 2020 and 2021, and the related Statements of Revenues, Expenses and Changes in Net Position and Statements of Cash Flows for the years then ended in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

The supplementary information contained on pages 20-25 is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management. The supplementary information was subject to our compilation engagement. We have not audited or reviewed the supplementary information and do not express an opinion, conclusion, nor provide any assurance on such information.

Management has elected to omit substantially all the disclosures ordinarily included in the financial statements prepared in accordance with accounting principles generally accepted in the United States. If the omitted disclosures were included in the financial statements, they might influence the user's conclusions about Bloomington Municipal Water Utility's statements of financial position, results of operations and cash flows. Accordingly, the financial statements are not designed for those who are not informed on such matters.

O.W. Krohn & Associates

O. W. Krohn & Associates LLP

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

PROJECTED REVENUES, OPERATION AND MAINTENANCE EXPENSES, DEBT SERVICE AND DEBT SERVICE COVERAGE

BLOOMINGTON MUNICIPAL WATER UTILITY

PROJECTED REVENUES, OPERATION AND MAINTENANCE EXPENSES,
DEBT SERVICE AND DEBT SERVICE COVERAGE

PROJECTED OPERATING REVENUES:	2022	2023	2024
RESIDENTIAL SALES (1)	$ 8,450,459	$ 8,450,459	$ 8,450,459
COMMERCIAL SALES (1)	1,962,829	1,962,829	1,962,829
INDUSTRIAL SALES (1)	158,404	158,404	158,404
PUBLIC AUTHORITY SALES (1)	1,829,604	1,829,604	1,829,604
WHOLESALE WATER (1)	2,416,353	2,416,353	2,416,353
FIRE PROTECTION (1)	1,613,336	1,613,336	1,613,336
OTHER SALES REVENUES (1)	992,383	992,383	992,383
ADJUSTMENT:			
PHASE I - 8.39% - EFFECTIVE JANUARY 1, 2022	1,461,821	1,461,821	1,461,821
PHASE II - 9.11% - EFFECTIVE JANUARY 1, 2024			1,720,441
INTEREST INCOME (1)	12,864	12,864	12,864
TOTAL PROJECTED OPERATING REVENUES	18,898,053	18,898,053	20,618,494
PRO FORMA CASH OPERATING EXPENSES (2)	10,357,245	10,667,962	10,988,001
NET PLEDGED REVENUES	$ 8,540,808	$ 8,230,091	$ 9,630,493
COMBINED ANNUAL DEBT SERVICE	$ 5,681,712	$ 6,049,514	$ 6,591,524 (3)
PROJECTED DEBT SERVICE COVERAGE	150%	136%	146%

(1) Assumed at Test Year amounts.

(2) See pages 11 - 12, years 2023 and 2024 have been adjusted to reflect a 3.0% inflationary increase.

(3) Reflects the maximum combined annual debt service. See page 10.

BLOOMINGTON MUNICIPAL WATER UTILITY

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, ASSUMPTIONS AND NOTES

These financial projections present, to the best of management's knowledge and belief, the Bloomington Municipal Water Utility (the "Utility") expected operating revenue, operation and maintenance expenses, debt service and debt service coverage for the years ending December 31, 2022, 2023 and 2024. Accordingly, the projection reflects management's judgment of the expected conditions and its expected course of actions as of June 1, 2022, the date of this projection. The financial projection is based upon management's assumptions concerning future events and circumstances. The assumptions disclosed herein are those which management believes are significant to the projection or are key factors upon which the financial results of the enterprise depend and are not all-inclusive.

Some assumptions inevitably will not materialize, and unanticipated events and circumstances may occur subsequent to June 1, 2022, the date of this projection. Therefore, the actual results achieved during the projected period could vary from the projection and those variances could be material.

This financial projection has been prepared in conjunction with the issuance of Waterworks Revenue Bonds of 2022 (the "Bonds") in the amount of $15,430,000. The Bonds are intended to finance multiple projects at the water treatment plant and throughout the distribution system. The remaining proceeds from of the Bonds will pay costs of issuance (including paying the premium for a municipal bond insurance policy) and fund a debt service reserve fund. It is anticipated that the Bonds will close June 23, 2022.

Reporting Entity

The financial statements of the Utility, a component unit (Enterprise Fund) of the City of Bloomington, Indiana, conform to requirements of the Indiana State Board of Accounts for the state and local governments. The Utility provides services to over 25,000 customers in the greater Bloomington area, including Indiana University. The operations of the Bloomington Municipal Water Utility include sourcing water, treatment of water, distribution of water and related management activities.

Basis of Accounting

The accounts of the Utility are maintained, and the financial statements are presented, on an accrual basis as prescribed by the Governmental Accounting Standards Board. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

- Capital Assets: Property and equipment are recorded at actual or estimated historical cost. Maintenance and repairs are charged to operating expense as incurred; major renewals and betterments are capitalized. Contributed or donated assets are reported at estimated fair value when received.
- Depreciation: Computed on a straight-line method, using a composite depreciation rate based on the estimated useful service lives of various classes of property.
- Accounts Receivable: Stated in the amount management expects to collect from outstanding balances. Management provides for probable uncollectible amounts through a provision for uncollectible accounts.
- Basis of Estimates: The preparation of financial statements in accordance with generally accepted accounting principles requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Proposed Bond Issue

The City's bond ordinance was adopted on March 17, 2021 and authorizes the issuance of bonds and BAN's in multiple series in an aggregate amount not to exceed $17,200,000. The bond ordinance requires the accumulation of a debt service reserve. The existing reserve for the 2006A Bonds, 2017 Bonds, 2020A Refunding Bonds, and 2020B Refunding Bonds, as defined in the next section, is fully funded. It is assumed that the proposed debt service reserve will equal the least of the 3 prong test for the Bonds.

The City has previously issued bonds to fund improvements to its water works which are payable out of the Net Revenues of the water utility and designated as follows: Waterworks Revenue Bonds of 2006, Series A amended March 26, 2015 ("2006A Bonds"), now outstanding in the principal amount of $1,658,000 and maturing semi-annually over a period ending January 1, 2027, Waterworks Revenue Bonds of 2017 dated July 25, 2017 (the "2017 Bonds"), now outstanding in the principal amount of $3,810,000 and maturing semi-annually over the period ending July 1, 2037, the Waterworks Revenue Refunding Bonds of 2020, Series A dated May 28, 2020 (the "2020A Refunding Bonds"), now outstanding in the principal amount of $4,025,000 and maturing semi-annually over the period ending January 1, 2025 and Taxable Waterworks Revenue Refunding Bonds of 2020, Series B dated May 28, 2020 ("2020B Refunding Bonds"), now outstanding in the amount of $26,755,000, and maturing semi-annually over a period ending January 1, 2029 (collectively, the "Outstanding Bonds").

The Bonds will be issued on parity with the Outstanding Bonds.

Revenues

Projected annual operating revenues for the projection period are based on the recorded results of operations for the twelve months ended December 31, 2021 (the "Test Year") and the following adjustments:

A. The Utility has adopted new water rates which will be implemented over two phases. Phase I became effective January 1, 2022 and provides for an increase in revenues of 8.39%. Phase II rates will become effective January 1, 2024 providing for a 9.11% increase.
B. Interest Income is assumed at Test Year Amounts.

Operating Expenses

Projected operating expenses are based on the budgeted amounts for years 2022, 2023 and 2024.

Debt Service

The Bonds have been amortized over 19.52 years. It is anticipated that the Bonds will be dated the day of closing assumed to be June 23, 2022. First principal payment is scheduled to be made on July 1, 2024. Principal is to be paid semi-annually thereafter on January 1st and July 1st with the final maturity on January 1, 2042. Interest payments on the Bonds will be made semi-annually on January 1st and July 1st beginning January 1, 2023. The Bonds will be secured by a pledge of Net Revenues of the Utility on a parity with the Outstanding Bonds. The combined debt service schedule includes the proposed Bonds and payments due for all Outstanding Bonds as summarized on page 10. It should be noted that our projection of debt service coverage for 2024 is based on the maximum annual combined debt service, including the Bonds ($6,591,524).

BLOOMINGTON MUNICIPAL WATER UTILITY

GENERAL COMMENTS

Schedule of Estimated Sources and Uses of Funds – Page 8

The Bonds will fund various projects at the treatment plant and throughout the distribution system. The remaining proceeds will pay the costs of issuance. Based upon engineer's estimate's the Project will cost $15,687,000, $1,313,625 to fund the debt service reserve fund and $290,219 to cover the costs of issuance and contingency.

Amortization Schedule of Proposed $15,430,000 Waterworks Revenue Bonds of 2022 – Page 9

This schedule presents the amortization of $15,430,000 of Proposed Waterworks Revenue Bonds of 2022. The Bonds will have semiannual interest payments on January 1st and July 1st beginning January 1, 2023. Semi-annual January 1st and July 1st principal payments are scheduled beginning July 1, 2024 with a final maturity on January 1, 2042. A coupon rate of 5.00% is presented.

Schedule of Proposed Combined Debt Service – Page 10

This schedule summarizes the total combined debt service requirements for the Bonds as shown on page 9 along with the outstanding 2006 Refunding Bonds, 2017 Bonds, 2020A Refunding Bonds and 2020B Refunding Bonds. Amortization schedules for the outstanding 2006 Bonds, 2017 Bonds, 2020A Refunding Bonds and 2020B Refunding Bonds are included on pages 22-25. The maximum combined annual debt service is $6,591,524.

Schedule of Operation and Maintenance Expenses Adjusted to Pro Forma – Page 11-12

This schedule presents the test year (2021) operation and maintenance expenses with adjustments to a project future year operation and maintenance expenses.

Schedule of Current and Adopted Water Rates and Charges – Page 13-14

The prior and current water rates are shown on this schedule.

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

PROJECTED SUPPLEMENTAL FINANCIAL INFORMATION

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF ESTIMATED SOURCES AND USES OF FUNDS

	AMOUNT
SOURCES OF FUNDS:	
PROPOSED 2022 BONDS	$ 15,430,000.00
ORIGINAL ISSUE PREMIUM	1,860,843.85
TOTAL SOURCES OF FUNDS	$ 17,290,843.85
USES OF FUNDS:	
PROJECT FUND	$ 15,687,000.00
DEBT SERVICE RESERVE FUND	1,313,625.00
ADMINISTRATION AND OTHER COSTS OF ISSUANCE	290,218.85
TOTAL USES OF FUNDS	$ 17,290,843.85

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF AMORTIZATION OF PROPOSED $15,430,000 WATERWORKS REVENUE BONDS OF 2022

PROPOSED CLOSING DATE: JUNE 23, 2022

PAYMENT DATE	PRINCIPAL BALANCE	INTEREST RATES	DEBT SERVICE PRINCIPAL	DEBT SERVICE INTEREST	DEBT SERVICE TOTAL	BOND YEAR TOTAL
1/1/2023	$ 15,430,000			$ 402,894.44	$ 402,894.44	$ 402,894.44
7/1/2023	15,430,000			385,750.00	385,750.00	
1/1/2024	15,430,000			385,750.00	385,750.00	771,500.00
7/1/2024	15,430,000	5.000%	$ 270,000	385,750.00	655,750.00	
1/1/2025	15,160,000	5.000%	275,000	379,000.00	654,000.00	1,309,750.00
7/1/2025	14,885,000	5.000%	285,000	372,125.00	657,125.00	
1/1/2026	14,600,000	5.000%	290,000	365,000.00	655,000.00	1,312,125.00
7/1/2026	14,310,000	5.000%	295,000	357,750.00	652,750.00	
1/1/2027	14,015,000	5.000%	305,000	350,375.00	655,375.00	1,308,125.00
7/1/2027	13,710,000	5.000%	310,000	342,750.00	652,750.00	
1/1/2028	13,400,000	5.000%	320,000	335,000.00	655,000.00	1,307,750.00
7/1/2028	13,080,000	5.000%	330,000	327,000.00	657,000.00	
1/1/2029	12,750,000	5.000%	335,000	318,750.00	653,750.00	1,310,750.00
7/1/2029	12,415,000	5.000%	345,000	310,375.00	655,375.00	
1/1/2030	12,070,000	5.000%	355,000	301,750.00	656,750.00	1,312,125.00
7/1/2030	11,715,000	5.000%	360,000	292,875.00	652,875.00	
1/1/2031	11,355,000	5.000%	370,000	283,875.00	653,875.00	1,306,750.00
7/1/2031	10,985,000	5.000%	380,000	274,625.00	654,625.00	
1/1/2032	10,605,000	5.000%	390,000	265,125.00	655,125.00	1,309,750.00
7/1/2032	10,215,000	5.000%	400,000	255,375.00	655,375.00	
1/1/2033	9,815,000	5.000%	410,000	245,375.00	655,375.00	1,310,750.00
7/1/2033	9,405,000	5.000%	420,000	235,125.00	655,125.00	
1/1/2034	8,985,000	5.000%	430,000	224,625.00	654,625.00	1,309,750.00
7/1/2034	8,555,000	5.000%	440,000	213,875.00	653,875.00	
1/1/2035	8,115,000	5.000%	450,000	202,875.00	652,875.00	1,306,750.00
7/1/2035	7,665,000	5.000%	465,000	191,625.00	656,625.00	
1/1/2036	7,200,000	5.000%	475,000	180,000.00	655,000.00	1,311,625.00
7/1/2036	6,725,000	5.000%	485,000	168,125.00	653,125.00	
1/1/2037	6,240,000	5.000%	500,000	156,000.00	656,000.00	1,309,125.00
7/1/2037	5,740,000	5.000%	510,000	143,500.00	653,500.00	
1/1/2038	5,230,000	5.000%	525,000	130,750.00	655,750.00	1,309,250.00
7/1/2038	4,705,000	5.000%	540,000	117,625.00	657,625.00	
1/1/2039	4,165,000	5.000%	550,000	104,125.00	654,125.00	1,311,750.00
7/1/2039	3,615,000	5.000%	565,000	90,375.00	655,375.00	
1/1/2040	3,050,000	5.000%	580,000	76,250.00	656,250.00	1,311,625.00
7/1/2040	2,470,000	5.000%	595,000	61,750.00	656,750.00	
1/1/2041	1,875,000	5.000%	610,000	46,875.00	656,875.00	1,313,625.00
7/1/2041	1,265,000	5.000%	625,000	31,625.00	656,625.00	
1/1/2042	640,000	5.000%	640,000	16,000.00	656,000.00	1,312,625.00
TOTALS			$ 15,430,000	$ 9,328,394.44	$ 24,758,394.44	$ 24,758,394.44

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF COMBINED DEBT SERVICE

PAYMENT DATE	2006 REFUNDING BOND BANK BONDS	2017 BONDS	2020A REFUNDING BONDS	2020B REFUNDING BONDS	PROPOSED 2022 BONDS	TOTAL DEBT SERVICE	BOND YEAR TOTAL
7/1/2022	$ 187,776.63	$ 146,571.89	$ 785,187.50	$ 1,519,246.25		$ 2,638,782.27	
1/1/2023	188,944.21	150,671.89	784,525.00	1,515,893.75	$ 402,894.44	3,042,929.29	$ 5,681,711.56
7/1/2023	189,984.21	149,721.89	638,825.00	1,662,508.75	385,750.00	3,026,789.85	
1/1/2024	190,911.41	148,771.89	639,175.00	1,658,116.25	385,750.00	3,022,724.55	6,049,514.40
7/1/2024	186,701.52	147,821.89	639,487.50	1,665,791.25	655,750.00	3,295,552.16	
1/1/2025	187,398.88	151,871.89	639,762.50	1,658,296.25	654,000.00	3,291,329.52	6,586,881.68
7/1/2025	188,085.15	150,371.89		2,300,758.75	657,125.00	3,296,340.79	
1/1/2026	188,657.91	148,871.89		2,302,653.75	655,000.00	3,295,183.55	6,591,524.34
7/1/2026	189,017.17	152,371.89		2,299,378.75	652,750.00	3,293,517.81	
1/1/2027	189,365.34	150,796.89		2,295,976.25	655,375.00	3,291,513.48	6,585,031.29
7/1/2027		154,221.89		2,484,721.25	652,750.00	3,291,693.14	
1/1/2028		147,571.89		2,491,418.75	655,000.00	3,293,990.64	6,585,683.78
7/1/2028		150,996.89		2,487,823.75	657,000.00	3,295,820.64	
1/1/2029		149,346.89		2,489,033.75	653,750.00	3,292,130.64	6,587,951.28
7/1/2029		152,696.89			655,375.00	808,071.89	
1/1/2030		150,971.89			656,750.00	807,721.89	1,615,793.78
7/1/2030		149,246.89			652,875.00	802,121.89	
1/1/2031		152,521.89			653,875.00	806,396.89	1,608,518.78
7/1/2031		150,721.89			654,625.00	805,346.89	
1/1/2032		153,921.89			655,125.00	809,046.89	1,614,393.78
7/1/2032		156,968.76			655,375.00	812,343.76	
1/1/2033		149,937.51			655,375.00	805,312.51	1,617,656.27
7/1/2033		157,984.38			655,125.00	813,109.38	
1/1/2034		150,875.00			654,625.00	805,500.00	1,618,609.38
7/1/2034		158,843.75			653,875.00	812,718.75	
1/1/2035		151,656.25			652,875.00	804,531.25	1,617,250.00
7/1/2035		159,462.50			656,625.00	816,087.50	
1/1/2036		152,106.25			655,000.00	807,106.25	1,623,193.75
7/1/2036		154,831.25			653,125.00	807,956.25	
1/1/2037		157,475.00			656,000.00	813,475.00	1,621,431.25
7/1/2037		315,037.50			653,500.00	968,537.50	
1/1/2038					655,750.00	655,750.00	1,624,287.50
7/1/2038					657,625.00	657,625.00	
1/1/2039					654,125.00	654,125.00	1,311,750.00
7/1/2039					655,375.00	655,375.00	
1/1/2040					656,250.00	656,250.00	1,311,625.00
7/1/2040					656,750.00	656,750.00	
1/1/2041					656,875.00	656,875.00	1,313,625.00
7/1/2041					656,625.00	656,625.00	
1/1/2042					656,000.00	656,000.00	1,312,625.00
TOTALS	$ 1,886,842.43	$ 4,875,240.95	$ 4,126,962.50	$ 28,831,617.50	$ 24,758,394.44	$ 64,479,057.82	$ 64,479,057.82

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

OPERATION AND MAINTENANCE EXPENSES ADJUSTED TO PRO FORMA
BASED ON THE TEST YEAR ENDED DECEMBER 31, 2021

OPERATING EXPENSES	TEST YEAR	ADJUSTMENTS	REF	PRO FORMA
TREATMENT PLANTS:				
SALARIES AND WAGES	$ 843,253	$ 16,865	(1)	$ 860,118
EMPLOYEE BENEFITS AND PENSIONS	381,305	7,626	(2)	388,931
PURCHASED POWER	949,742	18,995	(3)	968,737
PURCHASED WATER	177,490	3,550	(3)	181,040
MATERIALS AND SUPPLIES	223,621	4,472	(3)	228,093
CHEMICALS	996,576	(81,337)	(4)	915,239
REPAIRS AND MAINTENANCE	125,127	13,549	(4)	138,676
OTHER UTILITIES	12,302	246	(3)	12,548
PHONE AND INTERNET	5,593	112	(3)	5,705
TRANSPORTATION	33,327	667	(3)	33,994
CONTRACTUAL SERVICES	29,872	597	(3)	30,469
MISCELLANEOUS EXPENSES	35,690	(3,227)	(4)	32,463
SUBTOTALS	3,813,898	(17,885)		3,796,013
DISTRIBUTION SYSTEM:				
SALARIES AND WAGES	810,245	16,205	(1)	826,450
EMPLOYEE BENEFITS AND PENSIONS	406,042	8,121	(2)	414,163
PURCHASED POWER	514,425	10,289	(3)	524,714
MATERIALS AND SUPPLIES	294,031	5,881	(3)	299,912
REPAIRS AND MAINTENANCE	564,617	(64,416)	(4)	500,201
OTHER UTILITIES	536	11	(3)	547
PHONE AND INTERNET	6,081	122	(3)	6,203
TRANSPORTATION	-	-	(3)	-
MISCELLANEOUS EXPENSES	17,576	4	(4)	17,580
SUBTOTALS	2,613,553	(23,783)		2,589,770
LABORATORY:				
SALARIES AND WAGES	74,386	1,488	(1)	75,874
EMPLOYEE BENEFITS AND PENSIONS	38,548	771	(2)	39,319
MATERIALS AND SUPPLIES	24,917	498	(3)	25,415
CHEMICALS	-	6,332	(4)	6,332
CONTRACTUAL SERVICES	46,940	939	(3)	47,879
MISCELLANEOUS EXPENSES	10	115	(4)	125
SUBTOTALS	184,801	10,143		194,944

(1) Salaries and wages assume a 2.0% inflationary adjustment.
(2) Employee benefits and pension assume a 2.0% inflationary adjustment.
(3) Assumes an inflationary adjustment of 2.0%.
(4) Assumed to approximate the historical average.

BLOOMINGTON MUNICIPAL WATER UTILITY

OPERATION AND MAINTENANCE EXPENSES ADJUSTED TO PRO FORMA
(CONTINUED)
BASED ON THE TEST YEAR ENDED DECEMBER 31, 2021

	TEST YEAR	ADJUSTMENTS	REF	PRO FORMA
CUSTOMER ACCOUNTS:				
SALARIES AND WAGES	$ 381,296	$ 7,626	(1)	$ 388,922
EMPLOYEE BENEFITS AND PENSIONS	206,450	4,129	(2)	210,579
MATERIALS AND SUPPLIES	142,700	2,854	(3)	145,554
REPAIRS AND MAINTENANCE	557	339	(4)	896
PHONE AND INTERNET	3,144	63	(3)	3,207
TRANSPORTATION	24,899	498	(3)	25,397
BAD DEBT EXPENSE	9,825	160	(4)	9,985
MISCELLANEOUS EXPENSES	202,892	(31,763)	(4)	171,129
SUBTOTALS	971,763	(16,094)		955,669
ENGINEERING:				
SALARIES AND WAGES	398,699	7,974	(1)	406,673
EMPLOYEE BENEFITS AND PENSIONS	193,461	3,869	(2)	197,330
MATERIALS AND SUPPLIES	11,056	221	(3)	11,277
REPAIRS AND MAINTENANCE	1,798	173	(4)	1,971
PHONE AND INTERNET	8,820	176	(3)	8,996
TRANSPORTATION	15,711	314	(3)	16,025
CONTRACTUAL SERVICES	12,297	246	(3)	12,543
MISCELLANEOUS EXPENSES	5,096	17,571	(4)	22,667
SUBTOTALS	646,938	30,544		677,482
ADMINISTRATIVE AND GENERAL:				
SALARIES AND WAGES	724,937	14,499	(1)	739,436
SALARIES AND WAGES - SHARED SERVICES	189,646	-		193,439
EMPLOYEE BENEFITS AND PENSIONS	320,667	6,413	(2)	327,080
PURCHASED POWER	6,759	135	(3)	6,894
MATERIALS AND SUPPLIES	60,852	1,217	(3)	62,069
REPAIRS AND MAINTENANCE	19,324	(5,152)	(4)	14,172
OTHER UTILITIES	8,769	175	(3)	8,944
PHONE AND INTERNET	21,074	421	(3)	21,495
TRANSPORTATION	15,795	316	(3)	16,111
CONTRACTUAL SERVICES	414,600	85,400	(5)	500,000
LIABILITY INSURANCE	126,194	2,524	(3)	128,718
MISCELLANEOUS EXPENSES	122,558	2,451	(3)	125,009
SUBTOTALS	2,031,175	108,399		2,143,367
TOTALS	$ 10,262,128	$ 91,324		$ 10,357,245

(1) Salaries and wages assume a 2.0% inflationary adjustment.
(2) Employee benefits and pension assume a 2.0% inflationary adjustment.
(3) Assumes an inflationary adjustment of 2.0%.
(4) Assumed to approximate the historical average.
(5) Per management.

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF CURRENT WATER RATES AND CHARGES

	PHASE I	PHASE II
MONTHLY USAGE CHARGE (PER 1,000 GALLONS) (1)		
RESIDENTIAL	$ 4.03	$ 4.38
COMMERCIAL, GOVERNMENTAL, INTERDEPARTMENTAL	3.54	3.98
INDUSTRIAL	3.28	3.71
INDIANA UNIVERSITY:		
MASTER METER	2.66	2.99
OTHER METERS	3.54	3.98
IRRIGATION	4.11	4.92
MONTHLY BASE SERVICE CHARGE (PER METER) (1)		
5/8" METER	$ 6.17	$ 6.50
3/4" METER	7.89	7.93
1" METER	10.63	10.68
1 1/2" METER	20.10	22.12
2" METER	27.81	29.70
3" METER	60.79	61.06
4" METER	99.96	100.41
6" METER	197.90	198.80
8" METER	295.84	297.19
10" METER	393.77	395.56

	PHASE I		PHASE II	
	INSIDE CITY	OUTSIDE CITY	INSIDE CITY	OUTSIDE CITY
MONTHLY FIRE PROTECTION CHARGE (PER METER) (1)				
5/8" METER	$ 2.07	$ 3.46	$ 2.20	$ 3.67
3/4" METER	3.09	5.21	3.28	5.52
1" METER	5.16	8.68	5.48	9.21
1 1/2" METER	10.33	17.33	10.95	18.38
2" METER	16.52	27.76	17.52	29.44
3" METER	36.15	60.72	38.34	64.40
4" METER	61.96	104.05	65.71	110.35
6" METER	129.12	216.79	136.94	229.92
8" METER	185.92	312.15	197.19	331.07
10" METER	299.51	502.94	317.67	533.42
INDIANA UNIVERSITY	1,480.00	-	1,480.00	-

(1) PER IURC CAUSE NO. 45533 DATED DECEMBER 22, 2021.

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF CURRENT WATER RATES AND CHARGES
(CONTINUED)

	PHASE I	PHASE II
CONTRACT SALES FOR RESALE (PER 1,000 GALLONS) (1)	2.68	3.03

CONTRACT SALES FOR RESALE MONTHLY SERVICE CHARGE IN ADDITION TO MONTHLY USAGE CHARGE (1)

5/8" METER	$ 6.17	$ 6.50
3/4" METER	7.89	7.93
1" METER	10.63	10.68
1 1/2" METER	20.10	22.12
2" METER	27.81	29.70
3" METER	60.79	61.06
4" METER	99.96	100.41
6" METER	197.90	198.80
8" METER	295.84	297.19
10" METER	393.77	395.56

	PHASE I		PHASE II	
MONTHLY PRIVATE FIRE PROTECTION (FIRE LINES) (1)	MONTHLY	ANNUALLY	MONTHLY	ANNUALLY
4" OR LESS CONNECTION	$ 10.41	$ 124.92	$ 11.04	$ 132.48
6" CONNECTION	28.93	347.16	30.69	368.28
8" CONNECTION	59.29	711.48	62.89	754.68
10" CONNECTION	103.85	1,246.20	110.14	1,321.68
12" CONNECTION	163.73	1,964.76	173.66	2,083.92

CONNECTION CHARGES (ONE-TIME CHARGES)

5/8" TO 1" METER CONNECTION (IF TAP IS REQUIRED)	$ 1,533
1" METER CONNECTION (IF TAP HAS ALREADY BEEN MADE)	1,327
GREATER THAN 1" METER CONNECTION	Cost of connection but not less than charge for 5/8" to 1" connection

NON-RECURRING CHARGES (PER OCCURANCE)

SERVICE CALL:	
WORK HOURS	$ 45.00
AFTER HOURS	171.00
NSF FEE	25.00
LATE PAYMENT CHARGES	3% of unpaid balance

METER DEPOSITS (WHEN BEGINNING SERVICE)

RESIDENTIAL	$ 39.00
COMMERCIAL	Not to exceed 1/6 of annual bills

(1) PER IURC CAUSE NO. 45533 DATED DECEMBER 22, 2021.

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

UNAUDITED HISTORICAL FINANCIAL INFORMATION

BLOOMINGTON MUNICIPAL WATER UTILITY

STATEMENTS OF NET POSITION
AS OF

ASSETS	12/31/2021	12/31/2020	12/31/2019
CURRENT AND ACCRUED ASSETS:			
OPERATING CASH AND EQUIVALENTS	$ 2,507,897	$ 5,456,412	$ 5,629,617
ACCOUNTS RECEIVABLE - CUSTOMERS	999,015	1,120,664	1,053,201
SUPPLIES INVENTORY	679,369	744,037	689,508
PREPAID EXPENSES/TAXES	-	623	623
TOTAL CURRENT AND ACCRUED ASSETS	4,186,281	7,321,736	7,372,949
NON-CURRENT ASSETS:			
RESTRICTED ASSETS:			
BOND AND INTEREST CASH AND EQUIVALENTS	2,637,864	3,958,254	1,607,989
DEBT SERVICE RESERVE CASH AND EQUIVALENTS	4,359,051	-	6,252,339
CONSTRUCTION CASH AND EQUIVALENTS	124,096	408,742	936,801
HYDRANT DEPOSITS	48,000	43,750	43,650
METER DEPOSITS	1,000	-	-
TOTAL RESTRICTED ASSETS	7,170,011	4,410,746	8,840,779
CAPITAL ASSETS			
UTILITY PLANT IN SERVICE	152,926,016	148,540,067	145,149,832
ACCUMULATED DEPRECIATION	(63,291,839)	(60,005,432)	(56,866,623)
CONSTRUCTION WORK IN PROGRESS	2,114,597	5,690,292	5,463,406
NET CAPITAL ASSETS	91,748,774	94,224,927	93,746,615
TOTAL NON-CURRENT ASSETS	98,918,785	98,635,673	102,587,394
DEFERRED DEBITS:			
UNAMORTIZED BOND ISSUANCE COSTS	46,125	56,375	66,625
UNAMORTIZED BOND DISCOUNT	702,940	731,687	509,100
TOTAL DEFERRED DEBITS	749,065	788,062	575,725
TOTAL ASSETS AND DEFERRED DEBITS	$ 103,854,131	$ 106,745,471	$ 110,536,068

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

STATEMENTS OF NET POSITION
(CONTINUED)
AS OF

LIABILITIES AND NET POSITION	12/31/2021	12/31/2020	12/31/2019
CURRENT AND ACCRUED LIABILITIES:			
ACCOUNTS PAYABLE	$ 1,078,652	$ 328,856	$ 309,764
ACCOUNTS PAYABLE - CITY (SHARED SERVICES)	-	-	1,778,598
PREPAID COLLECTIONS	80,002	98,405	70,907
PAYABLE TO OTHER FUNDS	4,840	3,941	3,091
ACCRUED SALARIES AND WAGES	55,282	40,585	134,876
ACCRUED TAXES PAYABLE	26,168	24,365	79,651
COMPENSATED ABSENCES PAYABLE	51,606	45,426	39,124
HYDRANT DEPOSITS - PAYABLE	48,000	43,750	43,650
METER DEPOSITS - PAYABLE	1,000	-	-
CURRENT PORTION OF LONG-TERM DEBT:			
CAPITAL LEASES	-	-	252,000
2020 REFUNDING BONDS	2,020,000	1,995,000	-
2017 BONDS	90,000	90,000	180,000
2015 REFUNDING BONDS	148,100	138,600	134,100
2011A BONDS	-	-	350,000
2011B BONDS	-	-	375,000
2003A BONDS	-	-	270,000
2003B BONDS	-	-	472,000
2003 REFUNDING BONDS	-	-	275,000
2000 BONDS	-	-	1,053,000
TOTAL CURRENT AND ACCRUED LIABILITIES	3,603,650	2,808,928	5,820,761
NON-CURRENT LIABILITIES:			
COMPENSATED ABSENCES OUTSTANDING	98,923	102,878	79,982
CAPITAL LEASES OUTSTANDING	3,002,000	3,348,000	3,348,000
2020 REFUNDING BONDS OUTSTANDING	30,780,000	34,810,000	-
2017 BONDS OUTSTANDING	3,810,000	3,990,000	4,080,000
2015 REFUNDING BONDS OUTSTANDING	1,658,800	1,950,200	2,227,700
2011A BONDS OUTSTANDING	-	-	3,320,000
2011B BONDS OUTSTANDING	-	-	30,480,000
2003A BONDS OUTSTANDING	-	-	568,000
2003B BONDS OUTSTANDING	-	-	2,051,000
TOTAL NON-CURRENT LIABILITIES	39,349,723	44,201,078	46,154,682
DEFERRED CREDITS:			
UNAMORTIZED BOND PREMIUM	234,271	258,464	204,603
TOTAL LIABILITIES AND DEFERRED CREDITS	$ 43,187,644	$ 47,268,470	$ 52,180,046
NET POSITION:			
INVESTMENT IN CAPITAL ASSETS	$ 50,363,970	$ 48,311,869	$ 45,247,616
RESTRICTED	7,045,915	4,002,004	7,903,978
UNRESTRICTED	3,256,602	7,163,128	5,204,428
TOTAL NET POSITION	$ 60,666,487	$ 59,477,001	$ 58,356,022

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

STATEMENTS OF REVENUES, EXPENSES AND CHANGES IN NET POSITION
FOR THE 12 MONTHS ENDED

	12/31/2021	12/31/2020	12/31/2019
OPERATING REVENUES:			
RESIDENTIAL SALES	$ 8,845,104	$ 8,762,502	$ 8,450,459
COMMERCIAL SALES	2,059,838	1,733,646	1,962,829
INDUSTRIAL SALES	234,437	191,915	158,404
PUBLIC AUTHORITY SALES	1,651,913	1,585,505	1,829,604
WHOLESALE WATER	2,378,792	2,639,099	2,416,353
FIRE PROTECTION	1,650,625	1,631,247	1,613,336
OTHER SALES REVENUES	517,209	840,865	992,383
TOTAL OPERATING REVENUES	17,337,918	17,384,779	17,423,368
OPERATING EXPENSES:			
TREATMENT PLANTS	3,813,898	3,614,422	3,744,503
DISTRIBUTION SYSTEM	2,613,553	2,256,194	2,291,528
LABORATORY	184,801	166,670	163,600
CUSTOMER ACCOUNTS	971,763	848,022	819,452
ENGINEERING	646,938	649,396	597,136
ADMINISTRATIVE AND GENERAL	2,031,175	2,379,494	2,615,956
SUBTOTAL	10,262,128	9,914,198	10,232,175
DEPRECIATION	3,408,411	3,199,603	3,163,089
TOTAL OPERATING EXPENSES	13,670,539	13,113,801	13,395,264
NET OPERATING INCOME	3,667,379	4,270,978	4,028,104
NON-OPERATING REVENUES/(EXPENSES):			
CONNECTION CHARGES	261,621	216,881	376,318
INTEREST AND INVESTMENT INCOME	12,864	73,849	299,569
OTHER REVENUES	18,009	19,434	(87,833)
INTEREST ON CAPITAL LEASES	(110,908)	(200,872)	(1,486)
INTEREST ON BONDS	(817,828)	(3,247,041)	(1,894,101)
AMORTIZATION EXPENSE	-	-	(2,026)
PAYMENT IN LIEU OF TAXES	-	-	(303,188)
BOND ISSUANCE COSTS	(10,250)	(10,250)	(17,446)
OTHER EXPENSES	(1,831,401)	(2,000)	(1,600)
TOTAL NON-OPERATING REVENUE (EXPENSE)	(2,477,893)	(3,149,999)	(1,631,793)
CHANGE IN NET POSITION	1,189,486	1,120,979	2,396,311
NET POSITION - BEGINNING	59,477,001	58,356,022	55,959,711
NET POSITION - ENDING	$ 60,666,487	$ 59,477,001	$ 58,356,022

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

STATEMENTS OF CASH FLOWS
FOR THE 12 MONTHS ENDED

	12/31/2021	12/31/2020	12/31/2019
CASH FLOW FROM OPERATING ACTIVITIES:			
CASH RECEIVED FROM CUSTOMERS	$ 17,445,414	$ 17,344,914	$ 17,299,625
CASH PAID TO SUPPLIERS, EMPLOYERS AND OTHERS	(9,424,085)	(11,870,658)	(9,704,623)
NET CASH FROM OPERATING ACTIVITIES	8,021,329	5,474,256	7,595,002
CASH FLOWS FROM NON-CAPITAL ACTIVITIES:			
CONNECTION CHARGES	261,621	216,881	376,318
OTHER REVENUES/(EXPENSES)	(1,813,392)	17,434	(89,433)
NET CASH FROM NON-CAPITAL ACTIVITIES	(1,551,771)	234,315	(16,303)
CASH FLOWS FROM CAPITAL AND FINANCING ACTIVITIES:			
ACQUISITION AND CONSTRUCTION OF CAPITAL ASSETS	(920,784)	(3,813,494)	(4,450,162)
PRINCIPAL PAID ON LONG-TERM DEBT	(4,812,900)	(3,114,000)	(255,273)
INTEREST PAID ON LONG-TERM DEBT	(928,736)	(3,447,913)	(1,895,587)
BOND COSTS OF ISSUANCE	(10,250)	(10,250)	(17,446)
NET CASH FROM CAPITAL AND FINANCING ACTIVITIES	(6,672,672)	(10,385,658)	(6,618,468)
CASH FLOWS FROM INVESTING ACTIVITIES:			
INTEREST ON INVESTMENTS	12,864	73,849	299,569
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(190,250)	(4,603,238)	1,259,800
BEGINNING CASH AND CASH EQUIVALENTS	9,867,158	14,470,396	13,210,596
ENDING CASH AND CASH EQUIVALENTS	$ 9,676,908	$ 9,867,158	$ 14,470,396

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

STATEMENTS OF CASH FLOWS
FOR THE 12 MONTHS ENDED
(CONTINUED)

RECONCILIATION OF NET INCOME TO CASH PROVIDED FROM OPERATIONS	12/31/2021	12/31/2020	12/31/2019
NET OPERATING REVENUES	$ 3,667,379	$ 4,270,978	$ 4,028,104
ADJUSTMENTS TO RECONCILE NET INCOME TO NET CASH PROVIDED BY OPERATIONS:			
DEPRECIATION	3,408,411	3,199,603	3,163,089
CHANGES IN CURRENT ASSETS AND LIABILITIES:			
(INCREASE) DECREASE IN:			
ACCOUNTS RECEIVABLE - CUSTOMERS	121,649	(67,463)	(125,805)
SUPPLIES INVENTORY	64,668	(54,529)	(56,270)
INCREASE (DECREASE) IN:			
ACCOUNTS PAYABLE	749,796	19,092	(344,474)
ACCOUNTS PAYABLE - CITY (SHARED SERVICES)	-	(1,778,598)	914,480
PREPAID COLLECTIONS	(18,403)	27,498	2,362
PAYABLE TO OTHER FUNDS	899	850	(2,367)
ACCRUED SALARIES AND WAGES	14,697	(94,291)	10,877
ACCRUED TAXES PAYABLE	1,803	(55,286)	7,208
COMPENSATED ABSENCES PAYABLE	6,180	6,302	(1,902)
HYDRANT DEPOSITS - PAYABLE	4,250	100	(300)
NET CASH PROVIDED FROM OPERATIONS	$ 8,021,329	$ 5,474,256	$ 7,595,002

See Accountant's Compilation Report

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

UNAUDITED SUPPLEMENTAL FINANCIAL INFORMATION

BLOOMINGTON MUNICIPAL WATER UTILITY

DETAIL OF OPERATION AND MAINTENANCE EXPENSES
FOR THE 12 MONTHS ENDED

OPERATING EXPENSES	12/31/2021	12/31/2020	12/31/2019
TREATMENT PLANTS:			
SALARIES AND WAGES	$ 843,253	$ 854,561	$ 849,042
EMPLOYEE BENEFITS AND PENSIONS	381,305	387,190	378,305
PURCHASED POWER	949,742	872,918	891,652
PURCHASED WATER	177,490	197,773	169,538
MATERIALS AND SUPPLIES	223,621	212,971	168,211
CHEMICALS	996,576	833,901	1,057,602
REPAIRS AND MAINTENANCE	125,127	152,225	131,431
OTHER UTILITIES	12,302	7,648	9,935
PHONE AND INTERNET	5,593	5,158	5,541
TRANSPORTATION	33,327	32,643	29,428
CONTRACTUAL SERVICES	29,872	28,198	16,922
MISCELLANEOUS EXPENSES	35,690	29,236	36,896
SUBTOTALS	3,813,898	3,614,422	3,744,503
DISTRIBUTION SYSTEM:			
SALARIES AND WAGES	810,245	809,128	792,239
EMPLOYEE BENEFITS AND PENSIONS	406,042	410,265	412,343
PURCHASED POWER	514,425	392,730	435,543
MATERIALS AND SUPPLIES	294,031	184,750	122,008
REPAIRS AND MAINTENANCE	564,617	435,785	501,904
OTHER UTILITIES	536	488	949
PHONE AND INTERNET	6,081	5,464	3,504
TRANSPORTATION	-	-	-
MISCELLANEOUS EXPENSES	17,576	17,584	23,038
SUBTOTALS	2,613,553	2,256,194	2,291,528
LABORATORY:			
SALARIES AND WAGES	74,386	74,185	72,913
EMPLOYEE BENEFITS AND PENSIONS	38,548	39,352	38,694
MATERIALS AND SUPPLIES	24,917	9,369	8,205
CHEMICALS	-	12,664	21,453
CONTRACTUAL SERVICES	46,940	30,861	21,503
MISCELLANEOUS EXPENSES	10	239	832
SUBTOTALS	184,801	166,670	163,600

BLOOMINGTON MUNICIPAL WATER UTILITY

DETAIL OF OPERATION AND MAINTENANCE EXPENSES
(CONTINUED)
AS OF

	12/31/2021	12/31/2020	12/31/2019
CUSTOMER ACCOUNTS:			
SALARIES AND WAGES	$ 381,296	$ 365,165	$ 352,556
EMPLOYEE BENEFITS AND PENSIONS	206,450	203,368	199,707
MATERIALS AND SUPPLIES	142,700	108,226	102,036
REPAIRS AND MAINTENANCE	557	1,235	733
PHONE AND INTERNET	3,144	1,214	363
TRANSPORTATION	24,899	19,305	19,189
BAD DEBT EXPENSE	9,825	10,144	10,952
MISCELLANEOUS EXPENSES	202,892	139,365	133,916
SUBTOTALS	971,763	848,022	819,452
ENGINEERING:			
SALARIES AND WAGES	398,699	374,604	360,850
EMPLOYEE BENEFITS AND PENSIONS	193,461	189,963	179,849
MATERIALS AND SUPPLIES	11,056	3,219	4,321
REPAIRS AND MAINTENANCE	1,798	2,144	2,903
PHONE AND INTERNET	8,820	4,597	10,611
TRANSPORTATION	15,711	15,357	15,538
CONTRACTUAL SERVICES	12,297	19,275	14,504
MISCELLANEOUS EXPENSES	5,096	40,237	8,560
SUBTOTALS	646,938	649,396	597,136
ADMINISTRATIVE AND GENERAL:			
SALARIES AND WAGES	724,937	679,466	629,133
EMPLOYEE BENEFITS AND PENSIONS	320,667	327,480	470,811
SHARED SERVICES (CITY AND UTILITIES)	189,646	194,595	611,292
PURCHASED POWER	6,759	6,765	5,117
MATERIALS AND SUPPLIES	60,852	57,677	6,968
REPAIRS AND MAINTENANCE	19,324	9,020	30,200
OTHER UTILITIES	8,769	7,499	7,437
PHONE AND INTERNET	21,074	17,226	30,954
TRANSPORTATION	15,795	18,247	14,791
CONTRACTUAL SERVICES	414,600	511,676	299,664
LIABILITY INSURANCE	126,194	107,126	82,472
MISCELLANEOUS EXPENSES	122,558	442,717	427,117
SUBTOTALS	2,031,175	2,379,494	2,615,956
TOTAL OPERATING EXPENSES (EXCLUDES DEPRECIATION)	$ 10,262,128	$ 9,914,198	$ 10,232,175

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF AMORTIZATION OF $1,658,800 OUTSTANDING WATERWORKS REVENUE BONDS OF 2006, SERIES A

AMENDED MARCH 26, 2015 (1)

PAYMENT DATE	PRINCIPAL BALANCE	INTEREST RATES	DEBT SERVICE PRINCIPAL	DEBT SERVICE INTEREST	DEBT SERVICE TOTAL	BOND YEAR TOTAL
7/1/2022	$ 1,658,800	4.780%	$ 147,800	$ 39,976.63	$ 187,776.63	
1/1/2023	1,511,000	4.800%	152,500	36,444.21	188,944.21	$ 376,720.84
7/1/2023	1,358,500	4.800%	157,200	32,784.21	189,984.21	
1/1/2024	1,201,300	4.830%	161,900	29,011.41	190,911.41	380,895.62
7/1/2024	1,039,400	4.830%	161,600	25,101.52	186,701.52	
1/1/2025	877,800	4.830%	166,200	21,198.88	187,398.88	374,100.40
7/1/2025	711,600	4.830%	170,900	17,185.15	188,085.15	
1/1/2026	540,700	4.830%	175,600	13,057.91	188,657.91	376,743.06
7/1/2026	365,100	4.830%	180,200	8,817.17	189,017.17	
1/1/2027	184,900	4.830%	184,900	4,465.34	189,365.34	378,382.51
TOTALS			$ 1,658,800	$ 228,042.43	$ 1,886,842.43	$ 1,886,842.43

(1) Bonds were originally dated May 4, 2006. On March 26, 2015, the amortization schedule was amended.

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF AMORTIZATION OF $3,810,000 OUTSTANDING WATERWORKS REVENUE BONDS OF 2017

DATED JULY 25, 2017

PAYMENT DATE	PRINCIPAL BALANCE	INTEREST RATES	DEBT SERVICE PRINCIPAL	DEBT SERVICE INTEREST	DEBT SERVICE TOTAL	BOND YEAR TOTAL
7/1/2022	$ 3,810,000	2.000%	$ 90,000	$ 56,571.89	$ 146,571.89	
1/1/2023	3,720,000	2.000%	95,000	55,671.89	150,671.89	$ 297,243.78
7/1/2023	3,625,000	2.000%	95,000	54,721.89	149,721.89	
1/1/2024	3,530,000	2.000%	95,000	53,771.89	148,771.89	298,493.78
7/1/2024	3,435,000	2.000%	95,000	52,821.89	147,821.89	
1/1/2025	3,340,000	3.000%	100,000	51,871.89	151,871.89	299,693.78
7/1/2025	3,240,000	3.000%	100,000	50,371.89	150,371.89	
1/1/2026	3,140,000	3.000%	100,000	48,871.89	148,871.89	299,243.78
7/1/2026	3,040,000	3.000%	105,000	47,371.89	152,371.89	
1/1/2027	2,935,000	3.000%	105,000	45,796.89	150,796.89	303,168.78
7/1/2027	2,830,000	3.000%	110,000	44,221.89	154,221.89	
1/1/2028	2,720,000	3.000%	105,000	42,571.89	147,571.89	301,793.78
7/1/2028	2,615,000	3.000%	110,000	40,996.89	150,996.89	
1/1/2029	2,505,000	3.000%	110,000	39,346.89	149,346.89	300,343.78
7/1/2029	2,395,000	3.000%	115,000	37,696.89	152,696.89	
1/1/2030	2,280,000	3.000%	115,000	35,971.89	150,971.89	303,668.78
7/1/2030	2,165,000	3.000%	115,000	34,246.89	149,246.89	
1/1/2031	2,050,000	3.000%	120,000	32,521.89	152,521.89	301,768.78
7/1/2031	1,930,000	3.000%	120,000	30,721.89	150,721.89	
1/1/2032	1,810,000	3.125%	125,000	28,921.89	153,921.89	304,643.78
7/1/2032	1,685,000	3.125%	130,000	26,968.76	156,968.76	
1/1/2033	1,555,000	3.125%	125,000	24,937.51	149,937.51	306,906.27
7/1/2033	1,430,000	3.125%	135,000	22,984.38	157,984.38	
1/1/2034	1,295,000	3.125%	130,000	20,875.00	150,875.00	308,859.38
7/1/2034	1,165,000	3.125%	140,000	18,843.75	158,843.75	
1/1/2035	1,025,000	3.250%	135,000	16,656.25	151,656.25	310,500.00
7/1/2035	890,000	3.250%	145,000	14,462.50	159,462.50	
1/1/2036	745,000	3.250%	140,000	12,106.25	152,106.25	311,568.75
7/1/2036	605,000	3.250%	145,000	9,831.25	154,831.25	
1/1/2037	460,000	3.250%	150,000	7,475.00	157,475.00	312,306.25
7/1/2037	310,000	3.250%	310,000	5,037.50	315,037.50	315,037.50
TOTALS			$ 3,810,000	$ 1,065,240.95	$ 4,875,240.95	$ 4,875,240.95

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF AMORTIZATION OF $4,025,000 OUTSTANDING WATERWORKS REFUNDING REVENUE BONDS OF 2020, SERIES A

CLOSING DATE: MAY 28, 2020

PAYMENT DATE	PRINCIPAL BALANCE	INTEREST RATES	DEBT SERVICE PRINCIPAL	DEBT SERVICE INTEREST	DEBT SERVICE TOTAL	BOND YEAR TOTAL
7/1/2022	$ 4,025,000	1.500%	$ 755,000	$ 30,187.50	$ 785,187.50	
1/1/2023	3,270,000	1.500%	760,000	24,525.00	784,525.00	$ 1,569,712.50
7/1/2023	2,510,000	1.500%	620,000	18,825.00	638,825.00	
1/1/2024	1,890,000	1.500%	625,000	14,175.00	639,175.00	1,278,000.00
7/1/2024	1,265,000	1.500%	630,000	9,487.50	639,487.50	
1/1/2025	635,000	1.500%	635,000	4,762.50	639,762.50	1,279,250.00
TOTALS			$ 4,025,000	$ 101,962.50	$ 4,126,962.50	$ 4,126,962.50

See Accountant's Compilation Report

BLOOMINGTON MUNICIPAL WATER UTILITY

SCHEDULE OF AMORTIZATION OF $26,755,000 OUTSTANDING TAXABLE WATERWORKS REFUNDING REVENUE BONDS OF 2020, SERIES B

CLOSING DATE: MAY 28, 2020

PAYMENT DATE	PRINCIPAL BALANCE	INTEREST RATES*	DEBT SERVICE PRINCIPAL	DEBT SERVICE INTEREST	DEBT SERVICE TOTAL	BOND YEAR TOTAL
7/1/2022	$ 26,755,000	1.300%	$ 1,285,000	$ 234,246.25	$ 1,519,246.25	
1/1/2023	25,470,000	1.300%	1,290,000	225,893.75	1,515,893.75	$ 3,035,140.00
7/1/2023	24,180,000	1.300%	1,445,000	217,508.75	1,662,508.75	
1/1/2024	22,735,000	1.700%	1,450,000	208,116.25	1,658,116.25	3,320,625.00
7/1/2024	21,285,000	1.700%	1,470,000	195,791.25	1,665,791.25	
1/1/2025	19,815,000	1.700%	1,475,000	183,296.25	1,658,296.25	3,324,087.50
7/1/2025	18,340,000	1.700%	2,130,000	170,758.75	2,300,758.75	
1/1/2026	16,210,000	1.700%	2,150,000	152,653.75	2,302,653.75	4,603,412.50
7/1/2026	14,060,000	1.700%	2,165,000	134,378.75	2,299,378.75	
1/1/2027	11,895,000	1.950%	2,180,000	115,976.25	2,295,976.25	4,595,355.00
7/1/2027	9,715,000	1.950%	2,390,000	94,721.25	2,484,721.25	
1/1/2028	7,325,000	1.950%	2,420,000	71,418.75	2,491,418.75	4,976,140.00
7/1/2028	4,905,000	1.950%	2,440,000	47,823.75	2,487,823.75	
1/1/2029	2,465,000	1.950%	2,465,000	24,033.75	2,489,033.75	4,976,857.50
TOTALS			$ 26,755,000	$ 2,076,617.50	$ 28,831,617.50	$ 28,831,617.50

See Accountant's Compilation Report

APPENDIX C

FORM OF OPINION OF BOND COUNSEL

APPENDIX C

FORM OF OPINION OF BOND COUNSEL

Upon the delivery of the Bonds, Barnes & Thornburg LLP, Indianapolis, Indiana, as bond counsel, proposes to deliver an opinion in substantially the following form:

June 23, 2022

City of Bloomington, Indiana
Bloomington, Indiana

Re: City of Bloomington, Indiana, Waterworks Revenue Bonds of 2022

Ladies and Gentlemen:

We have acted as bond counsel to the City of Bloomington, Indiana (the "Issuer"), in connection with the issuance by the Issuer of $15,430,000 aggregate principal amount of its Waterworks Revenue Bonds of 2022, dated the date hereof (the "Bonds"), pursuant to Indiana Code 8-1.5, as amended and in effect on the date hereof, and Ordinance No. 21-10 adopted by the Common Council of the Issuer on March 17, 2021 (the "Ordinance") authorizing the issuance of the Bonds and related matters. In such capacity, we have examined such law and such certified proceedings, certifications and other documents as we have deemed necessary to render this opinion.

Regarding questions of fact material to our opinion, we have relied on representations of the Issuer contained in the Ordinance, the certified proceedings and other certifications of public officials furnished to us, and certifications, representations and other information furnished to us by or on behalf of the Issuer and others, including, without limitation, certifications contained in the tax and arbitrage certificate of the Issuer, dated the date hereof, without undertaking to verify the same by independent investigation. We have relied upon the legal opinion of Beth Cate, Esq., Corporation Counsel for the Issuer, dated the date hereof, as to the matters stated therein. We have relied upon the report of O.W. Krohn & Associates LLP, Westfield, Indiana, independent certified public accountants, dated the date hereof, as to the matters stated therein.

Based on the foregoing, we are of the opinion that, under existing law:

1. The Issuer is a municipal corporation validly existing under the laws of the State of Indiana (the "State"), with the corporate power to adopt the Ordinance and perform its obligations thereunder and to issue the Bonds.

2. The Bonds have been duly authorized, executed and delivered by the Issuer and are valid and binding special and limited revenue obligations of the Issuer, enforceable in accordance with their terms. The Bonds rank on a parity basis with the Issuer's (a) Amended Waterworks Revenue of 2006, Series A, originally dated May 4, 2006 and amended on March 26, 2015, (b) Waterworks Revenue Bonds of 2017, dated July 25, 2017, (c) Waterworks Revenue Refunding Bonds of 2020, Series A, dated May 28, 2020, and (d) Taxable Waterworks Revenue Refunding Bonds of 2020, Series B, dated May 28, 2020 (clauses (a) through (d), collectively, the "Outstanding Parity Bonds"). The Bonds, the Outstanding Parity Bonds and any other bonds hereafter issued on a parity therewith, are payable solely from the Bond and Interest Account (as defined in the Ordinance) to be provided from the Net Revenues (as defined in the Ordinance) of the Issuer's Waterworks (as defined in the Ordinance). The Issuer has pledged the Net Revenues to the payment of the principal of and interest on the Bonds, the Outstanding Parity Bonds and any bonds hereafter issued on a parity therewith, to the extent necessary for that purpose.

3. The Ordinance has been duly adopted by the Issuer, and is a valid and binding obligation of the Issuer, enforceable against the Issuer in accordance with its terms.

4. Under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on this date (the "Code"), interest on the Bonds is excludable from gross income for federal income tax purposes. The opinion set forth in the preceding sentence is subject to the condition that the Issuer comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes. The Issuer has covenanted or represented that it will comply with such requirements. Failure to comply with certain of such requirements may cause the interest on the Bonds to become included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds.

5. Interest on the Bonds is not an item of tax preference for purposes of the federal alternative minimum tax.

6. Interest on the Bonds is exempt from income taxation in the State for all purposes, except the State financial institutions tax.

We have not been engaged or undertaken to review the accuracy, completeness or sufficiency of the Official Statement, dated June 1, 2022, or any other offering material relating to the Bonds, and we express no opinion relating thereto.

We express no opinion regarding any tax consequences arising with respect to the Bonds, other than as expressly set forth herein.

With respect to the enforceability of any document or instrument, this opinion is subject to the qualifications that: (i) the enforceability of such document or instrument may be limited by bankruptcy, insolvency, reorganization, moratorium and other similar laws relating to or affecting the enforcement of creditors' rights generally; (ii) the enforceability of equitable rights and remedies provided for in such document or instrument is subject to judicial discretion, and the

enforceability of such document or instrument may be limited by general principles of equity; (iii) the enforceability of such document or instrument may be limited by public policy; and (iv) certain remedial and waiver provisions of such document or instrument may be unenforceable, provided, however, that in our opinion the unenforceability of those provisions would not, subject to the other qualifications set forth herein, affect the validity of such document or instrument or prevent the practical realization of the benefits thereof.

This opinion is given only as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur.

Very truly yours,

APPENDIX D

BOND ORDINANCE

ORDINANCE 21-10

AN ORDINANCE AUTHORIZING THE ACQUISITION, CONSTRUCTION AND INSTALLATION BY THE CITY OF BLOOMINGTON, INDIANA, OF CERTAIN EXTENSIONS AND IMPROVEMENTS TO THE CITY'S WATERWORKS UTILITY, THE ISSUANCE AND SALE OF REVENUE BONDS TO PROVIDE FUNDS FOR THE PAYMENT OF THE COSTS THEREOF, AND THE COLLECTION, SEGREGATION AND DISTRIBUTION OF THE REVENUES OF SUCH WATERWORKS UTILITY AND OTHER RELATED MATTERS

WHEREAS, the City of Bloomington, Indiana (the "City"), has previously established and constructed and now owns and operates through its Utility Service Board (the "Board") a waterworks system for the public water supply to the City and its inhabitants (the "Waterworks"), in accordance with the provisions of Indiana Code 8-1.5, as amended and in effect on the date of delivery of the Bonds authorized herein (the "Act"), through the City of Bloomington Utilities Department; and

WHEREAS, the Common Council of the City (the "Common Council") hereby finds that certain improvements, additions and extensions to the Waterworks are necessary; and that preliminary design plans, specifications, detailed descriptions and cost estimates have been prepared and filed by the engineers employed by the City for the construction of said improvements, additions and extensions, which plans, specifications, descriptions and estimates have been or will be approved by the Board and by all governmental authorities having jurisdiction thereover; and

WHEREAS, the Common Council further finds that the City has obtained estimates prepared and delivered by the engineers employed by the City for the construction of said improvements, additions and extensions and will advertise for and receive construction bids therefor; that on the basis of said estimates, the maximum estimated cost of constructing, acquiring, or extending such improvements, additions and extensions to the Waterworks, including all authorized expenses relating thereto, including the costs of issuance of bonds on account of the financing of all or a portion thereof, is in the amount of Seventeen Million Two Hundred Thousand Dollars ($17,200,000); and

WHEREAS, the Common Council further finds that there are not sufficient funds on hand from the Waterworks to pay the costs of the improvements, additions and extensions thereto, and that the financing of the costs of the improvements, additions and extensions to the Waterworks should be accomplished by the issuance of revenue bonds of the Waterworks, in one or more series, in an aggregate principal amount not to exceed Seventeen Million Two Hundred Thousand Dollars ($17,200,000), and, if necessary, one or more series of bond anticipation notes ("BANs"), all on the terms and conditions set forth herein; and

WHEREAS, the Common Council finds that there are now outstanding bonds of the Waterworks consisting of its (a) Amended Waterworks Revenue Bonds of 2006, Series A, originally dated May 4, 2006 and amended on March 26, 2015, currently outstanding in the aggregate principal amount of $1,950,000 (the "2006 Bonds"), pursuant to Ordinance No. 05-12, as amended by Ordinance No. 06-04, and further amended by Ordinance No. 15-03 (collectively, the "2006 Ordinance"), (b) Waterworks Revenue Bonds of 2017, dated July 25, 2017, currently outstanding in the aggregate principal amount of $3,990,000 (the "2017 Bonds"), pursuant to Ordinance No. 16-09 (the "2017 Ordinance"), (c) Waterworks Revenue Bonds of 2020, Series A, dated May 28, 2020, currently outstanding in the aggregate principal amount of $5,525,000 (the "2020A Bonds"), pursuant to Ordinance No. 20-05 (the "2020 Ordinance"), and (d) Taxable Waterworks Revenue Bonds of 2020, Series B, dated May 28, 2020, currently outstanding in the aggregate principal amount of $29,285,000 (the "2020B Bonds"), pursuant to the 2020 Ordinance clauses (a) through (d), collectively, the "Outstanding Parity Bonds"), which Outstanding Parity Bonds constitute a first charge upon the Net Revenues (as hereinafter defined) of the Waterworks; and

WHEREAS, each of the 2006 Ordinance, the 2017 Ordinance and the 2020 Ordinance (collectively, the "Prior Ordinances") allow for the issuance of additional bonds payable from the Net Revenues of the Waterworks ranking on parity with the pledge thereof to the Outstanding Parity Bonds provided certain financial conditions can be met (such financial conditions, the "Parity Tests"); and

WHEREAS, the Common Council finds that the Parity Tests can be met with respect to the bonds to be issued pursuant to this ordinance, and, accordingly, such bonds will constitute a first charge against the Net Revenues of the Waterworks on a parity with the pledge thereof to the Outstanding Parity Bonds and are to be issued subject to the provisions of the Act and the terms and restrictions of this Ordinance; and

WHEREAS, the City desires to authorize the issuance of BANs hereunder, in one or more series, if necessary, payable solely from the proceeds of waterworks revenue bonds issued hereunder and to authorize the refunding of said BANs, if issued; and

WHEREAS, prior to the issuance of the bonds authorized by this ordinance, the City shall first obtain the approval of the Indiana Utility Regulatory Commission ("IURC") for the issuance of said bonds; and

WHEREAS, this Common Council now finds that all conditions precedent to the adoption of an ordinance authorizing the issuance of revenue bonds and, if necessary, bond anticipation notes, have been complied with in accordance with the provisions of the Act; now, therefore,

BE IT ORDAINED BY THE COMMON COUNCIL OF THE CITY OF BLOOMINGTON, INDIANA, THAT:

SECTION 1. Description of Projects. The City, being the owner of and engaged in operating an unencumbered Waterworks supplying the City, its inhabitants, and the residents adjacent thereto, with drinking water services, now finds it necessary to proceed with the construction of improvements, additions and extensions to its Waterworks in accordance with the cost estimates and the preliminary design plans heretofore prepared and filed by the consulting engineers employed by the City, which cost estimates and preliminary design plans are by reference made a part of this ordinance as fully as if the same were attached hereto and incorporated herein and two copies of which are now on file in the Office of the City Clerk and are open for public inspection pursuant to IC 36-1-5-4, that the cost of construction of said improvements, additions and extensions to be financed by the issuance of Waterworks revenue bonds shall not exceed the sum of $17,200,000, plus investment earnings on the bond and BAN proceeds, without further authorization from this Common Council.

Where used in this Ordinance, the term "City" shall be construed also to include any department, board, commission or officer or officers of the City or of any City department, board or commission. The terms "Waterworks", "waterworks", "works", "system" and similar terms used in this Ordinance shall be construed to mean the City's existing waterworks system together with all the real estate, equipment and appurtenances thereto used in connection therewith, and all improvements, extensions and additions thereto, and replacements thereof, now or subsequently constructed or acquired.

A description of the proposed improvements, additions and extensions is set forth on Exhibit A attached hereto (collectively, the "Projects"), and the Projects shall be constructed in accordance with the plans heretofore mentioned, which plans are hereby approved. Said Projects shall be constructed and the bonds herein authorized shall be issued pursuant to and in accordance with the Act.

SECTION 2. Issuance of Bonds and BANs.

(a) The City may issue, if necessary, bond anticipation notes ("the BANs") for the purpose of procuring interim financing to pay the costs of the Projects, and, if deemed appropriate, the costs of issuance of the BANs. The City may issue the BANs in one or more series, in an aggregate principal amount not to exceed Seventeen Million Two Hundred Thousand Dollars ($17,200,000), to be designated "Waterworks Bond Anticipation Notes, Series 20__" (to be completed with the year in which the BANs are issued, together with such further or different

surrender of such Bond together with a written instrument of transfer or exchange satisfactory to the Registrar duly executed by the registered owner or his or her attorney duly authorized in writing, and thereupon a new fully registered Bond or Bonds in the same aggregate principal amount and of the same maturity shall be executed and delivered in the name of the transferee or transferees or the registered owner, as the case may be, in exchange therefor. Each Bond may be transferred or exchanged without cost to the registered owner or his or her attorney duly authorized in writing, except for any tax or other governmental charge which may be required to be paid with respect to such transfer or exchange. The Registrar shall not be obligated to make any transfer or exchange of any Bond (i) during the fifteen (15) days immediately preceding an Interest Payment Date or (ii) after the mailing of notice calling such Bond for redemption. The City, the Registrar and the Paying Agent may treat and consider the person in whose name any Bond is registered as the absolute owner thereof for all purposes including the purpose of receiving payment of, or on account of, the principal thereof and redemption premium, if any, and interest thereon.

In the event any Bond is mutilated, lost, stolen or destroyed, the City may cause to be executed and the Registrar may authenticate a new Bond of like date, maturity and denomination as the mutilated, lost, stolen or destroyed Bond, which new Bond shall be marked in a manner to distinguish it from the Bond for which it was issued; provided, that in the case of any mutilated Bond, such mutilated Bond shall first be surrendered to the Registrar, and in the case of any lost, stolen or destroyed Bond there shall be first furnished to the Registrar evidence of such loss, theft or destruction satisfactory to the City and the Registrar, together with indemnity satisfactory to them. In the event that any such mutilated, lost, stolen or destroyed Bond shall have matured or been called for redemption, instead of causing to be issued a duplicate Bond, the Registrar and Paying Agent may pay the same upon surrender of the mutilated Bond or satisfactory indemnity and proof of loss, theft or destruction in the case of a lost, stolen or destroyed Bond. The City and the Registrar and Paying Agent may charge the owner of any such Bond with their reasonable fees and expenses in connection with the above. Every substitute Bond issued by reason of any Bond being lost, stolen or destroyed shall, with respect to such Bond, constitute a substitute contractual obligation of the City pursuant to this Ordinance, whether or not the lost, stolen or destroyed Bond shall be found at any time, and shall be entitled to all the benefits of this Ordinance, equally and proportionately with any and all other Bonds duly issued hereunder.

In the event that any Bond is not presented for payment or redemption on the date established therefor, the City may deposit in trust with the Paying Agent an amount sufficient to pay such Bond or the redemption price thereof, as appropriate, and thereafter the owner of such Bond shall look only to the funds so deposited in trust with the Paying Agent for payment and the City shall have no further obligation or liability with respect thereto.

SECTION 3. Redemption of Bonds. The Mayor and the Controller, upon consultation with the Municipal Advisor, may designate each series or maturities of Bonds (or portion thereof in integral multiples of $5,000 principal amount each) that shall be subject to optional redemption and/or maturity sinking fund redemption, and the corresponding redemption dates, amounts and prices (including premium, if any). Except as otherwise set forth in this Ordinance, the Mayor and the Controller, upon consultation with the Municipal Advisor, are hereby authorized and directed to determine the terms governing any such redemption, as evidenced by the delivery of the Bonds.

If any Bond is issued as a term bond, the Paying Agent shall credit against the mandatory sinking fund requirement for the Bonds maturing as term bonds, and corresponding mandatory redemption obligation, in the order determined by the City, any Bonds maturing as term bonds which have previously been redeemed (otherwise than as a result of a previous mandatory redemption requirement) or delivered to the Registrar for cancellation or purchased for cancellation by the Paying Agent and not theretofore applied as a credit against any redemption obligation. Each Bond maturing as a term bond so delivered or cancelled shall be credited by the Paying Agent at 100% of the principal amount thereof against the mandatory sinking fund obligation on such mandatory sinking fund date, and any excess of such amount shall be credited on future redemption obligations, and the principal amount of the Bonds to be redeemed by operation of the mandatory sinking fund requirement shall be accordingly reduced; provided, however, the Paying Agent shall credit only such Bonds maturing as term bonds to the extent received on or before forty-five (45) days preceding the applicable mandatory redemption date.

Each Five Thousand Dollars ($5,000) principal amount shall be considered a separate bond for purposes of optional and mandatory redemption. If less than an entire maturity is called for redemption, the Bonds to be called shall be selected by lot by the Registrar.

Notice of such redemption shall be mailed by certified or registered mail at least thirty (30) days and not more than sixty (60) days prior to the scheduled redemption date to each of the registered owners of the Bonds called for redemption (unless waived by such registered owner), at the address shown on the books of the Registrar. The notice shall specify date and place of redemption, and the registration numbers of the Bonds called for redemption. The place of redemption may be at the designated corporate trust operations office of the Paying Agent or as otherwise determined by the City. Interest on the Bonds so called for redemption shall cease to accrue on the redemption date fixed in such notice, if sufficient funds are available at the place of redemption to pay the redemption price on the redemption date and when such Bonds are presented for payment.

In addition to the foregoing notice, the City may also direct that further notice of redemption of the Bonds be given, including without limitation and at the option of the City, notice described in paragraph (a) below given by the Registrar to the parties described in paragraph (b) below. No defect in any such further notice and no failure to give all or any portion of any such further notice shall in any manner defeat the effectiveness of any call for redemption of Bonds so long as notice thereof is mailed as prescribed above.

(a) If so directed by the City, each further notice of redemption given hereunder shall contain the information required above for an official notice of redemption plus (i) the CUSIP numbers of all Bonds being redeemed; (ii) the date of issue of the Bonds as originally issued; (iii) the rate of interest borne by each Bond being redeemed; (iv) the maturity date of each Bond being redeemed; and (v) any other descriptive information needed to identify accurately the Bond being redeemed.

(b) If so directed by the City, each further notice of redemption shall be sent at least thirty (30) days before the redemption date by registered or certified mail or overnight delivery service to all registered securities depositories then in the business of holding substantial amounts of obligations of types comprising the Bonds (such depositories as the Depository Trust Company of New York, New York) and to one or more national information services that disseminate notices of redemption of obligations such as the Bonds.

Upon the payment of the redemption price of the Bonds being redeemed and if so directed by the City, each check or other transfer of funds issued for such purpose shall bear the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

SECTION 4. Authorization for Book-Entry System. The Bonds may, in compliance with all applicable laws and as determined by the Controller based upon the advice of the Municipal Advisor, initially be issued and held in book-entry form on the books of the central depository system, The Depository Trust Company, its successors, or any successor central depository system appointed by the City from time to time (the "Clearing Agency"), without physical distribution of bonds to the purchasers. The following provisions of this Section apply in such event.

One definitive Bond of each maturity shall be delivered to the Clearing Agency (or its agent) and held in its custody. The City and Registrar may, in connection herewith, do or perform or cause to be done or performed any acts or things not adverse to the rights of the holders of the Bonds as are necessary or appropriate to accomplish or recognize such book-entry form Bonds.

During any time that the Bonds are held in book-entry form on the books of a Clearing Agency, (1) any such Bond may be registered upon Registration Record in the name of such Clearing Agency, or any nominee thereof, including Cede & Co.; (2) the Clearing Agency in whose name such Bond is so registered shall be, and the City and the Registrar and Paying Agent may deem and treat such Clearing Agency as, the absolute owner and holder of such Bond for all purposes of this Ordinance, including, without limitation, the receiving of payment of the principal of and interest and premium, if any, on such Bond, the receiving of notice and the giving of consent; (3) neither the City nor the Registrar or Paying Agent shall have any responsibility or obligation hereunder to any direct or indirect participant, within the meaning of Section 17A of the Securities Exchange Act of 1934, as amended, of such Clearing Agency, or any person on behalf of which, or otherwise in respect of which, any such participant holds any interest in any Bond, including, without limitation, any responsibility or obligation hereunder to maintain accurate records of any interest in any Bond or any responsibility or obligation hereunder with respect to the receiving of payment of principal of or interest or premium, if any, on any Bond, the

receiving of notice or the giving of consent; and (4) the Clearing Agency is not required to present any Bond called for partial redemption, if any, prior to receiving payment so long as the Registrar and Paying Agent and the Clearing Agency have agreed to the method for noting such partial redemption.

If either the City receives notice from the Clearing Agency which is currently the registered owner of the Bonds to the effect that such Clearing Agency is unable or unwilling to discharge its responsibility as a Clearing Agency for the Bonds, or the City elects to discontinue its use of such Clearing Agency as a Clearing Agency for the Bonds, then the City and the Registrar and Paying Agent each shall do or perform or cause to be done or performed all acts or things, not adverse to the rights of the holders of the Bonds, as are necessary or appropriate to discontinue use of such Clearing Agency as a Clearing Agency for the Bonds and to transfer the ownership of each of the Bonds to such person or persons, including any other Clearing Agency, as the holder of the Bonds may direct in accordance with this Ordinance. Any expenses of such discontinuance and transfer, including expenses of printing new certificates to evidence the Bonds, shall be paid by the City.

During any time that the Bonds are held in book-entry form on the books of a Clearing Agency, the Registrar shall be entitled to request and rely upon a certificate or other written representation from the Clearing Agency or any participant or indirect participant with respect to the identity of any beneficial owner of the Bonds as of a record date selected by the Registrar. For purposes of determining whether the consent, advice, direction or demand of a registered owner of a Bond has been obtained, the Registrar shall be entitled to treat the beneficial owners of the Bonds as the bondholders and any consent, request, direction, approval, objection or other instrument of such beneficial owner may be obtained in the fashion described in this Ordinance.

During any time that the Bonds are held in book-entry form on the books of a Clearing Agency, the Mayor, the Controller and/or the Registrar are authorized to execute and deliver a Letter of Representations agreement with the Clearing Agency, or a Blanket Issuer Letter of Representations, and the provisions of any such Letter of Representations or any successor agreement shall control on the matters set forth therein. The Registrar, by accepting the duties of Registrar under this Ordinance, agrees that it will (i) undertake the duties of agent required thereby and that those duties to be undertaken by either the agent or the issuer shall be the responsibility of the Registrar, and (ii) comply with all requirements of the Clearing Agency, including without limitation same day funds settlement payment procedures. Further, during any time that the Bonds are held in book-entry form, the provisions of this Section 4 of this Ordinance shall control over conflicting provisions in any other section of this Ordinance.

SECTION 5. Execution and Authentication of the Bonds. The Bonds shall be executed in the name of the City by the manual or facsimile signature of the Mayor, countersigned by the manual or facsimile signature of the Controller, and attested by the manual or facsimile signature of the Clerk who shall affix the seal of the City manually or by facsimile to each of the Bonds. The Bonds shall be authenticated by the manual signature of the Registrar, and no Bond shall be valid or become obligatory for any purpose until the certificate of authentication thereon has been so executed. In case any official whose signature appears on any Bond shall cease to be such official before the delivery of such Bond, the signature of such official shall nevertheless be valid and sufficient for all purposes, the same as if such official had been in office at the time of such delivery. Subject to the provisions of this Ordinance regarding the registration of the Bonds, the Bonds shall be fully negotiable instruments under the laws of the State of Indiana.

SECTION 6. Security and Sources of Payment; Pledge of Net Revenues. The Bonds, when fully paid for and delivered to the purchaser or purchasers thereof, together with the Outstanding Parity Bonds and any bonds hereafter issued on a parity therewith, as to both principal and interest, shall be valid and binding, special and limited obligations of the City, payable from and secured by, and shall constitute a first charge upon, all of the "Net Revenues" (herein defined as gross revenues of the Waterworks after deduction only for the payment of the reasonable expenses of operation and maintenance) derived from the Waterworks, including all such Net Revenues from the existing works and all additions and improvements thereto and replacements thereof subsequently constructed or acquired, to be set aside in the Sinking Fund (as defined herein), which are hereby irrevocably pledged to the payment of the Bonds on a parity basis with the Outstanding Parity Bonds and any bonds hereafter issued on a parity therewith, to the extent necessary for that purpose. The City shall not be obligated to pay the Bonds or the interest thereon except from the Net Revenues of the Waterworks, and the Bonds shall not constitute an indebtedness of the City within the meaning of the provisions and limitations of the constitution

of the State of Indiana. The Bonds shall have all of the qualities and incidents of negotiable instruments under the laws of the State of Indiana, subject to the provisions for registration herein.

SECTION 7. Form of the Bonds. The form and tenor of the Bonds shall be substantially as set forth in Exhibit B, attached hereto and incorporated herein as if set forth at this place (with all blanks to be filled in properly and all necessary additions and deletions to be made prior to delivery thereof).

SECTION 8. Issuance, Sale and Delivery of the Bonds. The Controller is hereby authorized and directed to have the Bonds prepared, and the Mayor, the Controller and the Clerk are hereby authorized and directed to execute and attest, respectively, the Bonds in the form and manner herein provided. The Controller is hereby authorized and directed to deliver the Bonds to the purchaser or purchasers thereof upon compliance with the requirements established hereunder and under the Act for the sale thereof, and to collect the full amount which the purchaser or respective purchasers have agreed to pay therefor, which shall not be less than 99.0% of the par amount of the Bonds (or such higher percentage of the par value of the Bonds as may be determined by the Controller with the advice of the Municipal Advisor and set forth in the Controller's Certificate), plus accrued interest thereon to the date of delivery. The Bonds, when fully paid for and delivered to the purchaser or purchasers shall be the binding special revenue obligations of the City, payable out of the revenues of the Waterworks to be set aside and paid into the Sinking Fund as herein provided, and the proceeds derived from the sale of the Bonds shall be and are hereby set aside for the application to the costs of the Projects and the expenses necessarily incurred in connection therewith including the expenses incurred in the issuance of the Bonds on account of the financing thereof. The authorized officers of the City are hereby authorized and directed to draw all proper and necessary warrants and to do whatever other acts and things that may be necessary or appropriate to carry out the provisions of this Ordinance.

Any series of the Bonds may, in the discretion of the Controller based upon the advice of the Municipal Advisor, be sold by public sale. If the Bonds are sold by public sale, the Controller shall cause to be published either (i) a notice of such sale two (2) times, at least one (1) week apart, with the first publication made at least fifteen (15) days before the date of such sale and the second publication at least three (3) days before the date of the sale in accordance with Indiana Code 5-3-1-2 in one (1) newspaper, as defined in and in accordance with Indiana Code 5-3-1-4, or (ii) a notice of intent to sell bonds once each week for two (2) weeks in accordance with Indiana Code 5-1-11-2 and Indiana Code 5-3-1-4 and in a newspaper of general circulation published in the State capital, in which case bids may not be received more than ninety (90) days after the first publication. Such notice, or a summary thereof, may also be published in any other publications deemed appropriate in the discretion of the Controller. The bond sale notice shall state the time and place of sale, the purpose for which the Bonds are being issued, the total amount and maturities thereof, the maximum rate of interest thereon and any limitations as to the number of interest rates and the setting of such rates, the terms and conditions upon which bids will be received and the sale made, and such other information as the Controller and the attorneys employed by the City shall deem necessary or advisable. Such notice shall provide, among other things, that each bid shall be accompanied by a certified or cashier's check or wire transfer in the amount of one percent of the par amount of the Bonds to guarantee performance on the part of the bidder, and that in the event the successful bidder shall fail or refuse to accept delivery of and pay for the Bonds as soon as the Bonds are ready for delivery, or at the time fixed in the notice of sale, then such check and the proceeds thereof shall become the property of the City and shall be considered as the City's liquidated damages on account of such default.

All bids for the Bonds shall be sealed and shall be presented to the Controller or his or designee at the physical or electronic address identified in the notice. Bidders for the Bonds shall be required to name the rate or rates of interest which the Bonds are to bear, not exceeding six percent (6.0%) per annum. Such interest rate or rates shall be in multiples of one-eighth (1/8) or one-hundredth (1/100) of one percent. Bids specifying more than one interest rate shall also specify the amount and maturities of the Bonds bearing each rate, and all Bonds maturing on the same date shall bear the same rate. The rate on any maturity shall be equal to or greater than the rate on the immediately preceding maturity. The Bonds shall be awarded by the Controller to the best bidder who has submitted a bid in accordance with the terms of this Ordinance and the notice of sale. The best bidder will be the bidder who offers the lowest net interest cost to the City, to be determined by computing the total interest on all of the Bonds from the date thereof to their respective maturities and deducting therefrom the premium bid, if any. No bid for less than all of the Bonds, plus accrued interest to the date of delivery, shall be considered. The City shall have

the right to reject any and all bids. In the event an acceptable bid is not received on the date fixed in the notice, the Controller shall be authorized to continue the sale from day to day for a period of not to exceed thirty (30) days without re-advertising. During the continuation of the sale, no bid shall be accepted which offers an interest cost which is equal to or higher than the best bid received at the time originally fixed for the sale of the Bonds in the bond sale notice.

As an alternative to a public sale, any series of the Bonds may, in the discretion of the Controller based upon the advice of the Municipal Advisor, be sold by negotiated sale with one or more purchasers selected by the Controller, consistent with the terms and conditions set forth in this Ordinance. The Mayor and the Controller are hereby authorized to (i) execute one or more purchase agreements with the purchaser or purchasers of the Bonds, and (ii) sell such Bonds upon such terms as are acceptable to the Mayor and the Controller consistent with the terms of this Ordinance. The final form of any such purchase agreement shall be approved by the Mayor and Controller, upon the advice of the City's bond counsel and Municipal Advisor, and the Mayor and Controller are hereby authorized and directed to complete, execute and attest the same on behalf of the City so long as its provisions are consistent with the Ordinance.

Prior to the delivery of the Bonds, the Controller (i) shall be authorized, but not required, to investigate and to obtain insurance, surety bonds and/or credit ratings on the Bonds and (ii) shall obtain a legal opinion as to the validity of the Bonds from Barnes & Thornburg LLP, Indianapolis, Indiana, bond counsel for the City, and such opinion shall be furnished to the purchasers of the Bonds at the expense of the City. The costs of obtaining any such insurance, surety bonds and/or credit ratings, together with bond counsel's fee in preparing and delivering such opinion and in the performance of related services in connection with the issuance, sale and delivery of the Bonds, shall be considered as a part of the cost of issuance of the Bonds and shall be paid out of the proceeds of the sale of the Bonds.

SECTION 9. Official Statement. Any series of the BANs or the Bonds may be offered and sold pursuant to an Official Statement (preliminary and final) or other offering document with respect to such BANs or Bonds (collectively, the "Official Statement"), to be made available and distributed in such manner, at such times, for such periods and in such number of copies as may be required pursuant to Rule 15c2-12, as amended, promulgated by the United States Securities and Exchange Commission (the "Rule") and any and all applicable rules and regulations of the Municipal Securities Rulemaking Board, to the extent applicable to the Bonds. The City hereby authorizes the Mayor or Controller (a) to authorize and approve a Preliminary Official Statement, as the same may be appropriately confirmed, modified and amended for distribution as the Preliminary Official Statement of the City with respect to the BANs or Bonds, (b) on behalf of the City, to designate the Preliminary Official Statement a "final" Official Statement of the City with respect to the Bonds, and (c) to authorize and approve the Preliminary Official Statement to be placed into final form and enter into such agreements or arrangements as may be necessary or advisable in order to provide for the distribution of a sufficient number of copies of the Official Statement under the Rule.

SECTION 10. Continuing Disclosure. If required under the Rule, the Common Council hereby approves, and authorizes and directs the Mayor and the Controller, for and on behalf of the City, to execute and deliver, and to perform the obligations of the City under, a Continuing Disclosure Contract from the City to each registered owner or holder of any Bond (the "Continuing Disclosure Contract"). The Mayor and the Controller are authorized to approve the form of the Continuing Disclosure Contract, upon the advice of the City's bond counsel, with such determination to be conclusively evidenced by such Mayor's and such Controller's execution thereof.

SECTION 11. Construction Account; Use of Proceeds of Bonds. All of the proceeds from the sale of the Bonds, to the extent not used to refund BANs, and all proceeds of any BANs (if issued) shall be deposited in a bank or banks which are legally designated depositories for the funds of the City, in a special account or accounts to be designated as "City of Bloomington, 2021 Waterworks Construction Account", or such different or further designation as determined by the Controller to be necessary or appropriate (the "Construction Account"). All funds deposited to the credit of the Sinking Fund (as defined herein) or the Construction Account shall be deposited, held, secured or invested in accordance with the laws of the State of Indiana relating to the depositing, holding, securing or investing of public funds, including particularly Indiana Code 5-13, as amended. The funds in the Construction Account shall be expended only for the purpose of paying

the cost of the Projects, refunding the BANs (if any), or as otherwise required by the Act or for the expenses of issuance of the Bonds.

All costs of issuance of the Bonds or the BANs, including, without limitation, any rating agency fees, fiscal agency charges, fees and expenses of legal counsel and municipal advisors, printing costs, DTC and CUSIP fees and charges, and/or premiums for credit facilities or reserve fund surety policies, shall be considered as a part of the cost of the Projects on account of which the BANs and Bonds are issued, and the Controller is hereby authority to pay such costs of issuance from the proceeds of the BANs or Bonds.

If any proceeds of the Bonds will be used to fund all or a portion of the Reserve Account (as defined herein), the Controller shall transfer such proceeds of the Bonds to the Reserve Account of the Sinking Fund, as hereinafter described.

Any balance or balances remaining unexpended in such special account or accounts after completion of the Projects, which are not required to meet unpaid obligations incurred in connection with such Projects, shall be either (i) paid into the Sinking Fund and used solely for the purposes of said Sinking Fund or (ii) used for the same purpose or type of project for which the Bonds were originally issued, all in accordance with Indiana Code 5-1-13, as amended.

SECTION 12. Waterworks Revenue Fund; Segregation and Application of Waterworks Revenues. There has previously been created under the Prior Ordinances and is hereby continued, a special fund which is segregated and kept apart from all other funds and bank accounts of the City, designated as the "Waterworks Revenue Fund" (the "Revenue Fund"). All revenues derived from the operation of the Waterworks and from the collection of water rates and charges shall be deposited in the Revenue Fund and segregated and deposited as set forth in this Ordinance. Out of these revenues, the proper and reasonable expenses of operation and maintenance of the Waterworks shall be paid, the requirements of the Sinking fund shall be met and fiscal agency charges of bank registrars and paying agents shall be paid, and the costs of replacements, extensions, additions and improvements shall be paid, all as hereinafter provided.

SECTION 13. Operation and Maintenance Fund. (a) There has previously been created under the Prior Ordinances and is hereby continued an Operation and Maintenance Fund consisting of a General Account (the "General Account").

(b) On the last day of each calendar month, there shall be set aside, transferred and deposited into the General Account from the Revenue Fund a sufficient amount of the revenues of the Waterworks so that the balance maintained in the General Account shall be sufficient to pay the expenses of operation and maintenance of the Waterworks for the then next succeeding two (2) calendar months. The moneys credited to the General Account shall be used for the payment of the reasonable and proper operation and maintenance expenses of the Waterworks on a day-to-day basis, but none of the moneys in such account shall be used for depreciation, payments in lieu of taxes, replacements, improvements, extensions or additions with respect to the Waterworks. Any moneys in the General Account may be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal of or interest on any outstanding bonds of the Waterworks.

(c) All remaining revenues of the Waterworks shall be transferred from time to time to meet the requirements of the Sinking Fund. Moneys in excess of those transferred to the Sinking Fund may be transferred to the Improvement Fund (as defined herein) or may be retained in the General Account, in the discretion of the Board, and in a manner consistent with the requirements of this Ordinance. Moneys in excess of those required to be in the General Account and the Sinking Fund may also be used, in the discretion of the Board, for any other lawful purpose related to the Waterworks. Notwithstanding the foregoing, in the event that any amounts are due to any providers (including their successors and assigns) of any municipal bond insurance policies or debt service reserve surety policies acquired by the City in connection with the Bonds or any of the Outstanding Parity Bonds, any excess moneys in the General Account after making all required transfers to the Sinking Fund shall be first used to pay any amounts owed under such policies.

SECTION 14. Waterworks Sinking Fund. (a) There is hereby continued from the Prior Ordinances a fund for the payment of the principal of and interest on revenue bonds which by their terms are payable from the Net Revenues of the Waterworks and the payment of any fiscal agency charges in connection with the payment of the bonds and interest, which fund has been previously designated as the Waterworks Sinking Fund ("Sinking Fund"), within which there has been created

and is hereby continued a Bond and Interest Account (the "Bond and Interest Account") and a Debt Service Reserve Account (the "Reserve Account"). There shall be set aside, transferred and deposited into the Sinking Fund, as available and as hereinafter provided, a sufficient amount of the Net Revenues of the Waterworks to meet the requirements of the Bond and Interest Account and the Reserve Account. Such payments shall continue until the balances in the Bond and Interest Account and the Reserve Account equal the principal of and interest on all of the then outstanding bonds of the Waterworks to their final maturity and provide for payment of all fiscal agency charges.

(b) Bond and Interest Account. The Bond and Interest Account is hereby continued within the Sinking Fund. There shall be credited, on the last day of each calendar month, to the Bond and Interest Account an amount of the Net Revenues equal to at least one-sixth (1/6) of the interest on all then outstanding bonds of the Waterworks payable on the then next succeeding Interest Payment Date, and at least one-sixth (1/6) of the principal on all then outstanding bonds of the Waterworks payable on the then next succeeding principal payment date, until the amount of interest and principal payable on the then next succeeding interest and principal payment dates shall have been so credited; provided, that such fractional amounts shall be appropriately increased, if necessary, to provide for the first interest and first principal payments on the Bonds. There shall similarly be credited to the account any amount necessary to pay the bank fiscal agency charges, if any, for paying principal and interest on the bonds of the Waterworks as the same become payable. The City shall, from the sums deposited in the Sinking Fund and credited to the Bond and Interest Account, remit promptly to the registered owner or to the bank fiscal agency sufficient moneys to pay the interest and principal on the due dates thereof together with the amount of any bank fiscal agency charges.

(c) Reserve Account. The Reserve Account is hereby continued within the Sinking Fund. The City has funded with cash on hand, bond proceeds or purchased Surety Bonds (the "Outstanding Surety Bonds") to satisfy the reserve requirements for the Outstanding Parity Bonds, which moneys and Outstanding Surety Bonds are held in the Reserve Account as a separate reserve for each of the Outstanding Parity Bonds.

On the date of delivery of the Bonds, the City shall cause funds on hand of the Waterworks, proceeds of the Bonds, or a combination thereof, to be deposited and/or maintained in the Reserve Account so that the balance therein allocable to the Bonds shall equal the least of (i) the maximum annual debt service on the Bonds, (ii) one hundred twenty-five percent (125%) of the average annual debt service on the Bonds, or (iii) ten percent (10%) of the proceeds of the Bonds; provided, however, the Controller is hereby authorized to adjust the reserve requirement for the Bonds (taking into account the Outstanding Surety Bonds, any other Surety Bonds, and any cash held therein) in order to meet any requirements of the Purchaser of the Bonds, if applicable on the date of issuance of the Bonds (the "Reserve Requirement").

The Reserve Account shall constitute the margin for safety as a protection against default in the payment of principal of and interest on the Outstanding Parity Bonds, the Bonds, and any other parity bonds of the City payable from the Net Revenues of its Waterworks hereafter issued so long as the Reserve Requirement has been increased proportionately, and the moneys in the Reserve Account shall only be used to pay current principal and interest on such bonds to the extent that moneys in the Bond and Interest Account are insufficient for that purpose. If it becomes necessary to draw upon the Reserve Account to pay the Outstanding Parity Bonds or the Bonds, the City shall first draw down the cash in the Reserve Account, if any, and next initiate draws on any Qualified Surety Bonds held therein, including the Outstanding Surety Bonds, on a pro rata basis, to meet such payments when due. Notwithstanding the foregoing sentence, if the Reserve Requirement for the Bonds is funded in whole or in part with cash rather than in whole with a Qualified Surety Bond, the City shall, if necessary to pay principal of or interest on the Bonds, use the cash in the Reserve Account to first pay such principal of or interest on the Bonds before such cash is used on the Outstanding Parity Bonds. Any deficiency in the balance maintained in the Reserve Account shall be promptly made up from the next available Net Revenues remaining after credits into the Bond and Interest Account. In the event moneys in the Reserve Account are transferred to the Bond and Interest Account to pay principal and interest on outstanding bonds, then such depletion of the balance in the Reserve Account shall be made up from the next available Net Revenues after the credits into the Bond and Interest Account. Any moneys in the Reserve Account in excess of the Reserve Requirement shall be transferred to the Waterworks Improvement Fund, and in no event shall such excess moneys be held in the Reserve Account.

Notwithstanding anything herein to the contrary, but subject to the terms of the Prior Ordinances, the City reserves the right to satisfy the Reserve Account at any time with funds on hand of the Waterworks, bond proceeds, a Qualified Surety Bond, or a combination thereof. A "Qualified Surety Bond" means a surety bond or policy issued by an insurance company rated solely at the time of issuance of such instrument in one of the two highest full rating categories by Standard & Poor's Global Ratings Services and Moody's Investors Service. If any such surety bond is purchased, the Mayor and the Controller are hereby authorized to execute and deliver all agreements with the provider of Qualified Surety Bonds to the extent necessary to comply with the terms thereof and the commitment to issue such Qualified Surety Bond. Such agreement shall be deemed a part of this Ordinance for all purposes and is hereby incorporated herein by reference.

SECTION 15. Waterworks Improvement Fund. As set forth in Section 13 hereof, revenues may be transferred or credited from the General Account to the Waterworks Improvement Fund previously created by the Prior Ordinances and hereby continued (the "Improvement Fund"). Subject to the provisions of the Prior Ordinances, the Improvement Fund shall be used for (a) improvements, replacements, additions and extensions of the Waterworks, (b) for payments in lieu of taxes, and (c) for any other lawful purpose related to the Waterworks. Moneys in the Improvement Fund shall be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal and interest on the then outstanding bonds payable from the Sinking Fund or if necessary to eliminate any deficiencies in credits to or minimum balances, if any, in the Reserve Account. Moneys in the Improvement Fund also may be transferred to the General Account to meet unforeseen contingencies in the operation and maintenance of the Waterworks.

SECTION 16. Priority of Payments. All revenues of the Waterworks shall be paid in the following order, with the priority as indicated:

(a) First, to pay all reasonable and proper expenses of the operation and maintenance of the Waterworks;

(b) Second, on a pari passu (parity) basis, to pay all principal of and interest on the Outstanding Parity Bonds, the Bonds and any bonds hereafter issued which rank on a parity with the Bonds;

(c) Third, on a pari passu (parity) basis, to replenish any cash drawn from the Reserve Account if the Reserve Requirement for the Bonds or the Outstanding Parity Bonds is satisfied, in whole or in part, with cash and to replenish any surety bonds in place for either the Outstanding Parity Bonds or the Bonds;

(d) Fourth, to replenish any other cash drawn, if any, from the Reserve Account;

(e) Fifth, to pay the costs of improvements, replacements, additions and extensions of the Waterworks and for payments in lieu of taxes; and

(f) All other lawful uses related to the Waterworks, including debt service payments on any junior and subordinate bonds.

SECTION 17. Separation of Funds; Investments. The proceeds from the sale of the Bonds shall be deposited in a bank or banks which are legally designated depositories for the funds of the City, in a special account or accounts. The Sinking Fund shall be deposited in and maintained as a separate account or accounts from all other accounts of the City. The General Account and the Improvement Fund may be maintained in a single account, or accounts, but such account, or accounts, shall likewise be maintained separate and apart from all other accounts of the City and apart from the Sinking Fund account or accounts. All of the funds and accounts of the Waterworks created or continued by this Ordinance, and all moneys deposited therein, shall be continuously maintained, deposited, held, secured and invested as public funds in accordance with the laws of the State of Indiana relating to the depositing, holding, securing or investing of public funds, including, particularly, applicable provisions of Indiana Code 5-13 and the acts amendatory thereof and supplemental thereto. Any interest or income derived from any such investments shall become a part of the moneys in the fund or account so invested and shall be used only as provided in this Ordinance and the Prior Ordinances. In no event shall any of the Net Revenues of the Waterworks be transferred or used for any purpose not authorized by this Ordinance or the Prior Ordinances, so long as any of the bonds secured by and payable from the Net Revenues shall be outstanding.

Upon issuance of the Bonds, moneys held and on deposit in the existing funds and accounts established under the Prior Ordinances shall remain on deposit therein.

SECTION 18. Books of Records and Accounts. The City shall keep proper record books of account, separate from all of its other records and accounts, in which complete and correct entries shall be made showing all revenues collected on account of the operation of the Waterworks and all disbursements made therefrom and all transactions relating to the Waterworks. Copies of all such statements and reports shall be kept on file in the office of the Controller. There shall be prepared and furnished, upon the written request, to any owner of the Bonds then outstanding, not more than ninety (90) days after the close of each fiscal year, complete financial statements of the Waterworks, covering the preceding fiscal year. Copies of all such statements and reports shall be kept on file in the office of the Director of the City of Bloomington Utilities. Any owner of the Bonds then outstanding shall have the right at all reasonable times to inspect the Waterworks and all records, accounts and data of the City relating thereto. Such inspections may be made by representatives duly authorized by written instrument.

SECTION 19. Rate Covenant. The City covenants and agrees that it will establish, maintain and collect just and equitable rates and charges for facilities and services afforded and rendered by the Waterworks, which shall to the extent permitted by law produce sufficient revenues at all times to pay all the legal and other necessary expense incident to the operation of the Waterworks, to include maintenance costs, operating charges, upkeep, repairs, interest charges on bonds or other obligations, to provide for the proper operation, repair and maintenance of the Waterworks, to provide the Sinking Fund and debt service reserve for the liquidation of bonds or other evidences of indebtedness, to provide adequate funds to be used as working capital, as well as funds for making extensions, additions and replacements, and also, for the payment of any taxes that may be assessed against the Waterworks, it being the intent and purpose hereof that such charges shall produce an income sufficient to maintain such utility property in a sound physical and financial condition to render adequate and efficient service. The rates and charges shall be established to the extent permitted by law, to produce Net Revenues sufficient to pay 1.20 times the annual debt service on the Outstanding Parity Bonds, the Bonds and bonds hereafter issued on a parity with the Bonds. So long as any of the Bonds are outstanding, none of the facilities or services afforded or rendered by the Waterworks shall be furnished without a reasonable and just charge being made therefor. The City shall pay like charges for any and all services rendered by the Waterworks to the City, and all such payments shall be deemed to be revenues of the Waterworks. Such rates and charges shall, if necessary, be changed and adjusted from time to time so that the revenues therefrom shall always be sufficient to meet the expenses of operation and maintenance, and the requirements of the Sinking Fund.

SECTION 20. Defeasance . If, when any of the Bonds issued hereunder shall have become due and payable in accordance with their terms or shall have been duly called for redemption or irrevocable instructions to call the Bonds or any portion thereof for redemption shall have been given, and the whole amount of the principal and the interest and the premium, if any, so due and payable upon all of the Bonds or any portion thereof and coupons then outstanding shall be paid; or (i) sufficient moneys, (ii) direct obligations of, or obligations the principal and interest on which are unconditionally guaranteed by, the United States of America, the principal of and the interest on which when due will provide sufficient moneys, or (iii) any combination thereof, shall be held in trust for such purpose, and provision shall also be made for paying all fees and expenses for the redemption, then and in that case the Bonds issued hereunder or any designated portion thereof shall no longer be deemed outstanding or entitled to the pledge of the Net Revenues of the City's waterworks.

SECTION 21. Additional Bond Provisions. The City reserves the right to authorize and issue additional parity bonds, payable out of the Net Revenues of its Waterworks, ranking on a parity with the pledge thereof to the Bonds and the Outstanding Parity Bonds (such bonds, the "Additional Parity Bonds"), for the purpose of financing the cost of future extensions, betterments or improvements to the Waterworks, or to refund obligations, subject to the following conditions:

(a) All required payments into the Sinking Fund and the accounts thereof shall have been made in accordance with the provisions of this Ordinance, and the interest on and principal of all bonds payable from the Net Revenues of the Waterworks shall have been paid to date in accordance with their terms.

(b) The balance in the Reserve Account with respect to all outstanding bonds and the proposed additional bonds shall be equal to the aggregate amount required to be on deposit therein by the Prior Ordinances and herein; provided, however, this condition shall be satisfied if any required amount is to be provided from the proceeds of such additional bonds or other funds either (i) at the time of their issuance of the proposed additional bonds or (ii) by monthly deposits in an amount sufficient to build the balance in the Reserve Amount to an amount equal to the Reserve Requirement with respect to the proposed additional bonds within five (5) years after the additional bonds are issued, on a level monthly basis (after accounting for earnings thereon).

(c) The Net Revenues of the Waterworks in the calendar year immediately preceding the issuance of any such additional bonds ranking on a parity with the Bonds authorized by this Ordinance shall be not less than one hundred twenty-five percent (125%) of the maximum annual interest and principal requirements of the then outstanding bonds and the additional parity bonds proposed to be issued; or, prior to the issuance of said parity bonds, the water rates and charges shall be increased sufficiently so that said increased rates and charges applied to the previous calendar year's operations would have produced Net Revenues for said year equal to not less than one hundred twenty-five percent (125%) of the maximum annual interest and principal requirements of the then outstanding bonds and the additional parity bonds proposed to be issued. For purposes of this subsection, the records of the Waterworks shall be analyzed and all showings shall be prepared by a certified public accountant or nationally recognized financial consultant or consulting engineer employed by the City for that purpose. For purposes of this subsection, Net Revenues shall not include non-recurring revenues of the Waterworks as certified by the Board or any outstanding fund balances from prior years.

(d) The principal of said additional parity bonds shall be payable semiannually on January 1 and July 1 and the interest on said additional parity bonds shall be payable semiannually on January 1 and July 1 in the years in which such principal and interest are payable.

(e) To the extent required by law, the issuance of additional bonds and any necessary increase in water rates and charges shall be approved by the Indiana Utility Regulatory Commission.

SECTION 22. Additional Covenants of the City. For the purpose of further safeguarding the interests of the owners of the Bonds, it is hereby specifically provided as follows:

(a) So long as any of the Bonds are outstanding, the City shall at all times maintain its Waterworks system in good condition and operate the same in an efficient manner and at a reasonable cost.

(b) So long as any of the Bonds are outstanding, the City shall acquire and maintain insurance coverage, including fidelity bonds, to protect the Waterworks and its operations of a kind and in an amount such as is automatically carried by private companies engaged in a similar type of business. All insurance shall be placed with responsible insurance companies qualified to do business under the laws of the State of Indiana. All insurance proceeds and condemnation awards shall be used to replace or repair the property destroyed or damaged.

(c) So long as any of the Bonds are outstanding, the City shall not mortgage, pledge or otherwise encumber the property and plant of its Waterworks system, or any part thereof, and shall not sell, lease or otherwise dispose of any part of the same, except to replace equipment which may become worn out or obsolete.

(d) Except as hereinbefore provided in Section 21 hereof, so long as any of the Bonds are outstanding, no additional bonds or other obligations pledging any portion of the revenues of said Waterworks shall be authorized, executed, or issued by the City except such as shall be made subordinate and junior in all respects to the Bonds, unless all of the Bonds are redeemed, retired or defeased coincidentally with the delivery of such additional bonds or other obligations or, as provided in Section 20 hereof, funds sufficient to effect such redemption are available and set aside for such purpose at the time of issuance of such additional bonds or obligations.

(e) The provisions of this Ordinance shall constitute a contract by and between the City and the owners of the Bonds herein authorized, all the terms of which shall be enforceable by any bondholder by any and all appropriate proceedings in law or in equity. After the issuance of the Bonds, this Ordinance shall not be repealed or amended in any respect which will adversely affect

the rights of the owners of the Bonds, nor shall the Common Council or any other body of the City adopt any law, ordinance or resolution which in any way adversely affects the rights of such owners so long as any of the Bonds, the interest thereon remain outstanding or unpaid. Except for the changes set forth in Section 27(a)-(g), this Ordinance may be amended, however, without the consent of Bond owners, if the Common Council determines, in its sole discretion, that such amendment would not adversely affect the owners of the Bonds.

(f) The provisions of this Ordinance shall be construed to create a trust in the proceeds of the sale of the Bonds herein authorized for the uses and purposes herein set forth, and the owners of the Bonds shall retain a lien on such proceeds until the same are applied in accordance with the provisions of this Ordinance and of the governing Act. The provisions of this Ordinance shall also be construed to create a trust in the Net Revenues herein directed to be set apart and paid into the Sinking Fund for the uses and purposes of said fund as in this Ordinance set forth. The owners of the Bonds shall have all the rights, remedies and privileges set forth in the provisions of the governing Act, including the right to have a receiver appointed to administer the Waterworks in the event the City shall fail or refuse to fix and collect sufficient rates and charges for those purposes, or shall fail or refuse to operate and maintain said system and to apply properly the revenues derived from the operation thereof, or if there be a default in the payment of the interest on or principal of the Bonds.

SECTION 23. Investment of Funds. (a) The Controller is hereby authorized pursuant to IC 5-1-14-3 and the provisions of this Ordinance to invest moneys (subject to applicable requirements of federal law to insure such yield is the then current market rate) to the extent necessary or advisable to preserve the exclusion from gross income of interest on the Bonds under federal law.

(b) The Controller shall keep full and accurate records of investment earnings and income from moneys held in the funds and accounts referenced herein. In order to comply with the provisions of the ordinance, the Controller is hereby authorized and directed to employ consultants or attorneys from time to time to advise the City as to requirements of federal law to preserve the tax exclusion. The Controller may pay any fees as operation expenses of the waterworks.

SECTION 24. Tax Covenants. In order to preserve the excludability of interest on any series of the Bonds from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as existing on the date of issuance of the Bonds, as the case may be ("Code") and as an inducement to purchasers of such series of the Bonds, the City represents, covenants and agrees that:

(a) The Waterworks will be available for use by members of the general public. Use by a member of the general public means use by natural persons not engaged in a trade or business. No person or entity other than the City or another state or local governmental unit will use more than 10% of the proceeds of the Bonds or property financed or refinanced by the proceeds of the Bonds other than as a member of the general public. No person or entity other than the City or another state or local governmental unit will own property financed or refinanced by proceeds of the Bonds or will have any actual or beneficial use of such property pursuant to a lease, a management or incentive payment contract, arrangements such as take-or-pay or output contracts or any other type of arrangement that conveys other special legal entitlements and differentiates that person's or entity's use of such property from use by the general public, unless such uses in the aggregate relate to no more than 10% of the proceeds of the Bonds. If the City enters into a management contract for the Waterworks, the terms of the contract will comply with IRS Revenue Procedure 2017-13, as it may be amended, supplemented or superseded for time to time, so that the contract will not give rise to private business use under the Code and the Regulations, unless such use in aggregate relates to no more than 10% of the proceeds of the Bonds, as the case may be.

(b) No more than 10% of the principal of or interest on the Bonds is (under the terms of the Bonds, this Ordinance or any underlying arrangement), directly or indirectly, secured by an interest in property used or to be used for any private business use or payments in respect of any private business use or payments in respect of such property or to be derived from payments (whether or not to the City) in respect of such property or borrowed money used or to be used for a private business use.

(c) No more than 5% of the Bond proceeds will be loaned to any person or entity other than another state or local governmental unit. No more than 5% of the Bond proceeds will be transferred, directly or indirectly, or deemed transferred to a nongovernmental person in any manner that would in substance constitute a loan of the Bond proceeds.

(d) The City reasonably expects, as of the date hereof, that the Bonds will not meet either the private business use test described in paragraph (a) and (b) above or the private loan test described in paragraph (c) above during the entire term of the Bonds.

(e) No more than 5% of the proceeds of the Bonds will be attributable to private business use as described in (a) and private security or payments described in (b) attributable to unrelated or disproportionate private business use. For this purpose, the private business use test is applied by taking into account only use that is not related to any government use of proceeds of the issue (Unrelated Use) and use that is related but disproportionate to any governmental use of those proceeds (Disproportionate Use).

(f) The City will not take any action nor fail to take any action with respect to the Bonds that would result in the loss of the exclusion from gross income for federal tax purposes on the Bonds pursuant to Section 103 of the Code, nor will the City act in any other manner which would adversely affect such exclusion. The City covenants and agrees not to enter into any contracts or arrangements which would cause the Bonds to be treated as private activity bonds under Section 141 of the Code.

(g) It shall be not an event of default under this Ordinance if the interest on any Bond is not excludable from gross income for federal tax purposes or otherwise pursuant to any provision of the Code which is not currently in effect and in existence on the date of issuance of the Bonds.

(h) These covenants are based solely on current law in effect and in existence on the date of delivery of such Bonds.

(i) The City represents that it will rebate any arbitrage profits to the United States in accordance with the Code.

(j) The Common Council hereby authorizes the Mayor and the Controller to determine whether any series of Bonds qualify for the exception in the Code from the disallowance of 100% of the deduction by financial institutions of interest expense allocable to newly acquired tax-exempt obligations. Such designation, if made, will be set forth in the arbitrage certificate delivered by the City in connection with the Bonds.

Notwithstanding any provision of this Ordinance to the contrary, the City may elect to issue a series of the Bonds, the interest on which is not excludable from gross income for federal tax purposes, so long as such election does not adversely affect the exclusion from gross income of interest for federal tax purposes on any other series of the Bonds, by making such election on the date of delivery of such series of the Bonds. In such case, the covenants in this section of the Ordinance shall not apply to such series of the Bonds.

SECTION 25. Waiver of Tax Covenants. Notwithstanding any other provision of this Ordinance, any of the covenants and authorizations contained in Section 24 of this Ordinance (the "Tax Covenants"), which are designed to preserve the exclusion of interest on the Bonds from gross income for purposes of federal income taxation, need not be complied with if the City receives an opinion of nationally recognized bond counsel to the effect that compliance with such Tax Covenant is unnecessary to preserve such exclusion of interest.

SECTION 26. Supplemental Ordinances Without Consent. Without notice to or consent of the owners of the Bonds herein authorized, the City may, from time to time and at any time, adopt an ordinance or ordinances supplemental hereto (which supplemental ordinance or ordinances shall thereafter form a part hereof) for any of the following purposes:

(a) To cure any ambiguity or formal defect or omission in this Ordinance or in any supplemental ordinance or to make any other change authorized herein;

(b) To grant to or confer upon the owners of the Bonds any additional benefits, rights, remedies, powers, authority or security that may lawfully be granted to or conferred upon the

owners of the Bonds or to make any change which, in the judgment of the City, is not to the prejudice of the owners of the Bonds;

(c) To modify, amend or supplement this Ordinance to permit the qualification of the Bonds for sale under the securities laws of the United States of America or of any of the states of the United States of America or to obtain or maintain bond insurance or other credit enhancement with respect to payments of principal of and interest on Bonds;

(d) To provide for the refunding or advance refunding of the Bonds;

(e) To procure a rating on the Bonds from a nationally recognized securities rating agency or agencies designated in such supplemental ordinance if such supplemental ordinance will not adversely affect the owners of the Bonds or any other bonds ranking on a parity with such Bonds; or

(f) To accomplish any other purpose which, in the judgment of the City, does not adversely affect the interests of the owners of the Bonds.

SECTION 27. Amendments with Consent of Bondholders. Subject to the terms and provisions contained in Section 22(f), Section 25 and this Section 26, and not otherwise, the owners of not less than sixty-six and two-thirds percent (66 2/3%) in aggregate principal amount of the Bonds issued pursuant to this Ordinance and then outstanding shall have the right, from time to time, anything contained in this Ordinance to the contrary notwithstanding, to consent to and approve the adoption by the City of such ordinance or ordinances supplemental hereto as shall be deemed necessary or desirable by the City for the purpose of modifying, altering, amending, adding to or rescinding in any particular any of the terms or provisions contained in this Ordinance, or in any supplemental ordinance; provided, however, that nothing herein contained shall permit or be construed as permitting:

(a) An extension of the maturity of the principal of or interest on any Bond issued pursuant to this Ordinance; or

(b) A reduction in the principal amount of any Bond or the redemption premium or the rate of interest thereon; or

(c) The creation of a lien upon or a pledge of the revenues of the Waterworks ranking prior to the pledge thereof created by this Ordinance; or

(d) A preference or priority of any Bond or Bonds issued pursuant to this Ordinance over any other Bond or Bonds issued pursuant to the provisions of this Ordinance; or

(e) A reduction in the aggregate principal amount of the Bonds required for consent to such supplemental ordinance; or

(f) A reduction in the required balance to be held as a reserve for the Bonds; or

(g) The extension of mandatory sinking fund redemption dates, if any.

If the owners of not less than sixty-six and two-thirds percent (66 2/3%) in aggregate principal amount of the Bonds outstanding at the time of adoption of such supplemental ordinance shall have consented to and approved the adoption thereof by written instrument to be maintained on file in the office of the Controller of the City, no owner of any Bond issued pursuant to this Ordinance shall have any right to object to the adoption of such supplemental ordinance or to object to any of the terms and provisions contained therein or the operation thereof, or in any manner to question the propriety of the adoption thereof, or to enjoin or restrain the City or its officers from adopting the same, or from taking any action pursuant to the provisions thereof. Upon the adoption of any supplemental ordinance pursuant to the provisions of this section, this Ordinance shall be, and shall be deemed, modified and amended in accordance therewith, and the respective rights, duties and obligations under this Ordinance of the City and all owners of Bonds issued pursuant to the provisions of this Ordinance then outstanding, shall thereafter be determined exercised and enforced in accordance with this Ordinance, subject in all respects to such modifications and amendments. Notwithstanding anything contained in the foregoing provisions of this Ordinance, the rights and obligations of the City and of the owners of the Bonds authorized by this Ordinance, and the terms and provisions of the Bonds and this Ordinance, or any

supplemental ordinance, may be modified or altered in any respect with the consent of the City and the consent of the owners of all the Bonds issued pursuant to this Ordinance then outstanding.

SECTION 28. Non-Business Days. If the date for making any payment or the last date for performance of any act or the exercising of any right, as provided in this Ordinance, is a legal holiday or a day on which banking institutions in the area are typically closed, such payment may be made or act performed or right exercised on the next succeeding day not a legal holiday or a day on which such banking institutions are typically closed, with the same force and effect as if done on the nominal date provided in this Ordinance, and no interest shall accrue for the period after such nominal day.

SECTION 29. IURC. The Waterworks is subject to the jurisdiction of the IURC for the approval of the issuance of bonds and rates and charges. Prior to the issuance of the Bonds or any BAN with a maturity of more than twelve (12) months, the City shall obtain the approval of the IURC for the issuance of said Bonds or BANs. The City hereby authorizes the Mayor to retain legal counsel and other professional services as may be necessary to obtain said approval from the IURC and to initiate the proceedings necessary for obtaining said approval.

SECTION 31. Other Actions. Each of the Mayor and the Controller is hereby authorized and directed, for an on behalf of the City, to execute and deliver any agreement, certificate or other instrument or take any other action which such officer determines to be necessary or desirable to carry out the transactions contemplated by this Ordinance, which determination shall be conclusively evidenced by such officer's having executed such agreement, certificate or other instrument or having taken such other action, and any such agreement, certificate or other instrument heretofore executed and delivered and any such other action heretofore taken are hereby ratified and approved.

SECTION 32. Repeal; Construction with Other Ordinances. All ordinances, resolutions and orders, or parts thereof, in conflict with the provisions of this Ordinance, are, to the extent of such conflict, hereby repealed; provided, however, that this Ordinance shall not be deemed in any way to repeal, amend, alter or modify any of the Prior Ordinances, nor be construed as adversely affecting the rights of any of the owners of the outstanding Prior Bonds.

SECTION 33. Severability. If any section, paragraph or provision of this Ordinance shall be held to be invalid or unenforceable for any reason, the invalidity or unenforceability of such section, paragraph or provision shall not affect any of the remaining provisions of this Ordinance.

SECTION 34. Captions. The captions in this Ordinance are inserted only as a matter of convenience and reference, and such captions are not intended and shall not be construed to define, limit, establish, interpret or describe the scope, intent or effect of any provision of this Ordinance.

SECTION 35. Effective Date. This Ordinance shall be in full force and effect from and after its passage and approval by the Mayor.

[*Signature Page Follows*]

PASSED AND ADOPTED by the Common Council of the City of Bloomington, Indiana, this 17 day of march, 2021.

JIM SIMS, President
Bloomington Common Council

ATTEST:

NICOLE BOLDEN, Clerk
City of Bloomington

PRESENTED by me to the Mayor of the City of Bloomington, Indiana, this 19 day of March, 2021.

NICOLE BOLDEN, Clerk
City of Bloomington

SIGNED and APPROVED this 25th day of March, 2021.

JOHN HAMILTON, Mayor
City of Bloomington

SYNOPSIS

This ordinance authorizes the City of Bloomington to issue one or more series of its Waterworks Revenue Bonds of 2022, in the aggregate principal amount not to exceed $17,200,000. The 2022 bonds will be issued to finance the costs of design, engineering, acquisition, construction, equipping, and improvement of capital projects related to the Monroe Water Treatment Plant and distribution system of the Waterworks utility, and pay costs of issuance of the bonds.

EXHIBIT A

DESCRIPTION OF PROJECTS

Monroe Water Treatment Plant Projects:

Dewatering System Improvements
Residual Holding Basin Improvements
Main Building Roof Replacement
Filter Media and Underdrain Replacement
Water Quality Process Improvements- Algaecide
Chemical tank repair
Intake HVAC
Addition of Second Washwater Pump
LS Outdoor Switchgear Enclosure Coating
Substation Transformer Upgrade
Standby Power Improvements
High Service Pump VFD Replacement (Two)
Chemical Feed Line Replacements
Transfer Pump VFD Replacement (Two)
SCADA Filter Terminal and Other Sensors
SCADA System Improvements
Finished Water Reservoir Repairs
Facilities Plan and Demand Study Update
Miscellaneous Repair and Replacement

Distribution System Projects:

Gentry Booster Improvements
Bulk Water Station #2
West Booster Rehabilitation
South Central Booster Rehabilitation
Dogwood Booster Rehabilitation
Storage Tank Inspections
East Tank Coating Replacement and Improvements
System SCADA updates and WQ monitoring
Auto flushing equipment
Water Main Replacement Program
Fire Hydrant Maint and Capacity testing
Valve Testing (20% System Annually)
Transportation Project Relocations
Lead and Copper rule

Other Projects:

Service Center Relocation
Vehicle and Equipment Replacement

EXHIBIT B

R-__

[FORM OF REGISTERED BOND]

UNITED STATES OF AMERICA

STATE OF INDIANA COUNTY OF MONROE

CITY OF BLOOMINGTON, INDIANA
WATERWORKS REVENUE BOND OF 2022, SERIES __

Interest Rate	Maturity Date	Original Date	Date of Authentication	[CUSIP]
__%	_____ 1, 20__	____ __, 20__	____ __, 20__	[_____]

REGISTERED OWNER: _____

PRINCIPAL AMOUNT: _____ Dollars ($_____)

The City of Bloomington, in Monroe County, State of Indiana, (the "City") for value received, hereby promises to pay to the Registered Owner specified above, or registered assigns, upon surrender hereof, solely out of the special revenue fund hereinafter referred to, the Principal Amount stated above as evidenced by the records of the registered owner making payments for this bond, or its assigns, on the Maturity Date specified above (unless this bond be subject to and be called for redemption prior to maturity as hereinafter provided), and to pay interest thereon until the Principal Amount is paid upon redemption or at maturity, at the Interest Rate per annum specified above and from the interest payment date to which interest has been paid or duly provided for next preceding the Date of Authentication of this bond as shown above (unless this bond is authenticated after the fifteenth day of the month immediately preceding an interest payment date (the "Record Date") and on or before the next such interest payment date, in which case it shall bear interest from such interest payment date or unless this bond is authenticated on or before [December/June] 15, 20__, in which case it shall bear interest from the Original Date specified above), with such interest payable semiannually on January 1 and July 1 of each year, commencing [January/July] 1, 20__. Interest shall be calculated on the basis of a 360-day year comprised of twelve 30-day months.

The principal of and premium, if any, on this Bond are payable upon the surrender thereof at the principal office of _____ (the "Registrar" or the "Paying Agent") in the

_____, _____. All payments of interest on this Bond shall be paid by check mailed one business day prior to the interest payment date to the Registered Owner as of the Record Date at the address as it appears on the registrations books kept by the Registrar. Each Registered Owner of $1,000,000 or more in principal amount of the Bonds shall be entitled to receive interest payments by wire transfer by providing written wire instructions to the Paying Agent before the Record Date for any payment. All payments of principal of, and premium, if any, on the Bonds (as hereinafter defined) shall be made in any coin or currency of the United States of America, which on the dates of such payment, shall be legal tender for the payment of public and private debts.

THE CITY SHALL NOT BE OBLIGATED TO PAY THIS BOND OR THE INTEREST HEREON EXCEPT FROM THE HEREINAFTER DESCRIBED SPECIAL FUND, AND NEITHER THIS BOND NOR THE ISSUE OF WHICH IT IS A PART SHALL IN ANY RESPECT CONSTITUTE A CORPORATE INDEBTEDNESS OF THE CITY WITHIN THE PROVISIONS AND LIMITATIONS OF THE CONSTITUTION OF THE STATE OF INDIANA.

This bond is one of an authorized series of bonds of like date, tenor and effect, except as to denomination, numbering, rates of interest, redemption terms and dates of maturity, aggregating _____ Dollars ($_____), numbered and lettered consecutively from __R-1 upward (the "Bonds"), issued for the purpose of providing funds to pay the cost of certain additions, improvements and extensions to the waterworks of the City, [fund a debt service reserve fund/pay the premium on a debt service reserve surety policy] and pay the costs of issuance of the Bonds. This Bond is issued pursuant to an ordinance adopted by the Common Council of the City on the ____day of _____, 2021, entitled "An Ordinance Authorizing the Acquisition, Construction and Installation by the City of Bloomington, Indiana, of Certain Extensions and Improvements to the City's Waterworks Utility, the Issuance and Sale of Revenue Bonds to Provide Funds for the Payment of the Costs Thereof, and the Collection, Segregation and Distribution of the Revenues of Such Waterworks and Other Related Matters" (the "Ordinance"), and in accordance with the provisions of Indiana law, including, without limitation, Indiana Code 8-1.5 and Indiana Code 5-1-5, as amended (the "Act").

Pursuant to the provisions of the Act and the Ordinance, the principal of and interest on this Bond, the Outstanding Parity Bonds (as defined in the Ordinance), and any bonds hereafter issued on a parity therewith are payable solely from the Waterworks Sinking Fund (the "Sinking Fund") maintained under the Ordinance to be funded from the Net Revenues (herein defined as the gross revenues of the Waterworks (defined as the City's Waterworks system, including all real estate, equipment and appurtenances thereto used in connection therewith, and all extensions, additions and improvements thereto and replacements thereof, now or at anytime hereafter constructed or acquired, after deduction only for the payment of the reasonable expenses of operation and maintenance of the System).

The City irrevocably pledges the entire Net Revenues of the Waterworks deposited into the Sinking Fund to the prompt payment of the principal of and interest on the Bonds, the Outstanding Parity Bonds and any bonds ranking on a parity therewith to the extent necessary for such purposes, and covenants that it will cause to be fixed, maintained and collected such rates and charges for

services rendered by the Waterworks as are sufficient in each year for the payment of the proper and reasonable expenses of operation and maintenance of the Waterworks and for the payment of the sums required to be paid into the Sinking Fund under the provisions of the Act and the Ordinance. If the City or the proper officers thereof shall fail or refuse to so fix, maintain and collect such rates or charges, or if there shall be a default in the payment of the interest on or principal of this bond, the owner of this bond shall have all of the rights and remedies provided for in the Act, including the right to have a receiver appointed to administer the Waterworks and to charge and collect rates sufficient to provide for the payment of this bond and the interest hereon.

The City further covenants that for so long as the Bonds, the Outstanding Parity Bonds and any bonds hereafter issued on a parity therewith (the "Additional Parity Bonds") remain outstanding, it will set aside and pay into the Sinking Fund a sufficient amount of the Net Revenues of the Waterworks for the payment of (a) the interest on all bonds payable from the revenues of the Waterworks, as such interest shall fall due, (b) the necessary fiscal agency charges for paying such bonds and interest, (c) the principal of all bonds payable from the revenues of the Waterworks, and (d) an additional amount as a margin of safety to create the reserve required by the Ordinance. Such required payments shall constitute a first charge upon all the Net Revenues of the Waterworks. Reference is made to the Ordinance for a more complete statement of the revenues from which and conditions under which this bond is payable, a statement of the conditions on which obligations may hereafter be issued on a parity with this bond, the manner in which the Ordinance may be amended and the general covenants and provisions pursuant to which this bond has been issued.

[Insert optional redemption terms, if applicable].

[The bonds maturing on _____ 1, ___ are subject to mandatory sinking fund redemption prior to maturity, at a redemption price equal to the principal amount thereof plus accrued interest, on the dates and in the amounts set forth below:

Date	Amount
*	

*Final Maturity]

[Each Five Thousand Dollars ($5,000) principal amount shall be considered a separate bond for purposes of mandatory redemption. If less than an entire maturity is called for redemption, the bonds to be redeemed shall be selected by lot by the Registrar.]

Notice of such redemption shall be mailed to the address of the registered owners of the Bonds to be redeemed as shown on the registration records of the City not less than thirty (30) and not more than sixty (60) days prior to the date fixed for redemption, unless the notice is waived by the registered owner of the Bonds to be redeemed. The notice shall specify the date and place of redemption and sufficient identification of the Bonds called for redemption. The place of redemption may be determined by the City. Interest on the Bonds called for redemption shall cease on the redemption date fixed in such notice if sufficient funds are available at the place of

redemption to pay the redemption price on the date so named, and thereafter, such bonds shall no longer be protected by the Ordinance and shall not be deemed to be outstanding thereunder.

If this bond shall not be presented for payment or redemption on the date fixed therefor, the City may deposit in trust with the Paying Agent, an amount sufficient to pay such Bond or the redemption price, as the case may be, and thereafter the Registered Owner shall look only to the funds so deposited in trust for payment and the City shall have no further obligation or liability with respect thereto.

This bond is transferable or exchangeable only upon the books of the City kept for that purpose at the designated corporate trust operations office of the Registrar by the Registered Owner in person, or by his attorney duly authorized in writing, upon surrender of this Bond together with a written instrument of transfer or exchange satisfactory to the Registrar duly executed by the Registered Owner, or his attorney duly authorized in writing, and thereupon a new fully registered Bond or Bonds in the same aggregate principal amount and of the same maturity shall be executed and delivered in the name of the transferee or to the Registered Owner, as the case may be, in exchange therefor. This bond may be transferred without cost to the Registered Owner except for any tax or governmental charge required to be paid with respect to the transfer. The City, the Registrar and the Paying Agent may treat and consider the person in whose name this bond is registered as the absolute owner hereof for all purposes, including for the purpose of receiving payment of, or on account of, the principal hereof and interest and premium, if any, due hereon.

This bond is subject to defeasance prior to redemption or payment as provided in the Ordinance referred to herein. THE OWNER OF THIS BOND, BY THE ACCEPTANCE HEREOF, HEREBY AGREES TO ALL THE TERMS AND PROVISIONS CONTAINED IN THE ORDINANCE. The Ordinance may be amended without the consent of the owners of the Bonds as provided in the Ordinance if the Common Council determines, in its sole discretion, that the amendment shall not adversely affect the rights of any of the owners of the Bonds.

The Bonds are issuable only in fully registered form in the denomination of [$5,000] or any integral multiple thereof.

[A Continuing Disclosure Contract from the City to each registered owner or holder of any Bond, dated as of the date of initial issuance of the Bonds (the "Contract"), has been executed by the City, a copy of which is available from the City and the terms of which are incorporated herein by this reference. The Contract contains certain promises of the City to each registered owner or holder of any Bond, including a promise to provide certain continuing disclosure. By its payment for and acceptance of this bond, the registered owner or holder of this bond assents to the Contract and to the exchange of such payment and acceptance for such promises.]

It is hereby certified and recited that all acts, conditions and things required to be done precedent to and in the execution, issuance and delivery of this bond have been done and performed in regular and due form as provided by law.

This bond shall not be valid or become obligatory for any purpose until the certificate of authentication hereon shall have been executed by an authorized representative of the Registrar.

IN WITNESS WHEREOF, the City of Bloomington, in Monroe County, Indiana, has caused this bond to be executed in its corporate name by the manual or facsimile signature of the Mayor of the City, its corporate seal to be hereunto affixed, imprinted or impressed by any means and attested manually or by facsimile by its Controller.

CITY OF BLOOMINGTON

_____
Mayor

(Seal)

ATTEST:

_____
Controller

CERTIFICATE OF AUTHENTICATION

This bond is one of the Bonds issued and delivered pursuant to the provisions of the within-mentioned Ordinance.

[_____]

By_____
Authorized Representative

#DMS 19157701.2

ASSIGNMENT

FOR VALUE RECEIVED the undersigned hereby sells, assigns and transfers unto _____ (insert name and address) the within bond and all rights thereunder, and hereby irrevocably constitutes and appoints attorney to transfer the within bond on the books kept for the registration thereof with full power of substitution in the premises.
Dated: _____

_____
NOTICE: The signature to this assignment must correspond with the name as it appears on the face of the within bond in every particular, without alteration or enlargement or any change whatsoever.

Signature Guarantee:

_____
NOTICE: Signature(s) must be guaranteed by an eligible guarantor institution participating in a Securities Transfer Association recognized signature guarantee program.

#DMS 19157701.2

APPENDIX E

CONTINUING DISCLOSURE UNDERTAKING AGREEMENT

CONTINUING DISCLOSURE UNDERTAKING AGREEMENT

This Continuing Disclosure Undertaking Agreement (this "Agreement") is made this 23rd day of June, 2022, from the City of Bloomington, Indiana, a municipal corporation existing under by the laws of the State of Indiana (the "Issuer"), to each registered owner or beneficial owner of any Bonds (as hereinafter defined) (each, a "Bondholder");

WITNESSETH THAT:

WHEREAS, the Issuer is issuing its $15,430,000 City of Bloomington, Indiana Waterworks Revenue Bonds of 2022 (the "Bonds") pursuant to Ordinance No. 21-10, adopted by the Common Council of the City of Bloomington, Indiana March 17, 2021 (the "Bond Ordinance"); and

WHEREAS, Stifel, Nicolaus & Company, Incorporated (the "Underwriter") is, in connection with an offering of the Bonds directly or indirectly by or on behalf of the Issuer, purchasing the Bonds from the Issuer and selling the Bonds to certain purchasers, pursuant to a Bond Purchase Agreement, dated June 1, 2022 between the Underwriter and the Issuer; and

WHEREAS, Rule 15c2-12 (the "Rule"), promulgated by the Securities and Exchange Commission (the "Commission") under the Securities Exchange Act of 1934, as amended (the "Act"), provides that, except as otherwise provided in the Rule, a participating underwriter (as defined in the Rule) shall not purchase or sell municipal securities in connection with an offering (as defined in the Rule) unless the participating underwriter has reasonably determined that an issuer of municipal securities (as defined in the Rule) or an obligated person (as defined in the Rule) for whom financial or operating data is presented in the final official statement (as defined in the Rule) has undertaken, either individually or in combination with other issuers of such municipal securities or obligated persons, in a written agreement for the benefit of Bondholders of such securities, to provide certain information; and

WHEREAS, the Issuer desires to enter into this Agreement in order to assist the Underwriter in complying with paragraph (b)(5) of the Rule; and

WHEREAS, any registered owner or beneficial owner of any Bond shall, by its payment for and acceptance of such Bond, accept and assent to this Agreement and the exchange of (i) such payment and acceptance for (ii) the promises of the Issuer contained herein.

NOW, THEREFORE, in consideration of the Underwriter's and any Bondholder's payment for and acceptance of any Bonds, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Issuer hereby promises to each Bondholder as follows:

Section 1. Definitions. The terms defined herein, including the terms defined above and in this Section 1, shall have the meanings herein specified unless the context or use clearly indicates another or different meaning or intent. Any terms defined in the Rule, but not otherwise defined herein, shall have the meanings specified in the Rule unless the context or use clearly indicates another or different meaning or intent.

(a) "Bond" shall mean any of the Bonds.

(b) "Bondholder" shall mean any registered or beneficial owner or holder of any Bond.

(c) "Dissemination Agent" initially means the Issuer, and thereafter any successor Dissemination Agent designated in writing by the Issuer, including any indenture trustee, registrar or other designated agent, and which has filed with the Issuer a written acceptance of such designation.

(d) "EMMA" shall mean the MSRB's Electronic Municipal Market Access system.

(e) "Final Official Statement" shall mean the Official Statement, dated June 1, 2022, relating to the Bonds, including any document included therein by specific reference which is available to the public on EMMA or filed with the MSRB.

(f) "Financial Obligation" shall mean (i) a debt obligation, (ii) a derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (iii) a guarantee of either clause (i) or (ii); provided, however, "Financial Obligation" shall not include any municipal securities (as defined in the Act) as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

(g) "Fiscal Year" of any person shall mean any period from time to time adopted by such person as its fiscal year for accounting purposes. As of the date of the issuance of the Bonds, Fiscal Year means the period beginning on January 1 and ending on December 1 of each year.

(h) "MSRB" shall mean the Municipal Securities Rulemaking Board.

(i) "Obligated Person" shall mean any person who is either generally or through an enterprise, fund or account of such person committed by agreement or other arrangement to support payment of all or part of the obligations on the Bonds (other than any providers of municipal bond insurance, letters of credit or liquidity facilities), for whom financial information or operating data is presented in the Final Official Statement.

(j) "Rule" means Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities and Exchange Act of 1934, as the same may be amended from time to time.

(k) "State" shall mean the State of Indiana.

Section 2. Term. The term of this Agreement shall commence on the date of delivery of the Bonds by the Issuer to the Underwriter and shall expire on the earlier of (a) the date of payment in full of principal of and premium, if any, and interest on the Bonds, whether upon scheduled maturity, redemption, acceleration or otherwise, or (b) the date of defeasance of the Bonds in accordance with the terms of the Bond Ordinance.

Section 3. Obligated Person(s). The Issuer hereby represents and warrants that, as of the date hereof:

(a) The only Obligated Person with respect to the Bonds is the Issuer; and

(b) Except as set forth in the Final Official Statement, there have been no instances in the five (5) years prior to the date of the Final Official Statement in which the Issuer failed to comply, in all material respects, with one (1) or more of its previous undertakings in a written contract or agreement specified in paragraph (b)(5)(i) of the Rule.

Section 4. Undertaking to Provide Information.

(a) The Issuer hereby undertakes to provide the following to the MSRB in an electronic format as prescribed by the MSRB, either directly or indirectly through a registrar or a designated agent, for the Issuer:

(i) Within one hundred eighty (180) days after the close of each Fiscal Year of the Issuer, beginning with the Fiscal Year ending December 31, 2022, unaudited financial information and operating data of the Issuer (excluding any demographic information or forecasts) of the type provided under the following headings under the heading "MUNICIPAL WATER UTILITY" in Appendix A of the Final Official Statement:

- "User Connections"; and

- "Largest Users of the Water Utility";

(the financial information and operating data set forth in Section 4(a)(i) hereof collectively, the "Annual Financial Information");

(ii) If not submitted as part of the Annual Financial Information, then when and if available the audited financial statements for the Issuer, as prepared and examined by the Indiana State Board of Accounts, for each twelve (12) month period ending December 31, beginning with the period ending December 31, 2020, together with the opinion of such accountants and all notes thereto, within sixty (60) days of receipt from the Indiana State Board of Accounts;

(iii) Within ten (10) business days of the occurrence of any of the following events with respect to the Bonds, if material (which determination of materiality shall be made by the Issuer in accordance with the standards established by federal securities laws):

(A) Non-payment related defaults;

(B) Modifications to rights of Bondholders;

(C) Bond calls (other than mandatory, scheduled redemptions, not otherwise contingent upon the occurrence of an event,

the terms of which redemptions are set forth in detail in the Final Official Statement);

(D) Release, substitution or sale of property securing repayment of the Bonds;

(E) The consummation of a merger, consolidation, or acquisition, or certain asset sales, involving the Issuer, or entry into or termination of a definitive agreement relating to the foregoing;

(F) Appointment of a successor or additional trustee or the change of name of a trustee; and

(G) Incurrence of a Financial Obligation of the Issuer or agreement to covenants, events of default, remedies, priority rights or other similar terms of a Financial Obligation of the Issuer, any of which affect Bondholders.

(iv) Within ten (10) business days of the occurrence of any of the following events with respect to the Bonds, regardless of materiality:

(A) Principal and interest payment delinquencies;

(B) Unscheduled draws on debt service reserves reflecting financial difficulties;

(C) Unscheduled draws on credit enhancements reflecting financial difficulties;

(D) Substitution of credit or liquidity providers, or their failure to perform;

(E) Adverse tax opinions or events affecting the tax status of the security;

(F) Defeasances;

(G) Rating changes;

(H) The issuance by the IRS of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds;

(I) Tender offers;

(J) Bankruptcy, insolvency, receivership or similar events of the Issuer; and

(K) Default, event of acceleration, termination event, modification of terms or other similar events under the terms of a Financial Obligation of the Issuer, any of which reflect financial difficulties.

(v) In a timely manner, notice of a failure of the Issuer to provide required Annual Financial Information or audited financial statements, on or before the date specified in this Agreement.

(b) Any financial statements of the Issuer provided pursuant to subsection (a)(i) of this Section 4 shall be prepared in accordance with any accounting principles mandated by the applicable laws of the State, as in effect from time to time, or any other consistent accounting principles that enable market participants to evaluate results and perform year to year comparisons, but need not be audited unless otherwise specified.

(c) Any Annual Financial Information or audited financial statements may be set forth in a document or set of documents, or may be included by specific reference to documents available to the public on the MSRB's Internet Web site or filed with the Commission. If the document is a final official statement (as defined in the Rule), it must be available from the MSRB through EMMA. The Issuer shall, in a written notice provided to the MSRB within the time frames specified in subsection (a), clearly identify such document incorporated by specific reference.

(d) If any Annual Financial Information otherwise required by subsection (a)(i) of this Section 4 no longer can be generated because the operations to which it relates have been materially changed or discontinued, a statement to that effect shall be deemed to satisfy the requirements of such subsection.

(e) All documents provided to the MSRB under this Agreement shall be accompanied by identifying information as prescribed by the MSRB.

Section 5. Termination of Obligation. The obligation to provide Annual Financial Information, audited financial statements and notices of events under Section 4(a) hereof shall terminate if and when the Issuer no longer remains an Obligated Person with respect to the Bonds.

Section 6. Bondholders. Each Bondholder is an intended beneficiary of the obligations of the Issuer under this Agreement, such obligations create a duty in the Issuer to each Bondholder to perform such obligations, and each Bondholder shall have the right to enforce such duty.

Section 7. Limitation of Rights. Nothing expressed or implied in this Agreement is intended to give, or shall give, to the Issuer, the Underwriter or any Obligated Person, or any underwriters, brokers or dealers, or any other person, other than the Issuer and each Bondholder, any legal or equitable right, remedy or claim under or with respect to this Agreement or any rights or obligations hereunder. This Agreement and the rights and obligations hereunder are intended to be, and shall be, for the sole and exclusive benefit of the Issuer and each Bondholder.

Section 8. Remedies.

(a) The sole and exclusive remedy for any breach or violation by the Issuer of any obligation of the Issuer under this Agreement shall be the remedy of specific performance by the Issuer of such obligation. No Bondholder shall have any right to monetary damages or any other remedy for any breach or violation by the Issuer of any obligation of the Issuer under this Agreement, except the remedy of specific performance by the Issuer of such obligation.

(b) No breach or violation by the Issuer of any obligation of the Issuer under this Agreement shall constitute a breach or violation of or default under the Bonds or the Bond Ordinance.

(c) Any action, suit or other proceeding for any breach or violation by the Issuer of any obligation of the Issuer under this Agreement shall be instituted, prosecuted and maintained only in a state court of competent jurisdiction in Monroe County, Indiana.

(d) No action, suit or other proceeding for any breach or violation by the Issuer of any obligation of the Issuer under this Agreement shall be instituted, prosecuted or maintained by any Bondholder unless, prior to instituting such action, suit or other proceeding: (i) such Bondholder has given the Issuer notice of such breach or violation and demand for performance; and (ii) the Issuer has failed to cure such breach or violation within sixty (60) days after such notice.

Section 9. Waiver. Any failure by any Bondholder to institute any suit, action or other proceeding for any breach or violation by the Issuer of any obligation of the Issuer under this Agreement, within three hundred sixty (360) days after the date such Bondholder first has knowledge of such breach or violation, shall constitute a waiver by such Bondholder of such breach or violation and, after such waiver, no remedy shall be available to such Bondholder for such breach or violation.

Section 10. Annual Appropriations. This Agreement and the obligations of the Issuer hereunder are subject to annual appropriation by the fiscal body of the Issuer.

Section 11. Limitation of Liability. The obligations of the Issuer under this Agreement are special and limited obligations of the Issuer, payable solely from funds on deposit in the Issuer's Bond and Interest Account. The obligations of the Issuer under this Agreement are not and shall never constitute a general obligation, debt or liability of the Issuer or the State, or any political subdivision thereof, within the meaning of any constitutional limitation or provision, or a pledge of the faith, credit or taxing power of the Issuer or the State, or any political subdivision thereof, and do not and shall never constitute or give rise to any pecuniary liability or charge against the general credit or taxing power of the Issuer or the State, or any political subdivision thereof.

Section 12. Immunity of Officers, Directors, Members, Employees and Agents. No recourse shall be had for any claim based upon any obligation in this Agreement against any past,

present or future Officer, Director, Member, employee or agent of the Issuer, as such, either directly or through the Issuer, under any rule of law or equity, statute or constitution.

Section 13. Amendment of Obligations. The Issuer may, from time to time, amend any obligation of the Issuer under this Agreement, without notice to or consent from any Bondholder, if: (a)(i) such amendment is made in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of any Obligated Person, or type of business conducted, (ii) this Agreement, after giving effect to such amendment, would have complied with the requirements of the Rule on the date hereof, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances, and (iii) such amendment does not materially impair the interests of any Bondholders, as determined either by (A) any person selected by the Issuer that is unaffiliated with the Issuer, the Issuer or any Obligated Person (such as any registrar under the Bond Ordinance) or (B) an approving vote of the Bondholders pursuant to the terms of the Bond Ordinance at the time of such amendment; or (b) such amendment is otherwise permitted by the Rule.

Section 14. Assignment and Delegation. No Bondholder may, without the prior written consent of the Issuer, assign any of its rights under this Agreement to any other person. The Issuer may not assign any of its rights or delegate any of its obligations under this Agreement to any other person, except that the Issuer may assign any of its rights or delegate any of such obligations, to the extent permitted by the Rule, to any entity (a) into which the Issuer merges, with which the Issuer consolidates or to which the Issuer transfers all or substantially all of its assets or (b) which agrees in writing for the benefit of Bondholders to assume such rights or obligations.

Section 15. Obligations of Dissemination Agent; Indemnity. The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Issuer shall notify the MSRB through EMMA of the appointment or discharge of a Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Issuer shall be the Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Agreement and any dissemination agreement entered into by the Issuer and the Dissemination Agent, and the Issuer agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise of performance of its powers and duties hereunder, including the costs and expenses (including reasonable attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the Issuer under this Section shall survive removal of the Dissemination Agent and payment of the Bonds.

Section 16. Communications. Any information, datum, statement, notice, certificate or other communication required or permitted to be provided, delivered or otherwise given hereunder by any person to any other person shall be in writing and, if such other person is the Issuer, shall be provided, delivered or otherwise given to the Issuer at the following address:

City of Bloomington, Indiana
c/o Controller
401 N. Morton Street
Bloomington, IN 47404

(or at such other address as the Issuer may, by notice to the MSRB, provide), or, if such other person is not the Issuer, shall be provided, delivered or otherwise given to such other person at any address that the person providing, delivering or otherwise giving such information, datum, statement, notice, certificate or other communication believes, in good faith but without any investigation, to be an address for receipt by such other person of such information, datum, statement, notice, certificate or other communication. For purposes of this Agreement, any such information, datum, statement, notice, certificate or other communication shall be deemed to be provided, delivered or otherwise given on the date that such information, datum, notice, certificate or other communication is (a) delivered by hand to such other person, (b) deposited with the United States Postal Service for mailing by registered or certified mail, (c) deposited with Express Mail, Federal Express or any other courier service for delivery on the following business day, or (d) sent by facsimile transmission, telecopy or telegram.

Section 17. Knowledge. For purposes of this Agreement, each Bondholder shall be deemed to have knowledge of the provision and content of any information, datum, statement or notice provided by the Issuer to the MSRB on the date such information, datum, statement or notice is so provided, regardless of whether such Bondholder was a registered or beneficial owner or holder of any Bond at the time such information, datum, statement or notice was so provided.

Section 18. Performance Due on other than Business Days. If the last day for taking any action under this Agreement is a day other than a business day, such action may be taken on the next succeeding business day and, if so taken, shall have the same effect as if taken on the day required by this Agreement.

Section 19. Waiver of Assent. Notice of acceptance of or other assent to this Agreement is hereby waived.

Section 20. Governing Law. This Agreement and the rights and obligations hereunder shall be governed by and construed and enforced in accordance with the applicable internal laws of the State, without reference to any choice of law principles.

Section 21. Severability. If any portion of this Agreement is held or deemed to be, or is, invalid, illegal, inoperable or unenforceable, the validity, legality, operability and enforceability of the remaining portions of this Agreement shall not be affected, and this Agreement shall be construed as if it did not contain such invalid, illegal, inoperable or unenforceable portion.

Section 22. Rule. This Agreement is intended to be an agreement in which the Issuer has undertaken to provide that which is required by paragraph (b)(5) of the Rule. If and to the extent this Agreement is not such an agreement, this Agreement shall be deemed to include such terms not otherwise included herein, and to exclude such terms not otherwise excluded herefrom, as are necessary to cause this Agreement to be such an agreement.

Section 23. Interpretation. The use herein of the singular shall be construed to include the plural, and vice versa, and the use herein of the neuter shall be construed to include the masculine and feminine. Unless otherwise indicated, the words "hereof," "herein," "hereby" and "hereunder," or words of similar import, refer to this Agreement as a whole and not to any particular section, subsection, clause or other portion of this Agreement.

Section 24. Captions. The captions appearing in this Agreement are included herein for convenience of reference only, and shall not be deemed to define, limit or extend the scope of intent of any rights or obligations under this Agreement.

[Signature Page Follows]

IN WITNESS WHEREOF, the undersigned have duly authorized, executed and delivered this Continuing Disclosure Agreement as of the date first written above.

CITY OF BLOOMINGTON, INDIANA

By:_____
Mayor

ATTEST:

_____
Controller

[Signature Page for Continuing Disclosure Undertaking Agreement]

DMS 22485046v4

APPENDIX F

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____

Authorized Officer

SPECIMEN

Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
1 World Financial Center, 27th floor
200 Liberty Street
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

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